Aptus Value Hou. (APTUS)

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Call: May 2023

"Aptus Value Housing Finance India Limited
Q4 FY '23 Earnings Conference Call "
May 05, 202 3

MANAGEMENT : MR. M ANANDAN – EXECUTI VE CHAIRMAN
MR. P. BALAJI – MANAGING DIRECTOR
MR. CT MANOHARAN – CHIEF BUSINESS OFFICER
MR. JOHN VIJAYAN – CHIEF FINANCIAL OFFICER

MODERATOR : MS. MONA KHETAN – DOLAT CAPITAL

Moderator: Ladies and gentlemen, good day, and welcome to the Aptus Value Housing Q4 FY '23 Earnings Conference Call hosted by Dolat Capital. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, plea se signal an operator by pressing star then zero on your touch -tone telephone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Mona Khetan from Dolat Capital. Thank you, and over to you, ma'am.
Mona Khetan: Thank you, Melissa. Good evening, everyone, and welcome to the earnings conference call of Aptus Value Housing Finance India Limited to discuss its Q4 FY '23 and yearly performance.
We have with us the senior management from Aptus to share the industry and business update.
I would now like to hand over to Mr. Anandan for his opening comments, post which we can open the floor for Q&A. Thank you, and over to you, sir.
M. Anandan: Thank you, Mona. Good afternoon to all of you, ladies and gentlemen, I am Ananda n, Executive Chairman of the company. I welcome you all to the conference call to discuss the financial performance for the quarter ended and year ended March '23. I have with me Mr. P. Balaji, Managing Director; Mr. C.T. Manoharan, Chief Business Officer ; and Mr. John Vijayan, CFO.
The results and the investor presentations are available on the stock exchanges as well as on our company website. I hope everyone had a chance to look at it.
Aptus, as you're aware, believes in growth with due importance in t he quality of loan book with good financial metrics. Very happy to re cord that Aptus had a healthy and good overall growth in FY '23, as reflected in our strong financial results. Sharp business focus, deep penetration in served markets, customer centrici ty have enabled the company to achieve good growth.
Enhanced digital adoption in customer sourcing, underwriting, collection and risk management also supported the business growth well.
Total disbursements for the year stood at INR2,394 crores, up by 46%. Our AUM for March '23, was at INR 6,738 crores, healthy growth of over 30% Y -o-Y. With focused collection efforts, our collection efficiency have stabilized at over 100%, resulting in reduction in our soft bucket outstanding as well as overdues, and NPAs in particular. Spreads fo r the year was good at 14.3%, representing an increase of 65 basis points over FY '22 despite, significant headwinds in interest rates.
We have registered a consistent ROA of 8.44% and our ROE has gone up to 16.34%, up by 189 basis points Y -o-Y. This, as you must have observed, is one of the best in the industry. We've also declared a total interim dividend of INR4 per share .(face value per share is INR2). Our net worth stands at about INR3,300 crores, which indicates robust capital adequacy.
I'm also happy to share that the Board has elevated Mr. P. Balaji as the Managing Director of the company. Further, Mr. Manoharan, who was in charge of the business development has been elevated to the position of Chief Business Officer. And Mr. John, who is currently our Chief Risk Officer, has been promoted as the Chief Financial Officer of the Company . Also, the

organization further strengthened senior and middle management in sales, credit, technical and finance functions to pursue in next level of our growth.

I would now hand over the line to Mr. P. Balaji, our Managing Director of the Company , thank you.

P. Balaji: Thank you, sir. Good afternoon, friends. As on 31 March, '23, the total live customers were over 1,07,000, which represented a growth of 28% year -on-year. The total number of branches as on 31 March were at 231. W

e had added 23 branches in FY '23 and emplo yee count was at 2,405.

Major performance highlights were:

• AUM grew by 30% year -on-year to INR6,738 crores;
• Disbursements increased by 46% year -on-year to INR2,394 crores;
• Spread was at 14.31%, 0.65% increase year -on-year;
• Opex to assets were at 2.75%;
• PAT was at INR503 crores, growth of 36% year -on-year;
• ROA and ROE was at 8.44% and 16.34% respectively.

Now as regard to the asset quality, with focused collection efforts, 30+ DPD improved to 5.9% in March '23. This was 9.91% as of March '22. Coupled w ith this, there is an improvement in our GNPA to, 1.15% from 1.44% as of December '22. Net NPA was at 0.86%. Provision coverage maintained at 1.06% as on 31 March, up from 0.8 0% in March '22. We are carrying a total provision of INR71 crores and this when computed as a percentage of NPA works out to a coverage of 90%.

As regards borrowings, we have well -diversified borrowing with good support from NHB. Out of the total borrowings, 60% is from banks, 26% from NHB, 10% from DFIs like IFC and large financial i nstitutions and the balance is in the form of securitization. We enjoy a rating of AA -, both from ICRA and CARE. We have sufficient on balance sheet liquidity of INR1,186 crores, including undrawn sanction of INR625 crores from NHB and banks. As on 31 Marc h, '23, our net worth was at over INR3,300 crores.

Thank you. And now with these remarks, I open the floor for the question -and-answer session.

Moderator: We have the first question from the line of Hirenkumar Desai , an investor.

Hirenkumar Desai: I have a couple of questions. The first one is, I mean there is this discussion all the time about a K-shaped recovery in the economy and lower income population, which is our customer base, is having a little bit of difficulty because of inflation and sca rs of COVID. Are we seeing anything in our book in terms of DPDs or anything else?

M. Anandan: Yes. We did have the impact of COVID visible in FY '21 and early part of FY '22. After that, during the last 12 months, there is very good improvement in collect ions, and we've been consistently collecting a little more than even 100% of the monthly demand -- resulting in our outstanding, both in terms of soft bucket and NPA coming down significantly.

And not only there is substantial improvement in collection a nd reduction in the overdues, but our business also come back very well, resulting in significant growth in our business post COVID. In fact, as you must have observed, in FY '23, we had a growth of 4 6% in disbursements.

Hirenkumar Desai: Yes. Okay. That answers the first question. The second question is, see, our cost of funds will be rising with a little bit of a lag compared to repo hike, et cetera, assuming that our borrowing from bank mostly will be on MCLR benchmark. Do you have an assessment as to a t what number and around which month our blended cost of borrowing might peak out?

M. Anandan: We are very strong on our liability side, basically because our leverage is low . On a balance sheet size of about INR 7,000 crores, closer to about INR 3,300 crores is our net worth . Of the balance INR 3,700 crores als o if you see, little over INR 2,200 crores are really long -term fixed interest rates, particularly from institutions like NHB. We have a borrowing of about INR 1,000 crores loan from NHB. Of the b alance we do not have any short term borrowings and these are mostly linked to 1 year MCLR of banks .

Additionally, in the month of December '21, we also had an upgrade in credit rating, that also helped us to tie up the funding at a slightly lower cost.

So all these has really resulted in good control of our cost of fu nds, so much to say that while the interest rates have gone up by 250 basis points, we have gone for an interest rate hike to our

customers of only 50 basis points, that too effective from November '22. Despite significant headwinds on the interest situation, and despite our ability to pass on the interest rates hikes due to our good pricing power , we have really gone for a very modest price increase and yet we are

able to protect our margi ns and ROA.
Hirenkumar Desai: Okay. Just a follow -up. So, do we have some more sanctions available to draw from NHB, or we have used up?
P. Balaji: Yes. we had a sanction of INR 500 crores sometime in December 2022 , of that we have drawn INR 300 crores as of March 2023 . And if you look at our investor presentation, we have around INR 625 crores of undrawn funds. Of that, INR200 crores is still to be drawn from NHB.
Hirenkumar Desai: Okay. Just one last question. So, what is the thought process behind givi ng the dividend? See, we are generating good ROE of 16 -plus-percent. And I am assuming that with the improvement in leverage, the ROE will improve further. So, when we are g iving such good returns, what is the idea behind giving dividend?
M. Anandan: The Board has considered these aspects very carefully and deeply. And we thought, it will be in the overall interest of all concerned, particularly, shareholders to declare dividend . And it is a Company objective to further enhance our ROE. In fact, as you rig htly said, our ROE has gone up in the current year by almost about 189 basis points. And in fact, this is possibly one of the best in the listed affordable housing finance companies . And our objective is to take this further forward. So, to that extent, th e shareholders will get benefited more.

Hirenkumar Desai: Okay. So, in the same line, one last question, sir. So, what is the maximum leverage that we are comfortable with? Right now, it's very, very low. So, like.
M. Anandan: You're right. Considering the good growth, we would like to maintain in the coming years, we will be comfortable with a leverage of around 5 -6 times.
Hirenkumar Desai: You mean up to 5 to 6x, we're comfortable.
M. Anandan: Correct.
Hirenkumar Desai: See, next year itsel f, it won't reach the 5, 6x, right? It will take a while to reach there.
P. Balaji: Considering the profits which we are generating, it will take a while to reach that 5 to 6x level. So that's why we may not come to the market for capital.
Moderator: We h ave the next question from the line of Uday Pai from Investec.
Uday Pai : So just 2 questions from my side. First one would be that we saw a couple of management shuffles during the results. So, are there any more changes to be expected in the near term, sa y, 6 months? Or it is well settled now? And the second question is, are you thinking of any yield increases in Q1 or Q2, a small increase of 20 bps or so?
M. Anandan: Okay, got it. Now as far as the first question is concerned, it is unlikely that there will be any more senior management changes or upgrade. Actually, present one also is more of promotions from within to assume higher responsibilities. And we don't expect to see anything happening in the short term. As far as second question also, we don't really see any need for increas ing our lending rates. We are quite confident through higher disbursements and better cost control, we may not have to go for any more increase in our lending rates .
Moderator: We have the next question from the line of Am it Bhatt from MIT Engineers.
Amit Bhatt : Sir, under the able leadership of Mr. Anandan, Company achieved many milestones. But sir, after the IPO, the stock is consistently underperforming and even after 2 years, it is 30% below the IPO price. So, sir, because now Mr. Anandan is also aging, so what is succession plan for this Company ? And we heard that some big NBFC is going to merge your Company . So, can you throw some light?
And another t

hing is, why we are not growth hungry? You got your IPO at 50 high P/E. It means we're expecting more than 40% CAGR growth from your Company , and you are not delivering, you are giving dividend. We don't want dividend, we want growth, we want the price movement because most of the people asking questions, most of the big guys, they shy away from your Company . Can you throw some light why it is happening?
M. Anandan: It is true that our prices -- market prices are lower than our IPO prices. And as you might recall, we came with an IPO sometime in August '21. And af ter that, we came out with 7 quarterly results, if I recall rightly, including the March '23. In all these 7 quarterly results, the performance of the Company has been consistently good and very good.

We keep maintaining a good growth rate in our disbursements, loan book, profit, return on assets, ROE etc. So as far as the Company is concerned, we continued to perform consistently well in the last 7 quarters and the Company is well placed to perform and grow much better as well. But when it comes t o the market price, you know pretty well that there are a lot of other

headwinds caused by the international situation or caused by the market situation. And to an extent, the risk associated with any equity investments will be there. But we are very consc ious, and we are very committed to keep performing well and also keep communicating well to all the stakeholders as to the performance of the Company is concerned.
Amit Bhatt : Sir, what is the succession plan, because you are now aging, sir, and only one n ews that Cholamandalam is coming, sto ck increased by 20%. So, market is giving you clear signal that market wants growth, market wants something new out of box from the management. You can't blame only the market conditions. There are many NBFCs performing very well during this time, in the price movement I'm talking about.
So, sir, there must -- you please clear the succession plan, include some good management people from outside also or if you can't, then please merge with some bigger NBFC to fire. Becau se when you bought the IPO at promising 40% CAGR growth, now you're talking about that in future, the growth is going to be 25% to 30%. That, market doesn't like, sir.
M. Anandan: No. I take the point. Just on the succession plan, we have worked on that and in the last board meeting, we had really taken some decisions, and that decision what has been reflected in the investor presentation and in fact, what I have mentioned in my opening remarks, I did mention that there is -- Mr. Balaji has been now made the Managing Director of the Company , and we have really elevated Mr. Manoharan as the Chief Business Officer. And we also made Mr. John Vijayan as CFO who's been very experienced in this area. So, in other words, the succession plan is really being put in place, and it is presented in our investor communication -- investor presentation, we have given clearly the entire management team and steps are being taken from the point of succession plan, not only at the departmental head levels -- senior levels, but even at the middle management levels in credit, lending, collection etc., We have taken a lot of steps that we hope are very positive and will result in a good , continued growth in business as we have done in FY '23.
Moderator: We have the next question from the line of Ankit Shah from White Equity.
Ankit Shah : Sir, my first question is on the competition. So, companies like Aavas , etc, are offering loans to similar set of borrowers at much lower i nterest rates. So, I wanted to understand why the borrowers are preferring us versus them? And why would they not shift to competition?
M. Anandan: Yes, you are right, there is competition. And not only from the existing players, but from some newer players also eme

rging. And not only the players in the home loan finance segment, but some of the small finance banks also have started entering into this home loan business, affordable home loans business in particular.
So, to that extent, the re is competition. But what we are really seeing is that, given our strength in terms of distribution and very deep presence, for example, of about 231 branches, we have 86

branches in Tamil Nadu, 86 branches in Andhra, 35 branches in Telangana and 21 bran ches in Karnataka. In fact, in Tamil Nadu, if you see out of the 86 branches, literally at every 70 to 80 kilometres we will have a branch. So, in other words, our c arpet coverage is one of the best and which is an opportunity to be closer to the customer, in terms of originating the new business and also quickly provide best services possible to our existing customers, who in turn refers new customers to us. So, given this approach, we are able to really do well and the fact that even in FY '23, we had re ally grow n our disbursement s by 48%, indicate that despite the competition, we have a strength to grow, given our very deep commitment and closeness to the customers.
Ankit Shah : Right. Sir, one follow -up on this. Over the next 3 to 5 years, assuming that interest rates don't move much from here, do you see our yields trending lower? Or you see the yields remaining around these levels?
M. Anandan: Our lending rate will broadly be around this level. In fact, in the last 10, 12 years if you look at it, we had not really gone for any lending rate increase, barring the small increase that we did in November 2022 and that too only by 50 basis points against an interest rate increase of 250 basis points. We had gone for a very small increase. Barring that, we are able to maintain the same lending rates, almost over 10 years now.
But what w e really have is one of the best financial metrics, which we are able to obtain through, lower operating costs , lower credit costs and higher productivity of our branches and our staff.
So, in other words, we are very proven organization and both the volume growth and cost control helps us to maintain this kind of pricing.
Ankit Shah : Got it. Sir, next question is on the statutory auditor. Sir, would it be possible for you to give us some sense of why we shifted out from a Big Four fi rm to some other auditor last year?
M. Anandan: Actually, right from the beginning till about FY 2 1 we h ad Deloitte and EY as our Statutory auditors. But consequent to the restriction in number of audits by audit firms and, given our current size, we had to look for an alternate auditor to the Big Four.

And the current auditor also is well -known and establi shed. In fact, they are auditing about, if I recall, 3, 4, home loan companies, including a home loan Company part of a very large group and a public sector bank . So, in other words, they are well experienced in the home loan businesses, and they are an established audit firm with particular exposure to the home loan finance .

Ankit Shah : All right. Sir, last one from my side. So, the difference between the AUM and the advances, is it only for the securitization or is there something else also?

P. Balaji: No, under IndAS, what happens is the gross loan book gets deducted by the provisions which we carry and the processing fees which gets deferred for recognition of income. So those are some of the things which has got adjusted with the reported AUM .

Moder ator: The next question is from the line of Renish Bhuva, from ICICI Securities .

Renish Bhuva : This is Renish from ICICI Securities. Sir, just 2 questions. So, one is on this -- our geographical concentration. So, sir, Karnataka exposure is actually coming down on a yearly basis. It went down to 8% i

n FY '23 from FY '20, though in our various commentary, you've been mentioning that Karnataka is our focused State . So just wanted to understand what is happening in Karnataka specifically.

M. Anandan: Basically, at a macro level, we've been consistently presenting that our strategy has been deeper presence and market leadership in States wherever we operate, market l eadership wherever we operate rather than very thinly spread out our branch es across the country and call ourselves as a pan India Company .

Now flowing out of the basic strategy we have reached a very good c arpet coverage in terms of business in Tamil Nadu and now in Andhra , as we did in Andhra and Tamil Nadu, where we have 86 branches in each State .

We are also planning to open few branches on pilot project basis in Maharashtra as well. These things will happen progressively and we are very clear, whe rever we operate, we will operate with lot deeper, with lot more intensity, closeness to the customer, and would want to be a market leader in that particular State wherever we operate. This provides us opportunity to be the market leader in affordable housing finance companies in the se States . But in the current year, our focus is now going to be in Telangana and Karnataka, and we see good opportunity to grow these markets also as we have g rown in Tamil Nadu and in Andhra. Also , as part of our geographical diversification, we've looked at the States adjacent to our present operation and have commenced 2 branches in Odisha, and we are planning to add another 2 or 3 branches in the coming quar ters itself.

Renish Bhuva : Got it. Got it. And sir, my next question is on a sort of sustainable yield side. So presently, our customer mix side, we are having almost 30% of new -to-credit customer, wherein we would be able to charge a little higher, given no credit history. But as we move along with scale, maybe this share of new -to-credit will come down and where the yield would be again lower. So, sir, on a -- maybe from a medium -term perspective, what sort of sustainable yield you guys are looking at in ternally?

M. Anandan: No. If you look at our investor presentation, very clearly there are 2 business components. One is about, let's say, INR 7,000 crores on loan book, about INR 1,000 crores is from SME customers, where we charge 21% and that is a market rate being charged by maybe 5 to 7 other players as well. So, we are not really charging anything more than what's being charged by the market for providing the funds for this category of the SME customers.

Now the other thing is that about balance INR 6,000 crores is home loan and home equity loan , where our average lending rate works out to around 14.5% to 15.5%. In fact, after the last 12 to 18 months price increase because of the interest increase, the gap between us and our competito rs have come down. In fact, they already moved up to 13.5% to 14%, and we may be 0.5% or 1% more , which we believe can be sustained.

For the kind of service that we provide -- small -sized loans, average loan of less than INR 10 lakhs to be collected over a 15 year period, involves certain transaction costs . So, given that, these rates are well accepted by our customers, which is reflected in our low loan transfers to other large housing companies or banks.

So, in other words, our entire pre -closures are around 8%. Of the 8%, 5% comes from customer ’s own money. They have not taken any loan from anybody to pay off our outstanding loans. The

actual loan transfer to other banks, other HFCs is only about 3%. So, the interest rates that we have been charging is well accepted, and related to the market situation, given the nature of these customers and the operating costs in th is segment.
Renish Bhuva : Got it, sir. Okay. So fair to assume that the current yield is

more or less sustainable, at least in near term?
M. Anandan: Yes, , Renish.
Moderator: We have the next question from the line of Rajiv from Yes Securities.
Rajiv: This is Rajiv . Congratulations on a very good set of numbers. I have a few questions. Sir, firstly, this sharp jump in small business loan book on a Q -on-Q basis. This book was pretty steady in the preceding quarters. And in this quarter, we have seen a certain big jump . What has driven this?
M. Anandan: Basically, because the COVID impact on SME we found was a lot harsher than the home loan customers. Given that, we have gone very consciously, a bit slow in lending to the SME customers till about almost 6 to 12 months back .
We are seeing now the customers are coming back to normal in terms of their demand for loans and in repayment s given that we now activated this SME lending, we do see the SME lending as an important segment going forward for this Company . In fact, we are also planning from future growth point of view, like our affordable home loans, we will be focusing on the SME segment also going forward, specifically branch -by-branch and State -by-State . So, we see that as a good segment to be pursued in future.
Rajiv: Sir, the ticket size average will be what in the future? Currently it's contributing 21%, how higher can it reach as a proportion of AUM?
M. Anandan: Actually, ticket size for our SMEs average around INR 7 lakh and the tenor is about 7 years.
Rajiv: Got it. Yes, and sir, over the last 3, 4 quarters, how has the disbursement average ticket size moved in home loans? Anything similar or?
M. Anandan: Despite the inflation -- interest rate increase and inflation, our average size is around INR 8 lakh to IN R 9 lakh only. It has not really moved up Whatever increase in our disbursements, 40% to 46% growth is mainly with the number of loans rather than the average ticket size moving up.
Basically, we find a couple of reasons. One is that as we open more branches and go deeper into

geographies from the district level to taluk level , we find the average loan size also is slightly lower in the deeper markets than in the suburbs
Second thing is that we are very, very conscious in our credit underwriting in terms of in stalment to income ratio. (IIR) So while because of inflation, the cost of construction would have gone up a bit, but we also have to look at it from the point of IIR as well.
Rajiv: Sir, post the rating upgrade, what has been the extent of reduction you've seen on the credit spreads being charged by the bank over the MCLR, the credit spreads which they were charging?
P. Balaji: On the fresh borrowings, we were able to secure savings o f around 0.25% to 0.5%. And tenor is normally 6 to 7 years we are getting from the banks.
Moderator: We have the next question from the line of Kunal Shah from Citigroup.
Kunal Shah : So now -- maybe earlier your reappointment was -- maybe you are there til l 24 December, 2024. So, if you have to look over here maybe as an Executive Chairman, would you be continuing till that date because it doesn't mention in terms of maybe for what period? And will it be like the transitioning with Mr. Balaji over the next 1.5 years? How should we look at this?
M. Anandan: Yes. Actually, my current employment contract as approved by the Board and the shareholders for 5 -year period commenced from Dec '19 to Dec '24. I will continue till that period and support the Company till December '24, till com pletion of my tenure. And to that extent, both I and Balaji will be working together .
Kunal Shah : Yes. That's very helpful. And secondly, in terms of maybe the branch expansion, which you have highlighted, so when we look at it, what could be the extent of presence which we are planning to have, say, in Odisha, Maharashtra as well as Telangana compar

ed to where we are today? Because generally, we are seeing maybe in the mature markets around about, say, 85, 90 odd branches. And given that at least Maharasht ra and Telangana would have equal potential, where would we want to reach in terms of deepening the presence here?
P. Balaji: Yes. See, last year, we have opened 23 branches. This year, we are planning to open at least 30 branches. Of that about 3 more branches will be in Odisha and 2 or 3 will be in Maharashtra.
And the balance will come in Telangana and Karnataka because that's going to be our focus States where we'll be growing, because Tamil Nadu and Andhra Pradesh, we already have 86 branches each, and they are contributing . So basically, the other 24 branches will come in --

mostly in Telangana and Karnataka.
Kunal Shah : Okay. And in terms of the employee cost, so obviously, that was higher. If you can just highlight in terms of maybe a ny annual incentives one -off, which could have been there, the extent, which is there, and what would be the normalized run rate over there?
P. Balaji: See, if you look at the Q -on-Q employee cost increase, it's basically there are 2 reasons why it got sli ghtly increased. One is we had added more branches. So, because of that, more employees came in and because of that, that cost added up. Plus, because of the increase in the volume, we had to provide for a higher incentive, and that is what is getting refl ected in the salary cost .

M. Anandan: One other element is that we've been making certain investments in strengthening our senior and middle management in the Company as I mentioned in the beginning, in functions like sales, credit and collections. Conscio usly, we are preparing for the next level of growth. And to that extent, we have gone for -- both by numbers and more importantly, by the quality and seniority, we've strengthened our middle management significantly in the last 6 months or so.
Moderator: We have the next question from the line of Siddharth Jain, an investor.
Siddharth Jain: Just wanted to check on the NPA thing. The 30+ that we see in the presentation has gone down from, say, 6.27% in December '22 to 5.9% in March '23. However, the reduction in NPA in correspondence to that has also been significant. So, if you can guide the differential between the two.
P. Balaji: The NPA, which was at 1.19% last year has reduced to 1.15% currently and stage 2 which was at 8.72% last year has come down to 4.75% as of now.
Siddharth Jain: So basically, the point is that the 30+ DPD is 5.9%. Ho wever, the NPA is 1.15%. So, the differential between the two is slightly higher as compared to the competition. So, I just wanted to understand, is it because of the muting in the middle buckets or what is the reason for that?
P. Balaji: If you look at it , in the last financial year because of the COVID, like all other companies, we also got affected. And we had given a lesser moratorium as compared to other companies at that point of time, which RBI had announced. Because of that, the DPD freeze which was available for the other companies was not available to us and with the result that the Stage 2 asset got increased .
That's what is reflected and as on 31 March, '22, it was at around 8.72%. So, the efforts are on now to reduce that from 8.72% to our pr e-COVID levels of around 4% to 5%. So that's what is directionally happening. And from 8.72%, it has come down to 4.75% on the Stage 2, it will further come down.
Siddharth Jain: Understood. Any guidance on the future numbers?
P. Balaji: It's slightly diff icult to predict because the efforts are on and for these kinds of customers , what happens is paying one EMI is easy, but if you are asking them to pay 2 or 3 EMIs at one point of time, it becomes difficult. So, our endeavour is to bring this down to 4%. So hopefully, w

e'll
be able to do it.
M. Anandan: Overall, our NPA -- we are working towards an NPA of around 1%. That is 90 plus and we're also working towards Stage 1 of at least about 96%, . So, the balance 4% to 5% will be there in 30, 60 to 90 and above 90 also. And we are progressing very well in that direction.
Moderator: We have the next question from the line of Ankit Bansal from AB India.
Ankit Bansal: Sir, congratulations on good set of number and over the whole year . So, my question is like RBI is pausing the interest rate. Sir, we'll be able to see the borrowing cost decreasing? And what is

your future rate of interest are you taking? How is it planned for year '24, '25? Can you please explain on this?
M. Anandan: Yes, with the interest rate now softening by 10, 15 basis points and the increased interest environment seems possibly -- I won't say -- use the word behind, but at least the pause is very much there. But definitely, the softening will happen , maybe over a period of time, related to the inflation, as you're aware.
But then as far as our pricing policy is concerned , while this reduction in interest rates will benefit us, at best, we'll pass on that to our variable contracts. On the fixed contract, we will get the benefit with the reduction in interest rates. But in the variable, we will possibly pass on whatever the re duction is.
Ankit Bansal: Okay. Sir, what will be the future growth -- areas of growth that will drive the Company into higher levels? Are there any plans of converting from housing Company to a bank? I mean for

a plan of 20 years -- 15 to 20 years, is the re any plan or just sticking to a housing Company ?
M. Anandan: I don't know if people will be able to really talk of 15, 20 years . But then definitely, in the immediate term, there is no plan for the Company to get into any unrelated financial services activities, including a bank. Our focus will continue to be on home loans and our focus will also be in SME, to the same profile of our customers, who are largely informal Tier 3, Tier 4, self - employed against their residential property.
So, we will continue to be largely in the secured loans , largely in the affordable home loans and may enhance a bit on our SME, and we will enhance our presence with a deeper penetration in our existing branches and open new branches in the adjacent States as we grow further. So, our growth will be largely around home loan and SME. And our growth will be largely around deeper penetration geographically.
Ankit Bansal: Thank you, sir f or the future, congratulations, and I hope your investor will grow also with t he Company .
P. Balaji: Yes. Thank you.
Moderator: We have the next question from the line of Mona Khetan.
Mona Khetan: So firstly, on the cost of fund side, assuming that there are no further rate hikes, what sort of rise in cost of funds could we expect this fiscal? And also, do we have any high -cost debt maturing in this fiscal?
P. Balaji: Yes. There is around INR 100 crores to INR 150 crores of high -cost debt getting matured. So that will get replaced with a lesser cost of funds borrowings. That will ha ppen in the second quarter -- beginning of the second quarter, starting July. Then as of the total borrowing, we have almost 60% of the borrowings as a fixed rate borrowing. So, there will not be any change on that.

And whatever is the one which is relat ed to the variable rate, which is linked to the 1 -year MCLR, whatever is the increase that has to happen has already happened. So, if there's a reduction in the MCLR that benefit will come in the third quarter and fourth quarter of this financial year.
Mon a Khetan: Okay. And incrementally, at what rates are we borrowing from bank?
P. Balaji: Currently at 8% to 8.2%

. And currently -- I mean, we have not drawn some of the funds because we are anticipating a lesser interest rate. So, we are still negotiating w ith the bank s. The last drawn rate was at 8% without considering NHB, obviously.
Mona Khetan: Right, right. And as far as your customers are concerned, it's fair to say that they've not gone through any EMI increase so far.
P. Balaji: Yes.
Mona Khetan: And somewhere in the opening remarks, you mentioned about strengthening the middle management as well. So, if you could highlight if there are any specific changes that have happened around that?
M. Anandan: Yes, our sales and marketing organization, we ha ve the branches, cluster managers and area managers. And then area managers reporting directly to Mr. Manoharan, who is the Chief Business Officer.
What we have started is to strengthen this and , gone for a State head level position in each State . In othe r words, for the four States now, we have decided to go for a State head . For example, now we have a person to head the Tamil Nadu State , another person to head the -- Andhra of course, we have divided into, one is the Coastal Andhra, second is the Rayala seema. Coastal Andhra, we already have a person in place. And Telangana, we have a person in place. And even the Rayalaseema and Karnataka, we have identified the person. And so, in other words, we brought in under Mr. Manoharan, who is our Chief Business Officer, 4 State heads , in fact 5 State heads to drive the business and to be closer to every branch .
Also, through larger training and exposure, we have strengthened our branch managers and the area managers. And given geographical issues, wherever required, we have added a few more - - we have totally around 54 cluster managers, which we have added another 5, 6 to have a better pursuance of business not only disbursements but col lections as well. So, if you really look up the entire sales and marketing, we've strengthened it in a way that now we can function well and be able to pursue good growth.
Similar steps we have taken on the credit as well. For example, in HO, we have about 30+ credit officers approving all the credit files. We have now gone for State -wise and product -wise credit heads who will approve these files . Similar changes have been done in the collection area as well.
Mona Khetan: Got it. That was useful. And since we are running out of time, we'll just close the call as well. Thank you everyone for joining us today. And thank you to the management for this opportunity to host the call. Sir, over to you for any closing comments you may have.

M. Anandan: Thank you, M ona. I'd like to pay my sincere gratitude to all the analysts and friends who have taken time out of their busy schedule to listen to us today. Please feel free to connect with us in case you have any further questions. We would be happy to get back to you . Thank you.
Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of Dolat Capital, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.
Thank you.

Call: Aug 2023

Aptus Value Housing Finance India Limited
Q1 FY '2 4 Earnings Conference Call
August 02, 202 3

MANAGEMENT : MR. M ANANDAN – EXECUTIVE CHAIRMAN
MR. P BALAJI – MANAGING DIRECTOR
MR. C T MANOHARAN – CHIEF BUSINESS OFFICER
MR. JOHN VIJAYAN – CHIEF FINANCIAL OFFICER
MODERATOR : MS. MONA KHETAN – DOLAT CAPITAL

Moderator : Ladies and gentlemen, good day, and welcome to Aptus Value Housing Q1 FY '24 Results Conference Call , hosted by Dolat Capital.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing *, then 0 on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Mona Khetan from Dolat Capital. Thank you, and over to you, ma'am.
Mona Khetan : Thank you, Yusuf. Good evening, everyone, and welcome to the earnings conference call of Aptus Value Housing Finance India Limited to discuss its Q1 FY '24 performance. We have with us the senior management from Aptus to share industry and business updates. I would now like to h and over to Mr. Anandan, Executive Chairman of Aptus for his opening comments, after which we can take up the Q&A. Thank you, and over to you, sir.
M. Anandan : Thank you. Ladies and gentlemen, good afternoon to all of you. I am Anandan, Executive Chairman of the company. I welcome you all to the conference call to discuss the company's performance for the quarter ended June '23. I have with me, Mr. P Balaji, MD , Mr. C T Manoharan, C BO and Mr. John Vijayan, CFO. The financial results and the investor present ations are available on the website s of the Stock exchanges as well as our company 's. I hope everyone had a chance to look at it.
Aptus, as you are aware believe s in growth with due importance in the quality of loan book with good financial metrics . Very happy to record that Aptus had a decent first quarter of FY '24. Sharp business focus, customer centricity, deep penetration in served markets along with appropriate tech support have enabled the company to achieve good growth.
Going forward, we will continue to focus on some of the key strategies, namely ;

• Growing disbursements and loan book both in Housing Loan and Small Business Loans considering the large head room available in the low and middle income segment in tier 3 & 4 cities
• Increasing penetration in existing geographies by opening new branches and commencing operations contiguously in the States of Odisha and Maharashtra
• Strengthen analytics and digital adoption, about 14% of our business in Q1 FY 24 has come from construction eco syst em app, customer referral app and social media leads. Our focus shall be to increase the leads through these channels, in addition to the physical branch network .
• Continue to focus on productivity, collection efficiencies, opex and cost of funds.

Our net worth, as you know, stands at around Rs. 3,400 crores, indicating robust capital adequacy. This coupled with good support from NHB, Banks & DFIs on the borrowings side and with strong on ground demand for both home loans and small business loans gives us confidence to pursue strong growth in the year with sustained profitability.
I would now hand over the line to Mr. P Balaji, MD to discuss various business parameters.
Thank you.

P. Balaji : Thank you, sir. Good afternoon friends. As on 30 June 2023 , the t otal live customers were over 1,12,000 representing a growth of 27% year -on-year. Total number of branches were at 231.

Seven more branches have become operational as we speak. These branches are mostly in the states of AP and Karnatak a. Employee count was 2,584.

Major performance highlights are

• AUM growth by 29% year -on-year to Rs. 7,123 crores
• Disbursements increased 23% year -on-year to Rs. 646 crores.
• Spread was at 13.29%.
• Opex to assets were at 2.55%.
• PAT at Rs. 142 crores had a growth of 20% year -on-year.
• ROA and ROE was at 8.21% and 16.93%, respectively.

Now coming to the asset quality, collection efficiencies dropped marginally to 99.52% in the quarter, which is somewhat seasonal as it is applicable to most o f the NBFCs in the first quarter. This has resulted in increase of 30-plus DPD and GNPA marginally by around 0.37% and 0.14%, respectively. This will be improved and restored back to the collection levels of more than 100% in the ensuing quarter s. GNPA was at 1.29% and Net NPA w

as at 0.97%. Provision coverage has been consistently maintained at 1.06% as on June 30, 2023 . We are carrying a total provision of around Rs.76 crores, and this when computed as a percentage of NPA works out to a coverage of 82%. Ou tstanding restructuring book was minimal at 0.58% and the behaviour of this book is on par with our normal book.

Coming to the borrowings, we have well -diversified borrowings. Of the total borrowings, 60% are from banks, 28% from NHB, 9% from NCD issued to IFC, mutual funds and NBFC s and the balance in the form of securitization. We enjoy a rating of AA- both from ICRA and CARE. We have sufficient on -balance sheet liquidity of Rs. 897 crores, including an undrawn sanction of Rs. 400 crores from banks. As on June 30, 2023, our net worth was around Rs. 3,400 crores.

Thank you all. Now with these remarks, I open the floor for the question -and-answer session.

Moderator : Thank you. We have our first question from the line of Ms. Mona Khetan from Dolat Capital. Please go ahead.

Mona Khetan : So firstly, going by the low credit cost in an environment where you're seeing slightly higher NPA level and stable PCR levels across your overall ECL versus the Stage 3 provision. Were there good recoveries during the quarte r that helped the low credit cost?

P. Balaji : Actually, if you look at the provision increase as per our ECL table, it is around Rs. 4.5 crores . From Rs. 71 crores in March 2023 , we have increased it to Rs. 75.51 crores. But if you look at the P&L debit it is around Rs. 2.5 crores, which means there is a good recovery from the ones which have been written -off earlier .

M. Anandan : Actually, just to add to what Balaji said , if you look at our pre -COVID year FY '19, FY '20, FY '21, we've always had a very low NPA and hence very low credit costs as well. Only in FY '22 and FY '23, our credit costs have gone up , that too not because of write offs but to strengthen

the PCR. Now w ith the PCR strengthened at around 1.06%, we currently carry a cumulative provision of about Rs. 75 crores.

So, going forward that way the high level of provision that was required on account of COVID and the consolidated increase in NPA, may not be required on the same level. So, in other words, while it is true that when compared to FY '23 or FY '22 first quarter credit cost is lower , going forward also this trend will be more around this level. In fact, in the pricing, we did provide credit cost of up to 0.5%. But actually, credit cost will be much lower than that .

Mona Khetan : Got it. And just referring to the r ise in Stage 3 levels this quarter, so where could we end the year? Could we see a similar trend like last year where Stage 3 increased in Q1 but then moderated over the course of the year?

P. Balaji : I think that's what will happen. See if you look at our earlier NPA as of June '22, it was around 1.75%, it has reduced to 1.15% as of March ’23. But we are starting this year with a much lower NPA as compared to June '22. But this, again, will be reduced and it will be brought down to at least to the levels o f the last year, basically at least at 1.15%. But efforts are on to reduce it below that level as well.

Moderator : Thank you. Next question is from the line of Bhuvnesh Garg of Investec Capital. Please go ahead.

Bhuvnesh Garg : Congratulations for a good set of numbers. Sir, I have a question regarding our cost of fund. So, we have seen increase in cost of fund during the quarter. So how much further increase do you expect in cost of fund? And then how our NIM would play out in t hat scenario , in rising cost of fund?
P. Balaji : During the quarter, we've got sanctions worth Rs. 740 crores. Of that, we have drawn some and Rs. 400 crores is yet to be drawn. If you look at the various kind of interest rates what we have contracted w

ith , basically in the housing finance company, we have contracted at around 8.1% to 8.2% of around Rs. 400 crores. These again are fixed interest rate loans for the entire tenor of the loans i.e. 5 years.
And for the NBFC, it is slightly more by at least 0.25% to 0.5% where we have raised money at around 8.4% or 8.5% in the NBFC to the extent of Rs. 240 crores. So, this is the level at which we are borrowing now, and we are negotiating hard with the funding agencies for getting this done. But obviously, we are getting in the range of 8.2% to 8.5%. But what will happen going forward is during the third quarter, NHB is likely to sanction more refinance . So that will be at a lesser rate of interest. With the re sult, the cost of borrowing is likely to remain for the year at around 8.3%.
M. Anandan : Just to add, the other part of the question in terms of NIM. It is true that our NIM slightly has come down in Q1 primarily because of the 250 basis points increase in repo rate by RBI, which has not been fully passed on to our customers. We have increased the interest rates for variable rate customers of Aptus constituting 23% of the portfolio by 50 bps in Nov 2022. W e have not

gone for any increase at all on the other segment of the portfolio, we have really absorbed the increase .
We at Aptus believe that we would like to pass on the increase in interest rates only if there is a decrease in NIM. We do not want to increase the interest rates charged to the customers ahead of that. However, having waited for a reasonable time , we have decided to increase our interest rates for the Non HL portfolio and the Small Business Loan portfolio by 50bps with effect from August 01, 2023.
Bhuvnesh Garg : Sure, sir. And this 150 bps, when was this price hike taken? So, in which month it was taken?
M. Anandan: 50 basis points increase was done in November '22 and the current increase is going to happen from 1st of August , 2023.
Bhuvnesh Garg : 1st of August. Fine, sir. And secondly, sir, on our bounces if you can mention what was the bounce check for the quarter and how it has moved Q -o-Q or Y -o-Y?
P. Balaji : See, bounces at the time of COVID , was at around 26% to 27%. But after that, we have been experiencing a bounce rate of around 20%. This has been consistent across quarters. Considering the segment of our customers, we believe these bounce rates of around 20% will be there. Again, this 20% bounce is not because the customers don't have the ability to pay the ir EMIs , but they have weak banking habits. Even out of this 20% bounces , 85% of that 20% is getting collected by way of digital means either by way of Bharat Bill Pay or th rough UPI payments, which means only 5% of our total collection is by way of cash.
Bhuvne sh Garg : Got it. And sir, about our credit cost guidance. So, if I heard it correctly, so you said that the credit cost that we talked for the quarter , it will remain at the same level for -- going forward. Is that -- is my understanding correct, sir?
M. Anandan : Yes.
Bhuvnesh Garg : Only 15 bps then, for the quarter we had around 15bps -16 bps credit cost ?
P. Balaji : See, we are having a provision coverage of 1.06% , which i n value terms is around Rs.76 crores. As per the ECL model, the provision that is required to be made is only around Rs.42 crores . The additional Rs. 34 crores represents the management overlay which we are carrying in our books . So, this 1.06% is likely to be maintained on the incremental book as we ll and whatev er is the differential , that debit will come into the P&L account.
M. Anandan : Also, in respect of our level of the NPA , not only NPA but even the 60 -90 is also fairly at a lower level. And while there is scope for improvement in our soft bank collection in terms of 0-30 or 30 -60. But 60 -90 and the NPA leve

ls have really come down reasonably and we are also putting up intense collection efforts to improve that further. So, going forward, our credit costs will be around that. It might possibly go up to maybe 0.25% or 25 basis points. That's about it.
Bhuvnesh Garg : Got it. Very fair. Thank you and all the best, sir.

Moderator : Thank you. Next question is from the line of Renish from ICICI. Please go ahead.
Renish : Yes. Hi. Congrats on a good set of numbers. Again, just a follow -up on the price hike. So, if I heard you correct, we are increasing our rates by 150 basis points from August 1 ?
P. Balaji : Not 150. It is 50 basis points.
M Anandan : 50 basis points only, not 150.
Renish: Okay. It is 50 basis points from 01st August ?
P. Balaji : Yes, Renish , from 01st August 2023.
Renish : Got it. And sir, secondly, again, on the ECL provisioning in the light of P&L credit cost. So, this quarter, it was 15 basis points. So, for rest of the three quarters, you are expecting this to remain at 25 basis points, is it right ?
P. Balaji : Yes. It will be around that .
Renish : For the rest of the three quarters, right?
P. Balaji : Yes.
Renish : And on the full year basis, what is our AUM growth guidance, sir, for '24?
P. Balaji : We have been guiding the market at 30% loan book growth. That will be there.
Renish : Okay. And with similar AUM mix?
M. Anandan : First quarter, while our disbursements are slightly lower, around 23% or so, but our loan book has grown even in the first quarter by about 29%. So, for the full year, we are confident of around 30% plus going forward.
Renish : Got it. And AUM mix, I believe, will remain same? Or will there be any change?
P. Balaji : If you look at the total consolidated book, 59% is home loan and in HFC around 57% of the total assets is in Housing Loans which we need to bring it up to 60 % by March 2024. So, to that extent, there will be a small change in the housing loan to the other loans. But again, if you look at on a consolidated basis, we have an NBFC, where there is actually no limit for doing that business. So, to that extent, it will get evened out .
Renish : Got it. And since there will be only a percentage point of increase in the home loan, the book mix change will not have any impact on the yields, right?
P. Balaji : Yes, it will not.
Renish : Got it. Okay. That's it from my side. Thank and best of lu ck, sir.

M. Anandan : Thank you, Renish.
Moderator : Thank you. We have our next question from the line of Ms. Mona Khetan . Please go ahead.
Mona Khetan : Yes, sir, I just have a few additional questions. So firstly, on the loan mix, if you l ook at the loan mix slide, the SBL book, which is about Rs. 1,260 crores, it grew by 29% Q -on-Q, the NBFC book, which is I'm assuming largely constitutes of SBL. Yet, if I look at the share of the same in the consol mix, it's about 21%. So just wanted to understand, I'm a ssuming the entire NBFC book is SBL loans only. Is that correct?
P. Balaji : From this quarter onwards, we have commenced booking non -housing loans , which are close to the nature of Small Business Loans in the NBFC as well, which is the main reason for higher growth in NBFC. I f you look at the non -housing loans per s e, there are two categories. One is the quasi -home loans and the other one is, actually the LA P, which is more like a small business loan. We have also started booking this loan in the NBFC.
So, to that extent, these loans which were earlier booked in the HFC is getting booked under the NBFC. That's the reason for a 29% increase in the loan book considering the lower base effect .
Mona Khetan : Okay. So essentially, the growth in LA P was pretty substantial, which comes under quasi -HL.
P. Bala

ji : Yes.
Mona Khetan : In the consolidated profile?
P. Balaji : Yes.
Mona Khetan : Okay . And so where would be the One plus DPD for us as on June?
P. Balaji : As of March , it was around 8%, right? Now it has gone up to 8.5% because this 0.3% plus 0.14% has got into this.
Mona Khetan : 8.5%. Okay. And just to reconfirm the rise in PLR in your case. So, the price hike in all has been about 100 bps, 50 bps in November and 50 b ps in 1 , August.
M. Anandan : Actually, in all we have made an increase of 50 basis points only. Out of 23% of the portfolio, we have implemented the 50-basis point increase from November '22. On the remaining portfolio , we are now increasing by another 50 basis points effective August 01, 2023 . So, it is an increase of 50 basis points only .
Mona Khetan : Okay. So, in all, there'll be only 50 bps for the overall book, the pending 70% - 80% of the book will be inculcated in the 50 bps.

M. Anandan : Right, yes.

Mona Khetan : Okay. Now that's really clear. Got it, sir. So just one final thing. You touched upon this regulation around HFC having 60% of assets, which needs to be towards individual housing loan. So, are we already m eeting this target, which is required by end of FY '24?
P. Balaji : Yes. As of June, we are at around 5 7% in the housing finance alone , which needs to increase to 60% and which is easily achievable. We are working towards that to get this done.
Mona Khetan Got it, sir. I will move back to the queue. Thank you.
Moderator : Thank you. Next question is from the line of Rajeev from YES Securities. Please go ahead.
Rajeev : Yes, sir. This is Raj eev. Congratulations on healthy numbers. Sir, reconfirm me, have we taken 50 bps rate hike even for SBL?
P. Balaji : Yes.
Rajeev : Okay. And in terms of geographic mix, when I calculate growth rates -- incremental growth rates, Telangana has seems to have witnessed some slowdown in this quarter. Would that be right, sir? And any reason for that?
M. Anandan : No, actually. If you really look at the loan book , we had very strong disbursements in Andhra, followed by Telangana , Karnataka and then Tamil Nadu in that order .
Actually, going forward, we are really expecting very g ood growth in Telangana. Currently, we have 35 branches, and we are planning to add another 15 branches in Telangana. In Telangana, the loan book as on the first quarter of FY '23 was about Rs. 703 crores. In the f irst quarter of FY '24 , the loan book in Telangana was at Rs. 1,003 crores representing an increase of 43% (Y-o-Y).
Rajeev : Got it, okay. And sir, my question is for Mr. Anandan. So, sir, how do you see your association with the company going ahead because your term is getting over as an Executive Chairman in December '24. So, how would your association with the company be, how actively -- any more position can you be involved with the operation of the company?
M. Anandan : I'll answer this in two parts. One is that whether I will be in executive responsibilities from now that is as on date to December '24. That's a little over one year and four months. So, I will be in the executive position very much. During this period, I'll be focusing more in terms of the future strateg ies and more in terms of how do we really take this company forward from the current level of Rs. 7,000 crores loan book to let's say, Rs. 15,000 crores and further to Rs. 25,000 crores. My m ain focus will be on strategizing expansion plan, strengthening the organisation for the next level of growth, managing HR challenges, bringing in new IT initiatives etc at the macro level.

Regarding my role after December '24, the Board will deliberate and take a decision, maybe at least six months prior to December '24 and at least three

months to six months before that, we will exp lain to all concern ed on what will be my role after December '24.
Rajeev : Got it. But sir, post December '24, by virtue of your shareholding and being a founder, you can remain on the Board, right?
P. Balaji : He will remain on the Board.
M. Anandan : You know, my intention is to remain on the board, okay? The Board has to decide whether they want me to be continue on the Board , or not. Also, as per recent SEBI guidelines, there's nothing like non -retiring Directors. Everybody has to really get re -elected every five years, including the Promoters.
Rajeev : Got it. So, your intention is clear. Then ,the Board will decide. Got it. Yes. And just lastly on the distribution expansion plan. If yo u can just kind of elaborate how many branches, where the branches will be added in the next couple of years?
C. T. Manoharan : As of March '23, we had 231 branches. And as of today, we have added another seven till now , that is 231 plus seven , we are at 238 now. And by September, we will be adding another 10 more and also another ten before the end of the financial year . So, by end of March 2024, we'll have around 26 0 plus branches . Either in this quarter or third quarter , we will be entering Maharashtra and we'll be trying to expand in a systematic manner in that state also. We have already done that in O disha . Now , we have two branches in O disha , which will go up to five or six. So as far as distribution network is concerned, we will get to 260 plus branches by March '24.
M. Anandan So, in addition to physical distribution, lot of efforts and investment is going on in terms of people and money investment on the digital side and how to strengthen our customer app , our

ecosystem app and also improving leads through the other social media networks. This enhancement is particularly focusing not only the new customers, but we would want to focus on our existing customer base, which has already crossed over 1 ,10,000 . Also, we see a lot of opportunity to mobilize business through our existing customers as well in addition to the branch network, both in existing states and the newer states.

Moderator : Thank you very much. Next question is from the line of Kunal Shah from Citigroup. Please go ahead.

Kunal Shah : Yes. So firstly, with respect to this 23% of the floating portfolio is where we had revised the lending rates by 50 bps in November '22. And on the balance, 77 -odd percent of the fixed rate portfolio. Now lending rate is revised by 50 -odd basis points from 1st of August. So, is that understanding correct?

P. Balaji : Yes. See, 23% of the variable rate belong to the housing portfolio. That we have changed this 0.5% for all the live customers in November '22. Now what we are changing is basically the non-housi ng loan and the small business loan for all the incremental customers because these

are fixed rate loans. 50 basis points increase is for both the non -housing loan and the small business loans .

Kunal Shah : Yes. So, this incremental which is there, that's n ot for the 77%. In fact, it is only for the non -housing and the SBL because I think maybe what we highlighted was for the balance. We have increased it. But so, it is only for the non -housing and SBL is where...

P. Balaji : Yes,

Kunal Shah : Okay. Got that. And when we revised this 23%, okay, by 50 -odd basis points and the kind of yield expansion over last four-odd quarters of almost like, say, 20 -odd basis points. But there is no big change in the portfolio. Actually, when we look at it, almost like the port folio is also steady across maybe home loans , LAP, small business loans. So then maybe what would have led to this kind of increase of 20 -odd basis points in the yields. And now with this 50-bps kind of an increase, how should we see the

overall yield moment, yes?

M. Anandan : See, basically, as Balaji was explaining, on the overall basis, our HL is about 58% on a consolidated basis and 42% will be the non -HL. So, the entire non-HL of 42%, will go for the 50-basis point increase, effective 1st of August. Now of the 58% of home loan, we have already revised -- variable part of the home loans, 23% of the total portfolio we have revised it from November ’22 and for the balance, constituting fixed rate portfolio of the Housing Loans, there is no increase in interest rates being charged.

Kunal Shah : Yes. Got that. So that when we look at it, maybe 23% and 50 -odd basis points, that should ideally have at the 10 basis points, 12 basis points of the positive impact on yields. Okay. So that's where I'm coming from. So, there is almost like 20 -odd basis points increase .

P. Balaji : The increase of this 20 bps has come because of the small change in the product mix. If you look at our September portfolio mix, the small business loan was, I think, 19%. This has gone up to 21% as of now. So, there is a small change in the product mix towards loan which are giving us higher yield and has contributed to this 20 bps increase in yields.

Kunal Shah : Okay. And how much would be the balance transfer for us in the pre -closure?

P. Balaji We have around 8% of the of our average loan book which is getting pre closed. Of that, almost 70% is out of own source, i.e. own funds from the customers. The balance, 30%, which is around 2.3% or so, is getting transferred to either small finance banks or some other NBFCs as loan transfers .

Kunal Shah : Okay. So compared to 3 % odd , it's now down to 2.3% or so.

M. Anandan : Yes.

Kunal Shah : Okay. And one last question on opex . So where do we see? Would it come back to 2.75 %

M. Anandan : Actually, our opex has been pretty good right from 3.67% in FY’19 , 3.26% in FY’20, 2.70% in FY’21 , 2.53% in FY’22 and 2.75% in FY’23. Going forward, this will be between 2.5% to 2.6%. We want to be one of the most cost efficient company and fundamentally, we believe in a very high level of productivity of our people. This is not because of low salary as our attrition lev els are not higher than others.

In fact, it is lower . And our salary levels are favourable as compared to competitors. While our salary levels are good, we ensure that , they perform. So, it's more performance related or productivity related which we emphasize . So, our opex will always be efficient and comparable,

and it will be around 2.6%, at that level.
Kunal Shah : Yes. So still compared to FY '23, maybe 15 bps decline is something which we can anticipate?
M. Anandan : Yes. But if you really look at FY '22, it is only 2.53%. So, in fact, FY '21, it was 2.7%.
Balaji P : Kunal, if you're expecting 2.55% for the rest of the year, I think it might not be there because we are adding branches, which is around 30 to 35 branches. And to that extent, the salary costs and other costs will be there, and we are also investing a good amount of money in the technology. So, it can land between 2.6% to 2.65%.
Kunal Shah : Okay. Got it. Thanks. Thanks a lot.
Moderator : Thank you. The next question is from the line of Pranav Gupta from Aionios Alpha Investment Managers. Please go ahead.
Pranav Gupta : Yes. Hi, good afternoon. Most of my questions have been answered. Just a couple of questions. So one is on the optimum leverage that we think that the business can run at. Currently, obviously, our margins are seeing benefit from the capital that is there in the books. And over a period of time, we will see the leverage go up. But when we interact with rating agencies, what is the lever age that they are comfortable with a business like us? That's the first question.
P . Balaji If you look at the leverage currently on the

total balance sheet size, it is around 2.5 . If you look at the debt -to-equity, it is around 1.5 times . So, we are comfortable, and also based on the discussions with the rating agencies, normally, they are comfortable with 5 x to 6x, which means debt-to-equity will be between 4.5 to 5. These are the levels which we would like to maintain .
Moderator : Thank you. Next question is from the line of Varun, an Individual Investor. Please go ahead.
Varun : Hi, good evening. So just to type over the conversation that you were having with the previous caller. I hope that you guys are not planning to artificially bump up the ROE by distributing dividends as you guys said in the last year, solely because, given the size of the company, the loan book and the growth potential that the company has, dividends actually do not seem justified, right? It's better that the company invest t he money back in the business rather than distributing it to the shareholders? So, what is...

M. Anandan : Sorry, we are very clear . As a Company , we will have a very clear dividend policy and with certain purpose. And dividend, as you know, will only be pa rt of the profit of the company . Substantial profit will be left in the form of retained earnings for the company to support the company's growth. So definitely, we are not going for 100% pay out to ensure our ROE. So, in other words, we will have a clear path on the policy for declaring dividends and also on the profits to be kept as retained earnings to support growth.
Varun : Yes. But that is contradicting what you guys did last year, right, where the EPS was Rs.10 and you guys paid out Rs. 4 a dividend, which is 40% payout. And given this stage the company is in; a 40% dividend payout seems exorbitantly high ?
M. Anandan : No, it is your view. We have considered all aspects in the Board before declaring dividend . So just watch for a year or two years more, then our given policy will be lot clearer .
Varun : But you understand from an investor's point of view, right? Even from a tax point of view, is not efficient for the investments because dividend for us are being taxed at marginal rate, which is 30%. We'd rather have our money invested. So, we invest in a small -cap company like yours because we want to see that growth rather than you distributing the dividends to us and we're paying 30% tax on that. So, it just seems a very inefficient way of rewarding the investors.
M. Anandan : We are aware of the taxation . We know what is the tax rate on dividend. We know what is the tax rate on capital a ppreciation . We have experienced people on the Board who guides us in taking these decisions and be rest assured that we will be very responsible in terms of declaration of dividends.
Varun : Okay. Thank you. That’s it from my end.
Moderator : Thank you very much. Ladies and gentlemen, this was the last question for the day. I would now like to hand the conference over to Ms. Mona Khetan for the closing comments.
Mona Khetan : Thank you, everyone, for joining us today. Thank you to the management for providing us with the opportunity to host this call. Over to you, sir, for any closing comments you may have.
M. Anandan : Thank you , Mona.
Balaji P : Thank you Yusuf and thank you, Mona, for organizing this call. I would like to pay my gratitude to all the analysts and investor friends , who have taken time out of the busy schedule to listen to us today. Please feel free to contact either me or Sanin or Mr. Anandan as well, for any doubts you have on the company or any information you require. Thanks once again.
Moderator : Thank you very much. On behalf of Dolat Capital, that concludes this conference. Thank you all for joining us, and you may now disconn ect your lines.

Call: Nov 2023

Aptus Value Housing Finance India Limited
Q2 FY '2 4 Earnings Conference Call
November 03, 202 3

MANAGEMENT : MR. M. ANANDAN – EXECUTIVE CHAIRMAN
MR. P. BALAJI – MANAGING DIRECTOR
MR. C. T. MANOHARAN – CHIEF BUSINESS OFFICER
MR. JOHN VIJAYAN – CHIEF FINANCIAL OFFICER

MODERATOR : MS. MONA KHETAN – DOLAT CAPITAL

Moderator: Ladies and gentlemen, good day, and welcome to Aptus Value Housing Q2 FY '24 Earnings Conference Call , hosted by Dolat Capital.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, ple ase signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.

Please note that this conference call may contain forward -looking statements about the company, which are based on beliefs, opinion and expectation of the company as on the date of this call. These statements are not guarantees of future performance and involve risks and uncertainties that are difficult t o predict.
I now hand the conference over to Ms. Mona Khetan from Dolat C apital. Thank you, and over to you, ma'am.
Mona Khetan : Thank you, Yusuf. Good evening, everyone, and welcome to the Earnings Call of Aptus Value Housing Finance India Limited to discuss its Q2 and H1 FY '24 performance. We have with us the senior management from Aptus to shar e industry and business update.
I now hand over to Mr. Anandan, Executive Chairman of Aptus for his opening remarks. Thank you, and over to you, sir.
M. Anandan: Thank you, Mona. Ladies and gentlemen, good afternoon to all of you. I am Anandan, Executive Chairman of the company. I welcome you all to the conference call to discuss the company's performance for the second quarter and half year end ed September 2023. I have with Mr. P Balaji, MD, Mr. C T Manoharan, CBO and Mr. John Vijayan , CFO. The financial results and the investor presentations are available on the websites of the stock exchange as well as our company's. I hope everyone had a chance to look at it.
Aptus, as you are aware believes in growth with due importance in the quality of the loan book with good financial metrics . We are happy to record that Aptus had a decent second quarter and also first half year of FY '24. Sharp business focus, deep penetration in served markets, customer centricity along with appropriat e tech support has enabled the company to achieve good growth. The company's performance for this period demonstrates a sustained trajectory on stability, growth and diversified income stream.
Our net worth , stands strong at over INR3,500 crores, indicating robust capital adequacy. This coupled with good support from National Housing Bank, other Banks and DFIs on the borrowings side and with strong ongoing demand for both home loans and small business loans gives us confidence to pursue ro bust growth with sustained profitability in the years to come.
I would now hand over the line to Mr. Balaji to discuss business focus, operating and financial parameters. Thank you.
P Balaji : Thank you, sir. Good afternoon, friends. As we have been explai ning in the earlier calls, we will continue our focus on key strategies, namely:
• Growing disbursements and loan book both in Housing Loan and Small Business Loans considering the large head room available in the low and middle income

segment in tier 3 & 4 cities .
• Increasing penetration in existing geographies by opening new branches and commencing operations contiguously in the States of Odisha and Maharashtra.
• Strengthen analytics and digital adoption, about 17% of our business in Q2 FY 24 has come from co nstruction eco system app, customer referral app and social media leads.

Our focus shall be to increase the leads through these channels, in addition to the physical branch network.
• Continue to focus on productivity, collection efficiencies, opex and cost of funds.
Major performance highlights are as follows:
• AUM grew by 28% YoY to Rs.7604 crores.
• Disbursements increased by 23% YoY to Rs.1391 crores. Sequential Q on Q growth in disbursements was at 15%
• NIM was at 13.34%
• Opex to assets were at 2.71%
• PAT at Rs.290 crores (20% growth y -o-y)
• ROA and ROE was at 8.10% and 17% respectively.
• Total live customers were at 119000 customers (25% growth YoY)
• During the period 19 branches were opened and as we speak 3 more branches have been opened. Further we will be opening our first bra

nch in Maharashtra this month.
• Asset quality
o Collection efficiencies improved to 99.72% in this quarter
o Our 30 + DPD has improved by 51 bps to 5.99% on YoY basis. On sequential Q on Q basis the improvement was 28 bps. This will be focused and improved upon in the ensuing quarters.
o NNPA was at 0.89%
o PCR maintained consistently at 1.06% as on 30 Sep. We are carrying a total provision of Rs.81 crores and this when computed as a % of NPA works out to a coverage of 89%
Funding:
• Well d iversified borrowings - 62% are from banks, 26% from NHB, 7% from NCDs issued to IFC, MFs and NBFCs and the balance in the form of securitization.
• Sufficient on balance sheet liquidity of Rs.974 crores including undrawn sanctions of Rs.300 crores from NHB and Rs.290 crores from banks
Now with these remarks, I open the floor for the question -and-answer session. Thank you.
Mod erator : Thank you very much. We will now begin with the question -and-answer session. First question is from the line of Manuj Oberoi from YES Securities. Please proceed.
Manuj Oberoi : Sir, I've got three questions. Firstly, your sense on whether this strong and improved disbursement growth momentum would continue in the coming quarters? Wh at's your sense on that, sir?
P. Balaji : Yes, Aptus' focus is to continue the strong growth momentum which we have achieved in Q2 FY 23. This will be continued in the next 2 quarters. Further we are also opening new branches which will support this strong growth envisaged.

Manuj Oberoi : Sir, any outlook on the spreads and the NIMs ?
P. Balaji : As regards spreads , we have increased the interest rate for the all live custom ers on the non - housing loan by 5 0 basis points, and this is effective from 1st of Septe mber 2023. Hence the yield on the loan book is likely to increase with the result that NIMs are likely to be stable for the next two quarters . And if there is a reduction in the cost of borrowing because of the NHB borrowings being drawn, we are likely to see improved NIMs from the current levels .
Manuj Oberoi: Understood Sir. Finally, c an we see further reduction in the Stage 2 bucket in the second half of this year?
P. Balaji : Definitely, we are focusing on that. If you look , our collection efficiency has improved from 99.52% in Q1 to 99.72% in Q2. Our objective and focus is to improve this collection efficiency and also collect amounts from the customers over and above their current month billing. If this happens, then we can see good reduction in Stage 2 assets.
Manuj Oberoi: Got it, sir. That's all from my end, si r. And best wishes for the next quarter, sir.

Moderator: Thank you. Next question is from the line of Shubranshu Mishra from Phillip Capital. Please go ahead.
Shubranshu Mishra: I have two questions actually. So, the first one is about the insurance loans, which is around 2% of the AUM , just wanted to understand what these insurance loans are? Second is, what is zero -plus, this quarter and maybe a year back?
P. Balaji First, let me answer on the insurance loan. These are the loans which are given to our customers for getting their lives covered under the credit shield insurance arrangement with an insurance company. The premium for this is paid by the customer one time at the time of disbu rsement and the premium paid is for the entire tenor of the loan. This premium works out to 2% to 3% of the sanction amount which is getting funded by us to our customers.
Shubranshu Mishra: What is the zero -plus on this quarter and a year ago, sir?
P. Balaji If you look at the last quarter, one -plus was 8.5%. Now it is reduced to 8%. And it was almost 10% last year at the same time.
Shubranshu Mishra: Understood. Thank you, Sir.
Moderator: Thank you. Next question is from the line of Raghav Garg from Ambit Capital. Please go a

head.
Raghav Garg: I have two questions. One is, what was your AUM growth in Tamil Nadu for this quarter?
P. Balaji The AUM growth for the half year was 13%. It is there in the presentation as well.
M. Anandan : Just to add to wha t Balaji said, at the portfolio level, we had a growth rate of about 28% y-o-y. And looking at Tamil Nadu, we had a growth rate of growth of 13%, whereas in Andhra, Telangana and other places, we had a growth of over 3 5%.

In Tamil Nadu, in the first quarter , our attrition at the Branch Manager level was slightly higher but then it got corrected in the second quarter and our disbursement growth has already gone up to 15% vs first quarter, and we are very confident of maintaining this trend in the third and fourth quarters also . We are also confident of meeting the projected growth of around 35% for the current year .
Raghav Garg: But sir, if I look at last two quarters as well, Q 1 ‘24 and Q 4 '23, the growth was somewhere between 15%, 16%, still lower th an what you're delivering at the overall AUM level. Why is that the case despite you just having about INR3,000 crores of AUM in that state?
M. Anandan: You must have observed that our disbursement itself was slightly lower in the first quarter . We have disbursed about INR 645 crores. This has gone up to INR 745 crores in the second quarter, and we are kind of improving it further in the third quarter. However, slight lower disbursement in the first quarter has happened in Tamil Nadu, due to attrition at the field level, which has been corrected already. And now the disbursement have come back to normal as reflected in the second quarter itself. And going forward, it will improve further.
Raghav Garg: I'll get to my second question, which is, so you mentio ned that you've set up one branch in Maharashtra. I just wanted to understand how are you building up business in Maharashtra? I mean, have you hired a team from Maharashtra and if you're hiring a new person, a new business head for the expansion in West? Just a flavour on this would be very helpful as to how you're building business in Maharashtra? Yes, thank you.
P. Balaji: Yes. Our branch expansion strategy is always been that we select a particular state and go deep into that state . Also , we grow on a c ontiguous basis in the States which are adjacent to the states where we already operate. For example, we have opened our first bran ch in Odisha in Berhampur, which is almost very close to a place called Srikakulam in Vizag.
Similarly, in Maharashtra also we will be opening a branch in Nanded, which will be around 70/80 kilometres from Nizamabad where we are already having operations. So, the initial control will be from Nizamabad to make the new branch learn our culture and processes. Now coming to the br anch that is getting opened in Maharashtra, we have hired local talent from this place which has been our practice all through. We have set up an entire team in Nanded including the cluster manager who will be responsible for the business and also for open ing more branches in this State.
Moderator: Thank you. The next question is from the line of Pranav Gupta from Aionios Alpha Investment Managers. Please proceed.
Pranav Gupta: Good afternoon and congratulations on a good set of numbers. I have a two questi ons. So first one is like last qua rter, we saw that Aptus declare dividend. I just wanted to check with you if there is any dividend policy that the Board has formulated -- if so, then what is it ? can you explain the dividend that you might payout?
M. Anandan: So, actually as we have explained in the last earnings call, we do have a policy on dividend and as you know, we have declared the dividend for FY '23. For FY '24 also, the Board will take the decision on dividend at the appropriate time . It w ill be possib

ly be in the third quarter meeting

and/ or in the fourth quarter meeting. We do have a dividend policy which considers our after-tax profit and other parameters before arriving at the appropriate % of dividend.
Pranav Gupta: Okay. Just as a follo w-up to that question. Like you had mentioned last time on the call that this dividend payouts are largely to lead the business to an optimal leverage level that you think is okay. So, is there any thought on when and if we might end up stop paying dividen ds? And any optimal leverage level that we're targeting eventually?
M. Anandan: I don't think we made a decision at the board level to stop making the dividends or to stop paying the divi dends at all. While attaining optimal leverage in one consideration f or us to declare dividend, this is not the only consideration for declaring dividend. We would like to be seen as a dividend paying company which not only depicts the quality of operations but also the ability of the company to earn profits. To sum up, we will not be stopping the dividend payouts once the desired leverage is attained and the dividends will be paid consistently in line with our policy in terms of the dividend payout ratio, which is sustainable for us in the future as well.
Pranav Gupta: Sure, That answers my first question. So, the second question is on the growth part. You mentioned that you started opening branches on a contiguous manner in Odisha and will also be opening our first branch in Maharashtra this quarter . Could you talk abou t the process that we go through in terms of assessing the opport unities when we decide to open a branch in a new state. Could you talk about the process and what sort of opportunity you see in these two new states that is Odisha and Maharashtra?
P. Balaji : In terms of opening new branches, we do a clea r market study on what is the kind of market, financial needs , income stream and repayment culture of the people etc. We also consider the business done by other HFCs/NBFCs in these places and also their expe rience in handling delinquent accounts . While these are on the specifics we also look at the industrial/commercial activity happening in these places and also look at various profiles of the self employed customers in these places based on which the decis ion to start a branch is arrived at.
Pranav Gupta: Sure. Sir, just one last question. You mentioned that you've taken a 50-basis point pricing hike in this quarter, that of September of this year. Could you talk about what is the frequency with which we -- I mean, if this rate hike is taken in September, does it become applicable immediately? Or is there a repricing mechanism that close over the next couple of quarters?
P. Balaji: We have increased the interest rates of our loans from 1 September 2023
Pran av Gupta: Right. So, any repricing, whether upwards or downwards in the future is typically done – assuming going to expect immediately?
P. Balaji: See norma lly our philosophy is to offset the increase in interest cost by way of operational efficiencies. I f interest cost is going b eyond that and resulting in NIM compression, we get into increasing the interest rate. So, with that in mind, we have done this 0.5% increase, and we will be observing the interest cost increase also very closely and based on that , the decision will be taken on whether to increase the interest rate to our customers or decrease the interest rates.

Moderator: Thank you. The next question is from the line of Sonal Gandhi from Centrum broking . Please proceed .
Sonal Gandhi: Yes, thanks for the opportunity, sir., so I just wanted to understand on cost of funding. Do we expect it to go up from here or we expect it to remain at a similar level and what

is the NHB
sanction limit that we have at the moment?
P. Balaji : Let me explain you this. If you look at our corporate build up, there are two companies. One is the housing finance company, the other one is the NBFC. In the NBFC we do the small business loans, where we charge 21% interest and in the housing finance company we charge a nywhere between 14% to 15% on the housing loans. So, the interest cost depends on that and in the housing finance company we have the benefit of NHB refinance . The incremental cost of borrowings in the HFC is 8.25% to 8.3% and this is 0.25% to 0.50% more in the NBFC .
So, it is the function of these two that is playing a part in the increase in cost of fu nds for us. If you look at our June quarter, our cost of funds was around 8.3% and after that it has become 8.41%. This is basically because we have increa sed our borrowings in our NBFC where it is slightly expensive as compared to the housing finance compan y’s borrowings.
Now going forward we have got this NHB sanction which is around INR300 crores wh ere the interest rate will be at least 0.5% lesser than t he market rate. So, to that extent there can be a savings in the cost of funds but again the market being at where it is currently , the cost of funds

are going up and so we actually are not able to comment on how much more cost of funds will go up.

Sonal G andhi: Okay Sir, in Tamil Nadu, I mean, there is another NBFC which is growing very, very fast, very aggressive. So, is there, I mean, some attrition, probably because of this NBFC wherein we are losing the talent and that is impacting our disbursement? I mean, or they become more aggressive, that's where, we are kind of losing customers. Not losing, but our growth rate has kind of come down. If you could just give some color on that

P. Balaji: Let me explain. See, I don't know which NBFC you are talking ab out. If I am able to get what you are talking, I think they are not our competitors at all. Let's be very clear on that because they are in a different segment .

And we are not losing people to them. Five years back, there were not many companies operating in any of the areas where we were operating. Now, there is competition. There are new companies which have commenced operations in the area where we are operating and the obvious choice for them is to take people from us. Hence people from Aptus also want s to join the other companies. But the fact is after going to the other company some of the people come back to us as well.

Hence we all need to accept the fact that attrition at the junior levels will be there and how we manage this and still grow is the one which we need to work on and we are working on that.

M. Anandan: Actually, if you look at our staffing in terms of the senior most, middle, and at the field -facing jobs, at the branch level, our attrition rates are much lower at the senior level , and at the middle management level.

Even at the branch level, our attrition rate is one of the lowest in the industry. But then, being a significant and well -known player in the southern markets, any company wanting to enter, obviously, they normally look at the existing successful companies .

To th at extent, we had little more than the budgeted attrition in the state of Tamil Nadu for a short period. And as I mentioned, that has been corrected and it has been also reflected in our business in the second quarter . Going forward, w e are also very confident of meeting whatever budgeted growth rate that we have indicated in the disbursements as well as in the loan book for the third and fourth quarter .

Sonal Gandhi : Our AUM growth target remains at 30% plus. Is that understanding right?

P. Balaji: Yes.

Moderator: Thank you. Next question is from the line of Jigar Jani from B&K Securities. Please g o ahead.

Jigar Jani: Yes. Hi sir, thank you for taking my question. So, on the interest rate hike, I believe we had also taken a 50-bps rate hike on the non -HL portfolio and SBL portfolio from 1, August. That is implemented, right??

P. Balaji: It is actually effective from 01st September 2023 . There is only one increase in the interest rate hike, which is 0.5% on the non -housing loans for all live customers. But it is effective only from 01st September and not from 01st August.

Jigar Jani: Okay. And this, we are not doing any hike on the housing portfolio. This is only the one which you are mentioning is for the same one that we mentio ned in the last conference, or the last con call?

P. Balaji : On the housing loans, we had effected a 0.50% increase in the interest rates in Nov 2022 and for the non housing loans we had effected a 0.50% in Sep 2023.

Jigar Jani: Okay, understood. So, whate ver was given in 01st August is being taken at 01st September basically. So, and when you say that your disbursement run rates or trend would remain the same, so would it be fair to say that we are targeting 15% kind of sequential growth in disbursements g oing ahead as well?

P. Balaji : Yes.

Jigar Jani: Okay, understood. So, your borrowing cost for housing finance company is 8.25 % to 8.5 %

P. Balaji : Yes. 8.25 % to 8.3 %.

Jigar Jani: Okay. And Is NBFC 25 bp s higher than the HFC.

P. Balaji : Yes, 25 bps to 50 bps higher .

Jigar Jani: Okay, understood. Thank you so much for answering my questions.

Moderator: Thank you. Next question is from the line of Ms. Mona Khetan from Dolat Capital. Please go ahead.

Mona Khetan: Yes, hi, sir. So, I had a few questions . So firstly, if you look at the spread over the last, two years or so, 2.5 years rather, they've settled at higher levels versus in the past. So maybe almost 100 bps higher, partly also due to the rating upgrade that you had during this time. So, do we ex pect this kind of spread between 8.5% -9% to sort of continue, or could they normalize over time at lower level?

P. Balaji : No, as we have been explaining on the call, the yields which we are generating are sustainable because of the products mix. So, with the result, the spread which we are having at around 8.8% as of now is likely to be maintained between 8.5% - 9%.

Mona Khetan: Sorry, so you said that 8.5% to 9% should be sustainable. Okay. Secondly, how are our incremental cost of borrowing, both on the NBFC and the HFC books?

P. Balaji : Yes, just now we explained. The incremental cost of borrowings in the HFC is 8.25% to 8.3% and this is 0.25% to 0.50% more in the NBFC .

Mona Khetan: So, this is the incremental borrowing cost from bank?

P. Balaji : Yes.

Mona Khetan: Okay. And your opex was higher by about 20% sequentially. So, is it largely to do with the branch expansion or there's more?

P. Balaji : Yes, it is basically to do with the branch expansion. We have 19 branches open ed and almost 300-350 pe ople have joined additionally. Also, we are strengthening the middle management as well, both in Sales, Credit, IT, compliance, finance, everywhere. So that has also added to the cost.

Mona Khetan: And we intend to add about how many branches per year?

P. Balaji : Around 30 to 35 branches every year.

Mona Khetan: Okay. And if you could also talk about the BT out during the quarter?

P. Balaji : If you look at the pre -closure, it is around 8%. Of that, almost 5.5% is from own source of the customers. So, t he BT out is working out around 2.5% , which has been consist ent for the last three to four quarters ..

Mona Khetan: Okay, just to touch upon the rate hike, so across both your HL book and the non -HL book, during this cycle, you've raised rates by 50 bps?

P. Balaji : Yes.

Mona Khetan: Okay. That's all from my side. Thank you.

P. Balaji : Thanks, Mona.

Moderator: Thank you. Next question is from the line of Arul Selvan from Independent Advisors Private Limited. Please go ahead.

Arul Selvan: Good evening, sir. Thank you for giving me this opportunity. I have a few questions. The first one is regarding your disbursement for this quarter. I just wanted to know, what would be the breakup of this disbursement between the HFC and the NBFC?

P. Balaji : Around INR 450 to INR5 00 crores is in the housing finance company and the balance is in the NBFC.

Arul Selvan: Okay. Now, the next question I have is in terms of your guidance, I understand that the overall AUM guidance growth for the full year FY ‘24 is about 30%. No w, is there, again, if I break that up between the HFC and the NBFC, is there, what will be the numbers specifically for both of these segments?

P. Balaji : Out of INR 3,400 crores which we are targeting for this year, almost INR 2,100 crores will be in the HFC, and the balance will be in the NBFC.

Arul Selvan: Okay, I understand. That's it from my end and all the best for the future. Thank you.

Moderator: As there are no further questions, I would now like to hand the conference ove r to the management for the closing comments.

M. Anandan : Yes, thank you, Yusuf and Mona, for organizing this conference call. I would like to pay my sincere gratitude to all analysts and investor friends for taking time out of their very busy schedule to listen to us today. Please feel free to connect with us in case you have any further queries. We would be happy to get back to you. Thank you.

Moderator: Thank you. On behalf of Dolat Capital Markets Private Limited, that concludes this conference. Thank y ou all for joining us and you may now disconnect your lines.

Call: Feb 2024

“Aptus Value Housing Finance India Limited Q3 FY24
Earnings Conference Call ”

February 0 2, 202 4

MANAGEMENT : MR. M. ANANDAN –EXECUTIVE CHAIRMAN
MR. P. BALAJI – MANAGING DIRECTOR
MR. MR. C. T. MANOHARAN – CBO
MR. JOHN VIJAYAN – CFO
MODERATOR : MS. MONA KHETAN – DOLAT CAPITAL MARKET
PRIVATE LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Q3 FY24 Earnings Conference C all of Aptus Value Housing Finance India Limited hosted by Dolat Capital.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touch - tone phone. Please note that this conference has been recorded.

I now hand the conference over to Ms. Mona K hetan. Th ank you and over to you, ma'am.

Mona Khetan : Thank you, Muskaan . Good evening, everyone, and welcome to the earnings conference call of Aptus Value Housing Finance India Limited to discuss its Q3 and Nine -Month FY24 performance. We have with us the senior management for Aptus to share industry and business updates.

I would now like to hand over to Mr. Anandan for his opening comments. Thank you and over to you, sir.

M. Anandan: Thank you, Mona . Ladies and gentlemen, good afternoon to all of you. I am Anandan, Executive Chairman of the Company .

I welcome you all to the Conference Call to discuss the Company ’s Performance for the 3rd Quarter and for nine months ended December 23. I have with me Mr. P. Balaji – Managing Director, Mr. C. T. Manoharan – CBO and Mr. John Vijayan – CFO.

The “Financial Results ” and the “Investor Presentations ” are already available in the Stock Exchange and the Company website. I hope you have had a chance to look at it.

As you know, affordable housing finance as an industry has been backed by several initiatives from the government in the form of interest subvention, tax incentives, priority sector status, and lower risk of weightage on small ticket h ome loans. These coupled with low mortgage penetration and high housing shortage particularly in the Tier-3 and Tier-4 cities of the country across geographical market provides significant runway for growth in the affordable housing finance space and we can continue our growth momentum of serving low- and middle -income customer segments belonging to self -employed category living largely in Tier-3 and Tier-4 cities.

Aptus, a s you are aware , believes in growth with due importance in the quality of loan book with good financial metrics. Very happy to report that Aptus had a good 3rd Quarter and nine months FY 2024 . Sharp business focus, good distribution network, deep penetration in served markets, customer centricity along with appropriate tech support have enabled the Company to achieve good growth. The company’s performance for this period demonstrates a sustained trajectory of stability, growth and diversified income stream.

In order to take the company to the next level of growth, middle management in Sales, Credit, Collections and IT have been strengthened in addition to investments in relevant technology. Our net worth stands at Rs. 3,700 crores indicating robust capital adequacy. This coupled with good support from NHB , banks, DFI, and other providers of funding, along with robust on - ground demand for both home loans and small business loans gives us the confidence to pursue strong growth in the years to come with sustained profitability.

I will now hand over the line to Mr. P. Balaji – Managing Director, to discuss the "Business Focus, Operating and Financial Paramet ers". Over to you, Balaji.

P. Balaji: Thank you, sir. Good afternoon, friends.

As we have been explaining in the earlier calls, we will continue to focus on key strategies namely:

- Growing disbursements and loan book both in Housing Loan and Small Business Loans considering the large head room available in the low and middle income segment in tier 3 &

4 cities
- Increasing penetration in existing geographies by opening new branches and commencing operations contiguously in the States of Odisha and Maharashtra.
- Strengthen analytics and digital adoption, about 17% of our business in Q3 FY 24 has come from customer referral app, construction eco system app and social media channel. Our focus shall be to increase the leads through these channels, in addition to the physical branch network.
- Continue to focus on productivity, collection efficiencies, opex and cost of funds.

Major "Performance Highlights " for nine months are as follows :

- AUM grew by 28% YoY to Rs.8702 crores.
- Disbursements increased by 25% YoY to Rs.2159 crores.
- NIM was at 13.37%
- Opex to assets were at 2.67%
- PAT at Rs.448 crores (22% growth y -o-y)
- ROA and ROE were at 8.06% and 17.10% respectively.
- Total live customers were at 125,000 customers (25% growth YoY)
- During the 9 months FY 24, 31 branches were opened including our first branch in Maharashtra.

As far as the "Asset Quality " is concerned :

- Collection efficiency dropped marginally by 7 basis points to 99.65% mainly because of unprecedented rains and floods in the southern part of Tamil Nadu during the month of December 2023 .
- Our (+30) DPD improved by 23 basis points to 6.04% on a year -on-year basis. This will be focused on and improved upon in the ensuing quarters.
- Net NPA was at 0.89%.
- The provision coverage ratio has been maintained consistently at 1.06%. We are carrying a total p rovision of Rs. 86 crores and this when computed as a percentage of NPA, works out to a coverage of 89%.

Moving over to "Funding ":

We have well -diversified borrowing. Of the total borrowing s, 63% are from banks, 23% from NHB, 14% from NCDs issued to IF C, mutual funds and securitization. Sufficient on -balance sheet liquidity was there as on 31st March to the extent of Rs. 961 crores, including und rawn sanctions of Rs. 300 crores from NHB and Rs. 310 crores from various other banks.

Now with these remarks, I open the floor for the question -and-answer se ssion. Thank you.

Moderator: Thank you very much. We will now begin question and answer session. The first question is from the line of Raghav Gar g from Ambit Capital . Please go ahead.

Raghav Garg: I just have one question. Your branch network and your employee base has expanded sequentially. Yet what we've seen is that the OPEX to assets has come down over this last quarter. Is it that a lot of this expansion was back -ended during the quarter? And hence we'll probably see some of those costs in Q4. Just your thoughts o n that would be useful. Thanks.

P. Balaji: It is not that it has been back -ended . If you look at the cost, it has not gone down very substantially. It has just gone down from 2.71% to 2.67% . And also, if you look at the salary cost, it has gone down by one crore as compared to the last quarter. It is basically because employee costs, which are directly related to disbursements, have slightly come down because the growth in disbursements was 3% Q -on-Q.

Raghav Garg: Sure, thanks. Sorry, just if I can ask one more question. What is your outlook on spread? You said that your yield is basically flat quarter -on-quarter, but the cost of borrowing has gone up. How much more of an increase should we expect in the cost of borrowings? And what would be the trajectory on the yield front? Yes, that's all from my side.

P. Balaji: Yes, the yields have been flat quarter -on-quarter because of the product mix that has happened in the disbursement in Q3. Basically, out of Rs. 767 crores , we have disbursed almost Rs. 470 crores as housing loans, which means almost 62% of the total disbursements in the quarter. This

has earned a lesser rate of interest as compared to the other products. We are not very much affected on the cost of borrowing on the housing finance because we have been consistently raising funds at around 8.25 % to 8.5 %. But on the NB FC, because of this RBI circular on the risk weight s, it has slightly gone up by 0.25 %. We are currently raising it from around 9 % to 9.25%. So, it is basically because of that reason, the cost of funds is going up. This quarter also, we will be raising funds in the NB FC at around this rate. So, it is likely that another 0.1% or 0.25% borrowing cost increase will be there in this quarter as well. But during this quarter, we'll be drawing Rs. 300 crores from NHB . So, that will slightly compensate for the increase in the cost of borrowing s on the NBFC.

M. Anandan: Just to add to what Mr. Balaji sa id on our yield, even though we have the pricing power to fully pass on the cost increase to customers, we have increased the interest rates to customers with a lag. At the same time, to answer your question in terms of further increase in cost, it is most probably unlikely given the overall environment including the budget propos al today and the expectations that the interest rates are likely to soften a bit as we go along in the next 3 to 6 months. So, while we don't really expect any substantial increase in the interest rates going forward, if at all it could come down. But at the same time, since we have a significant part of our portfolio in the fixed contract and given that the interest costs are likely to come down over a period of time , we are in a slightly better position going forward in terms of spreads and NIMs.

Raghav Garg: And one more question. So, what I've noticed is that the average ticket size or average loan exposure for you hasn't really increased whereas if we look at for some of the other affordable housing finance companies, it has increased quite substantially, or they are pursuing growth in higher ticket size segments. So, why is it that we haven't seen any increase? Is it more to do with our or with your strategy to focus on this bottom of the pyramid type of customer, and you are averse to, say, hig her ticket size lending, what is it exactly? Or is it that you are going down the risk curve, so the average tick et size is not really changing? I'm just trying to un derstand what's happening here.

M. Anandan: We will continue to focus largely on self-employed, living in Tier-3, Tier-4 cities and the fully constructed houses are almost about 80% of our home loans. And again, we don't fund for the land, we only fund for part of the construction cost. This results in our average loan size. As we expand our operations more in tier 3 and 4 locations, the average requirement of the loans itself is around Rs.8 to 9 lakhs. This also plays a part in our average ticket size. Only if you move towards the metro , the loan size will really go up. But we are very conscious in our business focus that we would really want to be serving thi s kind of market customers who are largely in need of genuine home loans for genuine home purposes . So, we are not wanting to consciously move towards the higher end of average home loans because we believe there are a lot of players servicing the higher loan size and tha t is not going to be our focus.

Moderator: Thank you. The next question is from the line of Nid hesh from Investec. Please go ahead.

Nidhesh: Firstly, on the growth trends, if you can speak about how the growth trends in terms of disbursement and loan book in the state of Tamil Nadu, how they are shaping up in Q3 ?

P. Balaji: Tamil Nadu loan book has been growing at 13%. There is a slight, I mean, there is a one quarter lag in the growth which we had anticipated in September ’23. This was basically because of the floods in southern pa rt of Tamil Nadu in December which led to lesser disbursements in Tamil Nadu . But when you look at the January disbursement in Tamil Nadu, it has caught up. Basically, for the shortfall that has happened in December, we were able to make it up to an extent in January. Also, we have got all the manpower in place now and in Q4, I think Tamil Nad u growth will be back on track.

Nidhesh: I was seeing that we have added a lot of sales managers in nine months, F Y24. Sales manager number has increased quite sharply. So, how do we look at growth in FY25?

P. Balaji: Sales officers increase is directly linked to increase in the number of branches. We have almost added 31 branches, and we are also going to add 7 more in this quarter, i.e. 3 in Orissa and 4 in Maharashtra. So, anticipating this, the recruitment levels have gone up. Also, we are a productivity -oriented organization. The headcount will increase based on the volumes and the logins that are getting generated per sales officer per month.

Nidhesh: Lastly, on the yield front, last quarter I think we have taken 50 basis points price hike on the entire book. Our yields are flat sequentially.

P. Balaji: As I explained , sequentially, why the yields are flat is because we did more housing loans in this quarter than the other products, which is actually yielding around 15.5% .

Nidhesh: And what is the incremental yield on the loan book, incremental yield on the disbursements that we have done in our kitty?

P. Balaji: For the housing loan, it is at around 15.5 %. For the non -housing loan, basically the quasi -home loan, it is around 17.5 % to 18%. And for the small bus iness loans, it is around 21.5 %.

Moderator: Thank you. The next question is from the line of Mona K hetan from Dol at Capital. Please go ahead.

Mona Khetan: Just a few questions. So, firstly, on the yield again, so while your yields have held pretty steady, I wanted to understand because you have raised rates recently by 50 b ps across HL and non -HL portfolios. And given the fixed nature of your portfolio, is there scope for further improvem ent in yields as we go forward?

M. Anandan: No, we don't really foresee any further increase in the yield, and we are quite comfortable with the current pricing of our home loans at 15 .5%, quasi home loans at 17.5% and small business loans at around 21.5%. Also, the interest rate on borrowings may slightly get moderated as we go forward. Given that we don't really see any need to go for further yield increase , we will be

quite happy to operate at the current levels and we will also get full benefit because the last interest increase was done by us effective 1st December and the full benefit of that will start accru ing in Q4 FY 24 .

Mona Khetan: Right. So, I was not referring to the pricing, I was more referring to the full benefit coming in given the fixed nature of your portfolio. So, is that ye t to play out over the quarter s?

M. Anandan: Absolutely. The full impact will have a beneficial impact for us in the ensuing quarter s.

Mona Khetan: Secondly, on the demand environment, I just wanted to understand if there is anything adverse that you're coming across and how do you see demand for both home loan and SME loans in your segment and geography?

P. Balaji : The on -ground demand is quite very strong. After we came out of COVID , I have also started traveling to branches where I am able to see good potential for our business . And if you look at our growth except for Tamil Nadu, Andhra, has grown by 47% in loan book , Telangana has grown by 41% and Karnataka has grown by almost more than 20-22%. So, when we look at the field, the demand is really good, and we can do more business and the gu ided growth of 30% can be achieved.

Mona Khetan: So, as you highlighted in the opening remarks, you have strengt

hened the middle management,
sales, credit , & collection. So, with this, do you see scope for hi gher growth guidance over time?

M. Anandan: No, obviously, we are growing on a year -on-year basis and for a consistent growth between 25 % to 30 % going forward, we must be prepared for a higher base and higher level of operations. If we are operating at around Rs. 10,000 crores today, we are looking at how we can take it up to Rs. 15 ,000 crores or Rs. 25,000 crores going forward. Moving towards these milestones , we have now started strengthening the org anisation at the second level itself with more resources . We continue to prepare the organization for a much higher level of size and growth.

Mona Khetan : Got that. And just coming to the incremental cost of funds, what rates are we borrowing from banks , both across the HL and the NBF C book? And do you believe cost of funds has peaked or where do you expect it to peak for you?

P. Balaji: I just explained this. On the housing finance Company , we have been borrowing at 8.25 % to 8.5%. And on the NBFC , we have been borrowing at around 9 % to 9.25 %. Earlier, it was at around 8.75 % to 9%. Now it has increased to 9% to 9.25 % because of this RBI circular on the risk weight . But we feel that another one quarter after that, rates would have got peaked and we feel the rates could come down in the next year. If tha t happens, as Mr. Anand an explained , we will be slightly better off because a round 80% of our loan book is on a fixed rate basis. This is likely to result in better spreads and NIMs.

M. Anandan Also, for most of our present borrowings from bank s, the rates are linked to the repo rate, rather than the bank's MCLR . And given that, any change in the repo rate going forward will have a

direct impact on our borrowing costs .
Mona Khetan : And just f inally, if you could share the o ne plus DPD as well ?
P. Balaji : 8.10%
Moderator : Thank you. The next question is from the line of Kunal Shah from Citi Group. Please go ahead.
Kunal Shah : Sir, firstly, on the credit st aff, so that has come off , so is there any restructuring or something which has happened on a quarter -on-quarter basis?
P. Balaji : We have reclassified that. Only the branch credit has been shown as the number there and the head office staff has been grouped under the head office criteria.
Kunal Shah : And secondly on cost/assets , so again you touch based in terms of it being lower , but eventually how we look at it because we are seeing many of the HFCs investing quite aggressively and still from our side in terms of the cost to assets that has been contained quite well. So, do we see that we will have to be in an investment mode quite aggressively to manage this 28 -30% kind of growth trajectory or maybe it can continue at the current levels?
P. Balaji : We are in investment mode only, but the only thing is we don't want to open 100, 200 branches at one poin t of time. What is h appening , for the current branches itself, we want to have more productivity and over and above that every year 30 to 35 branches will be opened. The logic behind this is th at 30 branches opened in a particular year are going to contribute to the expenses of the new branches that is going to be opened in the next year. That is how we want to grow, and we are a productivity -oriented organization. Going forward the expense ratio will be somewhere around 2.7 to 2.75 %.
M. Anandan: Kunal, just to add to what Balaji said, primarily our cost ratios will continue to be one of the best in the industry. And even if you look at this, significant part of this opex , not only for us, for the others also , is really the manpower related cost. And the manpower cost again has got two elements. One is really the productivity of the manpowe r and second is rea

lly the attri tion, i.e. the high manpower cost arising out of the high attrition, par ticularly at the field officer level. So, those companies which have got a v ery high attrition level , in customer -facing jobs like s ales and collections , the man -power cost tend s to be higher. At the same time, those companies where the productivity per officer or number of files per officer is lower, man-power cost also will be higher. Hence , we are very conscious in two things , one is that we are very particular about achieving target setting, training, hand holding to ensure a decent level of productivit y, right up to the branch level, sales office level, collection office r level, and also very conscious in terms of our attrition levels. So, the lower attrition and our productivity is something which is helping us to maintain our manpower cost reasonably well and the overall opex itself. Of course, it is not

that we pa y lower salary or anything, we pay salary comparable to others , but at the same time, our operating cost is lower because we are very conscious about productivity aspects.
Kunal Shah : And lastly , in terms of the overall NBFC growth, so quite strong almost from say 1500, it is going up to almost like Rs. 1,700 o dd crores in one single quarter. So, would this maybe , what is actually driving this kind of a sequential growth, maybe almost like more than 12 %-13% odd on a quarter -on-quarter basis, 35 % odd year-on-year a nd would this maybe in terms of the proportion now being there at 21 % odd on the consolidated given that we need to meet up with the overall home loan as well. So, would we see that component going up and any impact on yields positively that we could see on account of this?
P. Balaji : NBFC loan book as you rightly said has grown from Rs. 1,512 crores to Rs. 1,722 crores . From April onwards, we have started booking some of the LAP purchase and construction, i.e. the non-housing loans in the NBFC, which will yield around 17.5 % to 18%, and the small business loans, which is yielding around 21%. These loans which were earlier booked in the housing finance Company , have been moved into the NBFC. That is why the growth is stronger there. Then the next thing you were talking about is the yield increase, but it might not be that much because we are booking the n on-housing loan which is earning 17.5 to 18 also in this. So, with the result, you might assume that all these loans are earning around 21 %, which is not the case. So, to that extent, it might not positively impact on the yield.
Kunal Shah : And traction would continue?
P. Balaji : Yes.
Moderator : Thank you. The next question is from the line of Renish from ICIC I Securities . Please go ahead.
Renish : Just two question, one on this Tamil Nadu growth, which has been relatively lower as compared to other states , now is this due to the competition in Tamil Nadu or is there something else at the ground level wherein w e are not growing because when we look at the other peers who are based out of Tamil Nadu, those guys are growing at a decent pace , so how one should look at it, sir ?
P. Balaji : In the last quarter and the last-to-last quarter, we explained that there were some staff issues and that is getting corrected. And of course, in the last quarter we had said that the whole issue has got corrected, but still the contribution from the people has to come faster , but that has not

happened in Q3. Over and above that, as I told you, there was some disruption in the last 10 days or 15 days in December, when some of the areas were affected by floods, and because of that the contribution towards disbursement could n ot come in. In fact, we were aiming for Rs. 800 crores of disbursement but only Rs. 767 crores came in because of this flood . So, basically, if that had come in, I thi

nk the disbursement growth also would have been better . However, that has been caught up in January. So, hopefully things will be back to normal in Tamil Nadu in Q4.

Renish : And second question again, sorry to circling back to the cost opex , but let us say internally when we are targeting 30% growth and the way sort of competition is in this segment, do you feel that adding 30 -35 branches would be enough to sustain this kind of a growth rate?

M. Anandan: Yes, actually , if you really look at it closely and in fact it is laid out there in the presentation also. One is really , we are working very closely on the inquiry generation through the other channels, including the customer app, eco -partners app, and social media and I think we have done about 17 % of our disbursements through these inquiries. Over and above this, we will also open 30 -35 branches every year, which will be enough according to us to sustain the guided growth rate. So, branc hes alone are not the way for us to grow. Branches will be there and we will keep adding. But at the same time, we are also working on the other channels as well.

Rinesh : So, sir, if you can share some numbers to this. So, let us say in Q3 of incremental logins, how much of the incremental logins would have come from the non -branch channel?

P. Balaji : I will just explain the total. I will talk in terms of disbursements instead of logins. Out of total disbursements, 7.4 1% came in through customer reference , 6.21% came through construction ecosystem apps , and 3.17% came through social media, which adds up to almost 16.8%. So, 17% of our disbursements have been through these channels.

Rinesh : And do we have any internal cap on, let us say, sourcing from alternate channels, let us say 25, 30, or at what percentage you will again start?

P. Balaji : If you do the sourcing through this channel, it is not that branches are excluded from this. The leads generated through this channel are getting forwarded to the branches. The branch people have to do a discussion with the customer, assess their cash flows etc. So, there is no cap and the conversion rate here is high. 90% of the logins through this channel are getting sanctioned which means it is a good channel to be in and then taking it forward.

Moderator : Thank you. The next question is from the line of Shubranshu Mishra from Philip Capital . Please go ahead.

Shubranshu Mishra : Sir, could you please explain what are these quasi -home loans in the home loan book ?

P. Balaji : We are in the business of funding with self -employed people. So, these customers don't plan well in advance to get a housing loan. So, if a loan given has to be classified as a housing loan, the customer should approach us when the construction is happening. Since we are in the business of funding self-employed people, unlike salaried people, they get bulk cash flows from business and they use that money for construction of the house, complete the house and they live in that house. So, once they start living in the house and when they are continuing with their businesses, they find themselves cashed out for running the business. So, they come to us for a loan, but that cannot be classified as a housing loan as per the NHB direction , so we give it as a quasi -home loan , but the time period is 3 to 6 months from completion of construction. When

they come to us, it gets classified as the quas i-home loan. Otherwise, if the construction is more than one year or two years old, it gets classified as a small business loan. That is the difference.

Shubranshu Mishra : So, is that an unsecured loan or a secured loan? What is this exposure?

P. Balaji : There are no unsecured loans in our portfolio. Everything

is secured by self-occupied , residential immo vable property.

Moderator : Thank you. The next question is from the line of Ar ul Se lvan from Independent Advisor Private Limited. Please go ahead, sir.

Arul Selvan : The growth rates in Tamil Nadu, were they affected predominantly because of the staffing and the floods or were there any other issues affecting the growth?

P. Balaji : As I explained, the staff issue has been sorted out. It is basically the floods in December that have affected the growth in this quarter. That has come back to normalcy in January. So, this quarter it will be back.

Arul Selvan : And has there been any impact on the collections?

P. Balaji : There was a marginal impact .

Arul Selvan : Could you please give me a number if you had to like to give a ballpark estimate?
P. Balaji : Collection efficiency was 99.72 earlier and that has become 99.65 %
Moderator : Thank you. The next question is from the line of Nis chint Chawat he from Kot ak Institutional Equities. Please go ahead.
Nischint Chawathe : Just two clarifications . One was you mentioned that your incremental cost of borrowing went up 10 basis points for the quarter?
P. Balaji : Yes.
Nischint Chawathe : On ex -NHB borrowings .
P. Balaji : We have not drawn the NHB borrowing s which ha ve been sanctioned. It is around Rs. 300 crores. We will be drawing it in February.
Nischint Chawathe : And if I look at the fee income, I know the numbers ar e small, but there was some uptick on a sequential basis , anything to read in that?
P. Balaji : No, it is basically we have just realigned some of the processing fees. That is it.

Nischint Chawathe : I mean the insurance part is it?
P. Balaji : Not the insurance part. It is basically the processing fees that we charge to the customers. We have just realigned some of it.
Nischint Chawathe : So, then it kind of gets adjusted maybe from the yield to fees or something like that?
P. Balaji : Yes.
Moderator : Thank you. And the next question is from the line of Ankit Bansal from AB Investor. Please go ahead.
Ankit Bansal : My question is the kind of environment coming ahead in next 2 quarters with rate cut evidently. Sir, with the kind of rating you have from the rating agencies, one of the best, sir, are we able to see the best phase of Apt us growing more than 20%, 30%? Can you please share the details?
P. Balaji : As we have been guiding the market, the loan book growth, we have been guiding between 25% and 30% in the next 3 to 4 years. That will be done.
Ankit Bansal : But sir, I want to know the kind of environment we are getting, like with the rate cuts. I want to see the aggressive side of Aptus about the growth, because you are stable in this kind of environment with the rate cuts in your hand and with the kind of interest rate ratings from the agencies of borrowing you have , the growth. I don't know how aggressive you can be on the growth side , so that will be beneficial ?
M. Anandan: It is a bit too early to really com ment on that because we don't know what the kind of reduction in interest rate is going to happen and moreo ver, what period of time and whether it is substantially enough to influence a customer to take a call on home loan demand , there are a lot of things around it. So, we will be able to comment better as we go forward than today.
Ankit Bansal : Next question is , are the net NPAs and gross NPAs kind of will remain in that range or upside one- or two -point bps?
P. Balaji : Currently the gross NPA is at 1.19 and the net NPA is at 0.89. Our endeavor is to bring GNPA to around 1.05 to 1.1 0. Then that will get maintained.
Ankit Bansal : Sir, any new geography are you entering in Delhi side or in North side?
P. Balaji : No, our growth strategy has always been a contiguous growth. So, we have opened branches in Orissa

and Maharashtra. In November, our first branch in Maharashtra was opened . And we would like to fully use the potential that is available in these two states and then get into the next state, which is near Maharashtra and then we will move towards the North. But as of now, it will be a contiguous growth which is from the current existing states where we are operating.

Moderator : Thank you. An d the next question is from the line of Bhavya Sanghvi from Fortress Group. Please go ahead.
Bhavya Sanghvi : Sir, my question is in medium term. So, as in the earlier participant question, you alluded to opex to assets ratio of close to 2 to 2.75. So, my question is with respect to the capacity additions and branch expansion that you are going through, and I am sure the 25 % to 30% growth guidance would entail higher number of accounts getting adde d and more leads from non -Aptus markers like except from feet on street, the other avenues that you are looking at like social media etc. So, I was just wondering and wanted to ask your opinion about the IT systems and the investments that you would entail in the medium term. Is the management thinking about enhancing the LMS, LOS and the investment that could happen in the future when the loan book size grows about 10,000 cr?
P. Balaji : If you look at our IT investment and if you look at the operations of a hous ing finance Company , whether it is sourcing, credit, legal, technical, collections, we have enabled technology for all

these operations . We have also got Novac systems, which has been in operation from 2016. It is an end -to-end system. Also, w e have various apps for sourcing the customer s and for onboarding the customer s. We have a credit score card mechanism for evaluating the customer. And also, we have the app which captures the video of the customer at his workplace, at his residence, and then we will be able to access him. Similarly, in the technical, we have an app which marks the boundary, which geotags the property. Similarly, in collections, we have an app which monitors the movement of our collection officers, it optimizes the route to go and collect the money. Over and above that, now we a re changing the loan originatio n system with the lead management system, and this will be a mobile -first technology where people will be able to onboard the customer using a mobile, and that is from the main system, which is being supplied by the Novac Systems itself. So, this is one investment which we will be making . Also, if you look at our legal side, we have tied up with a service provider called Le egality, where all the agreements are signed digitally. So, we will keep on investing in these kinds of enhancements for technology, which is relevant in the affordable housing industry .

Bhavya Sanghvi : Also wanted to ask you about any plans that you guys have in the medium term in the NBFC arm to do lower tenure loans, like consumer loans and if yes, will the IT system be enabled to do those in future?

P. Balaji : No, we don't have any intention other than to do these three products which we are in now.

Moderator : Thank you. The next question is from the line of Raghav Garg from Ambit Capital Private Limited. Please go ahead.

Raghav Garg : So, to one of the questions you were highlighting that the employee attrition issues that you were facing one or two quarters ago, you addressed those issues , so can you elaborate on what specific measures have you taken and how confident are you that g iven the increasing competition in affordable housing space these employee attrition issues won't crop up again ?

M. Anandan: Obviously, one cannot take a view that attrition will never happen or will not happen, but what we are trying to do is that eve

n when we had a little attrition issue in Tamil Nadu, but on overall terms , the Company has grown the loan book by about 28 % and there is a very strong growth in Andhra Pradesh and Telangana and Karnataka in that order and Tamil Nadu has also grown by about 13 % or so in the loan book. So, if you take the overall scenario , we have been growing. So, in the particular process in Tamil Nadu, we ha d issues that we have resolved . But to answer your question in terms of what action we are taking to reduce attrition is that we are taking a lot more care at the recruitment stage and at the training and also in terms of hand -holding them . The new staff, with existing experience of the service officer will be put along with the branch manager himself , to hand hold him and go along with him for 2 -3 months for all the transactions . This wil l help the new sales officer to get inducted into the system properly.

Raghav Garg : Sir, w hat kind of rewards are you referring to? Can you give us some specific examples? And one more question is, in your organization hierarchy, from which level do you start issuing stock options just to understand ?

M. Anandan: Sorry, I think we would like to take it offline because we don't want to get into specific rewards scheme and the numbers and the financial aspect here.

Moderator : Thank you. As that was the last question, I would now like to hand the conference over to management for closing comments.

M. Anandan: Thank you, Mona for organizing this conference call. I would like to express my sincere gratitude to all analysts and investor friends who have taken time out of their busy schedule to listen to us today. Please feel free to connect with us in case you have any further queries. We would be happy to get back to you. Thank you.

Moderator : Thank you. On behalf of Dolat Capital, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2024

“Aptus Value Housing Finance India Limited
Q4 FY 2024 Earnings Conference Call ”

May 06 , 2024

Management : Mr. M. Anandan –Executive Chairman
Mr. P. Balaji – Managing Director
Mr. C.T. Manoharan – Chief Business Officer
Mr. John Vijayan – CFO

Moderator : Ms. Mona Khetan –Dolat Capital Market Private Limited

Moderator : Ladies and gentlemen, good day and welcome to Aptus Value Housing Finance India Limited Q4 FY ‘24 Earnings Conference Call hosted by Dolat Capital to discuss its results for the fourth quarter and for the year ended March 31, 2024.

As a reminder, all participant lines will be in the listen -only mode . And there will be an opportunity for you to ask question after the presentation concludes . Should you need assistance during the conference call , please signal an operator by pressing “*”, then “0”on your touchtone phone . Please note that this conference is being recorded.

I now hand the conference over to M s. Mona K hetan from Dola t Capital. Thank you and over to you, ma'am.

Mona Khetan: Thank you, Manav . Good evening, everyone, and welcome to the earnings call of Aptus Value Housing Finance India Limited to discuss its Q4 and FY ‘24 Performance. We have with us the Senior Management from Aptus to share “Industry and Business Update s”.

I would now like to hand over the call to Mr. Anandan – Executive Chairman , Aptus, for his opening comments . After which we can open the floor for Q&A. Thank you and over to you, Sir.

M. Anandan: Thank you, Mona . Ladies and gentlemen, good afternoon. I am Anandan, Executive C hairman of the Company . I welcome you all to the Conference Call to discuss the performance of the Company for the 4th Quarter and year ending March 2 024.

I have with me Mr. P Balaji – Managing D irector, Mr. C .T. Manoharan – CBO , Chief Business Officer ; and Mr. John Vijayan – CFO .

The Financial Results and the Investor Presentations are already available on the websites of the Stock Exchange as well as on our Company . I hope you had a chance to look at it.

As all of you know, affordable housing finance as an industry has a good runway for growth considering the low mortgage penetration, more particularly in Tier-3 and Tier-4 cities where we operate . This, coupled with various initiatives of the Government to support th e sector makes us believe that we can grow comfortably at around 30% in the years to come.

At Aptus, we believe in strong growth without losing focus on the quality of loan book and good financial metrics. Very happy to record that Aptus had a very good 4th Quarter and Full Year FY ‘24 . Sharp business focus, good distribution network, deep penetration in served markets, customer centricity along with appropriate tech support have enabled the Company to achieve good results. The Company 's performance for this period demonstrates a sustained trajectory of stability, growth and diversified income stream .

Our net worth stands at over Rs. 3,700 crores, indicating a robust capital adequacy. This, coupled with good support from National Housing Bank , other banks , DFIs on borrowing side and with strong on -ground demand for both home loans and small business loans gives us confidence to pursue strong growth , scalability in the coming years with sustained profitability .

I would now hand over the line to Mr. P Balaji – MD, to discuss Business Focus , Operating and Financial Parameters .
P. Balaji: Good afternoon, friends .
As we have been explaining in the earlier calls, we will continue to focus on key strategies namely :
• Growing disbursements and loan book, both in housing loan and small business loans , considering the large headroom available in the low- and middle -income segment in Tier-3 and Tier-4 cities .
• Increasing penetration in existing geographies by opening new branches and expanding operations continuously in the states of O disha and Maharashtra.
• Strengthen analytics and digital adoption. About 18% of our business in Q4 FY '24 has come from customer referral app , construction ecosystem app, and social media

channel s. Our focus shall be to increase the leads through these channels in addition to the physical branch network .
• Continue to focus on productivity , collection efficiencies , OPEX and cost of funds.
Major performance highlights for the year are as follows :
• AUM grew by 29% year-on-year to Rs. 8,722 crores
• Disbursements increased by 31% year-on-year to Rs. 3,127 crores
• NIM was at 13.45%
• OPEX to assets were at 2.7%
• NPA was at 1. 07%, down from 1.15% in March 2023
• PAT was at Rs. 612 crores, which is a growth of 22% year-on-year
• ROA and ROE were at 8% and 17.25% , respectively
• Total li ve customers were 1,33,000 customers , this has grown by 25% as compared to last year. During FY'24, 31 branches were opened , including our first branch in Maharashtra .
Now coming to the Asset Quality :
• Collection efficiencies improved during the quarter to 100.15% resulting in (+30) DPD improving to 5.41% from 6.04% in December '23. This will be focused on and improve d further in the ensuing quarters.
• Net NPA was at 0.8% .
• Provision coverage ratio was maintained consistently at 1.06% as on 31st March.
We are carrying a total provision of Rs. 92 crores , and this when completed as a percentage of NPA works out to a coverage of almost 99%.
Funding :
• We have w ell diversified borrowings -63% are from banks, 24% from NHB, 13% from NCDs issued to IFC, MFs and securitization.

• We had sufficient on-balance sheet liquidity of Rs. 1,002 crores , including undrawn sanctions of Rs. 620 crores from banks. As you know, we have not done any direct assignment of loans and front -ending of income on account of this.
Now , with these remarks , I open the floor for the Q&A session. Thank you.
Moderator : Thank you very much. We will now begin the question -and-answer session. We have our first question from the line of Rajeev Mehta from Yes Securities. Please go ahead.
Rajeev Mehta: My first question is, can you share your thoughts on sustainability of this disbursement momentum? While also throwing light on whether the issues faced in the state of Tamil Nadu has got resolved .
P. Balaji : Firstly, let's address Tamil Nadu. I believe this is a common question among all of you . In Tamil Nadu , last quarter there has been a disbursement growth of almost 9% quarter -on-quarter, which means we have almost come back to normalcy in terms of disbursement s. During the quarter , there were good recoveries . I mean , basically the NPA recoveries were much more , because of which the loan book growth was slightly subdued . But in the first quarter of FY '2 5, things will return to normal in Tamil Nadu, and we are expecting a good growth.
And as regards sustainability of growth, we have been guiding the market on 30% year-on-year.
I think this is doable considering the expansion plans of new branches plus the branches which were opened last year , which will contribute for the full year . Over and above that , the productivity increase of the sales officers and the increase in average ticket price and the number of files logged

in per sales officer per month will also contribute to the sustainability of the growth. So, we are confident of pur suing 30% growth year-on-year.

Rajeev Mehta: So, would it be safe to assume that Tamil Nadu portfolio in FY '2 5 can grow much better than last year? So, last year was 10% in FY ' 24, can we expect 20 %, 25% growth in the current date in Tamil Nadu portfolio ?

P. Balaji : Definitely , we can do that.

Rajeev Mehta: And just last on portfolio spread, the portfolio spreads have improved by 5 basis points quarter -on-quarter after having declined in the preceding five quarters. What is the outlook on the spread s basis your view on yield as well as cost of funds ?

P. Balaji : Going forward , I think the spreads are exp

ected to remain at these levels , considering the fact that the cost of funds might not go up and the additional funds will be raised at the rate at which we are borrowing now. And currently , we have no intentions of further increasing rates for our customers . So, considering the fact that the cost of borrowings are going to be the same, the spreads are likely to be the same , but if the interest rates come down, I think , Aptus will be in a better position wherein our spreads will increase due to our fixed -rate loan book being high.

Moderator : Thank you, sir. We have our next question from the line of Kunal Shah from Citigroup. Please go ahead.

Kunal Shah: So, firstly, maybe with respect to the branch addition , last time also we indicated we would be adding on too few branches, but I think the number is almost steady at 262. So, what would have led, I think , last time presentations say we would have already opened it in 4Q. And despite that when we look at OPEX , both in terms of the employee cost as well as the over head cost, that has been higher. So, what has led to the higher OPEX ?

P. Balaji : See, last time we mentioned expanding our branches in Maharashtra during Q4, but there was a slight delay in that plan. In April , we have already opened three to four branches . So, that was the only indication we gave . And every year the plan is to open 3 0 to 35 branches. And that will be pursued and continued year-on-year.

Now just to add to it, as of 31st of March, we had two branches in O disha and one in Maharashtra . Currently, our plan is to open approximately 10 branches in the first quarter. Out of these 5 branches will be in Maharashtra . As you may have observed, during the previous financial year , we successfully opened 31 new branches. We have budgeted to add 35 to 40 branches in the current year, encompassing not only new markets such as Maharashtra and O disha but also existing states like Karnataka and Telangana. Our objective is to fortify our branch network further.

As far as OPEX is concerned, we as a Company have been very, very conscious more on productivity rather than increasing the cost . Indeed, this year, we witnessed commendable performance, particularly at the field level. Not only did our direct sales officers excel, but also other support functions like credit, legal, technical collection, actively contributed to enhancing productivity levels. So, the numbers haven't increased significantly; even at the Head Office, we are currently operating with approximately 192 to 193 staff, and there haven't been many additions there. Other than strengthening the people at the senior level and at the second level in almost all the functions including the IT , credit, collections etc., a dditionally, we'r e focusing on enhancing our IT infrastructure on the back -office side to effectively manage the increased workload by adding new staff.

Kunal Shah: And this employee cost rise, this would be more to do with the incentives during the quarter?

P. Balaji : Yes. Because of the higher volumes, the volume related incentives paid to the employees has increased.

Kunal Shah: So, volume related incentives to the employees is getting reflected.

P. Balaji : Yes.

Kunal Shah: And if you look at in terms of the overall business origination and the credit team, in fact, it's sequentially down. So, is it again to do with more in terms of moving from the field level to the head office level, is that leading to sequential decline in th e staff? Or this is the attrition which is happening which is more than the recruitment during the quarter ?

P. Balaji : The reduction has happened only in the business origination because of some people at the lower level, specifically at the sales off

icer level leaving the organisation . But at the credit function and all, it has remained constant.

Kunal Shah: There was a marginal decline, so that's largely to do with attrition and not getting replaced with

the new er staff.
M. Anandan : Yes, maybe. Not only attrition, see, we're also very conscious at every stage periodically to optimize the number of staff of the branches whether it is sales or other support staff, particularly where numbers will be large , as you know, in the field and in the collection level. Regarding field staff, our aim is to motivate them to increase their earnings through incentives rather than expanding our workforce. So, constantly there is a rigorous follow -up system in terms of optimizing the staff numbers all the time on an ongoing basis.
Kunal Shah: And one last question was on NHB draw down during the quarter, so this Rs. 610 odd crores that includes NHB as well , last time we used to give it separately. So, this Rs. 300 crores is of NH B which was there last time .
P. Balaji : We had already drawn that in the last quarter. Rs.610 crores stated represents sanctions from various banks which are yet to be drawn .
Moderator : Thank you, sir. We have our next question from the line of Mr. Anand Doshi from Family Office. Please go ahead.
Anand Doshi: Congratulations on a very steady state of results. Sir, very quickly, sorry my question may sound partially repetitive , the line was not very clear at my end . In terms of spatial distribution in terms of branches, I think you added 31 for the year , and that is actually in line with your guidance of around 30 branches , so that's very heartening to hear. The only question I had little bit within that is that , you have said it would be about three to four branches in O disha and two to three branch es in Maharashtra. This was at the start of the year . So, roughly around s ix to seven branches. However, the addition has just been one branch. I think you mentioned that you are adding more branches in these two new states this year, but I couldn't hear it well. So, could you be kind enough to repeat that , please?
P. Balaji : Yes. As mentioned, we currently have three branches in Orissa and Maharashtra combined. This number will increase to 10, with four additional branches in Maharashtra and the remaining in Orissa, all within the first quarter itself .
Anand Doshi: Sir, if you can outline any particular reasons, any specific reasons, I mean to say , as to why this expansion has not happened in FY'24? Obviously business is dynamic, but I just want to get a sense from you if there is any specific reason why we have gone slow for Orissa and Maharashtra for FY' 24 as well ?

P. Balaji : It is not that we went slow in Orissa and Maharashtra, it's just a la g of one month . I mean , as of now we have already identified three, four locations in Maharashtra. And, year-end pressures from disbursements and recoveries in other regions were the main reason s behind this lag.
Anand Doshi: Thank you, sir. We have our next question from the line of Raghav Garg from Ambit Capital. Please go ahead.
Raghav Garg: I just have one question. Sir, when I look at the on -balance sheet liquidity, specifically cash and investments as a percentage of borrowings, for your peers it seems to be around 15 %, 16%, and for you it's been coming down quite sharply , it's now around 7 %, 8%. What would be your comfort level in terms of where would you like to see this ratio? Because I believe that since it has come down , that has given some bit of support to your NIMs . Had it not been the case, the margin compression would have been higher, so ideally where would you like to see this ratio?
P. Balaji : As a Company we would like to be prudent in how much cash balance we keep . Because what happens you all know , if you have hi

gher cash balances, there is always a negative carry. So, normally we would like to have at least 1 to 1.5 months disbursements as cash and cash equivalents in the balance sheet . And the balance will be in the form of undrawn sanctions, which is a committed sanction. We have executed the documents and kept it ready. We don't believe in keeping Rs. 2,000 or Rs. 3,000 crores as balance sheet liquidity , and then having a negative drag on that , and also maintaining a housing loan asset for that. So, this is our general policy that 1 to 1.5 months disbursements will be carried as cash and cash equivalent s in the balance sheet , and the balance will be in the form of executed sanctions .
M. Anandan : Actually, in addition to that , while we are wanting to be very prudent to carry required liquidity to take care of the disbursements, we also want to keep in mind the overall interest rate environment now and borrowing at a higher cost may not be a prudent thing . Particularly if there could be an interest reduction, if not in the next three months but at least in the next six months or nine months, we should not end up borrowing unnecessarily at a very high cost now.
Raghav Garg: So, is it fair to assume that this number is going to remain at this current level when I look at it as percentage of the assets or as percentage of the total borrowings ?
M. Anandan : Actually, we don't believe in th is philosophy. In fact, some of the companies, even in our same industry segment carry huge liquidity on their balance sheet , which we don't want to pursue . Not only in terms of negative carrying cost and the interest environment, but also as per the revised NHB/RBI guidelines , you must carry 60% home loan in that as well. Because 60% criteria is

applicable on the Total Assets , including the cash that you carry , we also kept that in mind.
Raghav Garg: That's all from my side . And another question , outside of South India, in O disha and Maharashtra, what would be the total number of employees that you have across I think three branches?
P. Balaji : 20 to 25 people.
Moderator : Thank you, sir. We have our next question from the line of R enish from ICICI . Please go ahead.

Renish: Congrats on a good set of numbers . Sir, just one question from my side on geographical diversification. What could be the next two to three states wherein we will be growing our book in an accelerated manner ? So, that is something what had happened in Q2 , Q3 in Tamil Nadu that should not impact our AUM growth going ahead.
M. Anandan: Actually , I saw in one of the newspapers today about the lending and credit exposure of Banks to different sectors . In that the highest lending was done to southern states, followed by the least percentage for the Northeastern and Eastern states . But you will be surprise d, out of the total lending by the bank ing system, over 50% of lending was done in the southern state s. And northern states I think should be around 18% to 20% and the eastern states with least percentage .
So, in other words, we do believe that, particularly in parts where we operate, viz. Tier-3, Tier-4 cities, there is a good demand that's available in the southern part of India with good credit culture , income levels , serviceability and things like that. So, we still think we have a long way to go. Geographically, we wou ld have covered Tamil Nadu and Andhra, but we still see gap to be covered in Telangana and Karn ataka. So, that's where we are going to be adding . Of the proposed 40 branches , significant p art of the branches will get added in Telangana and Karnataka . And we are also planning to add more branches in the two newly identified states, namely Maharashtra and Odisha.
Moreover, out of the total 262 branches, they are at different stages in terms of their loan books . So

, in other words, for the branches that are added in the last one year, the average loan book is only Rs. 5 crores. So, there is a scope to move it up . Again, branches which are there for one to three years , there is a room for Rs. 17 crores to move up further. So, this will be our priorit y.
Renish: So, basically incremental growth will be largely driven from, let's say, Karnataka and Telangana , at least in near term ?
M. Anandan: Effectively , we will keep expanding on a contiguous basis , as we have been emphasizing from the beginning.
P. Balaji: To add , the growth in Tamil Nadu and Andhra Pradesh will also be there. I mean, it's not that it is not going to be there.
Renish: No, but on relative basis, I think these two states will grow at a faster rate.
P. Balaji : Yes.
Moderator : Thank you, sir. We have our next question from the line of Ni dhesh from Investec. Please go ahead.
Nidhesh: Firstly, on the small business loans, now that the share of housing loans have increased 60%, how do we see plan to improve the growth in the small business loan sector?

P. Balaji : See, broadly this ratio will be maintained with 60% housing loan on a consolidated book . And the balance , 20% or 21% will be in the small business loan , and 16 % to 17% will be in the quasi -home loans . And the top up, insurance will be almost the same . So, broadly this ratio will be maintained because we also need to take care of compliance . So, this will be the ratios with which the loan book will be progressed.
Nidhesh: Secondly, in the Tamil Nadu state, if you can share the absolute disbursement for Q4 and what does the Y -o-Y growth in disbursement in Q4 ? Q-on-Q you mentioned that was around 10%, but what was the Y-o-Y growth trend in Tamil Nadu ?
P. Balaji: As I told you earlier , during Q4, disbursement growth is almost 9% in Tamil Nadu . The loan book growth was subdued because of the NPA recoveries that has happened, which is good for the state . The things have already come back to normalcy in terms of disbursements in Tamil Nadu . In this quarter, you can see good traction on the loan book growth as well.
Nidhesh: If you can also share t he absolute number of disbursements for Q4.
P. Balaji: We will discuss this offline.
Nidhesh: And sir, what was the BT out rate for FY ‘24?
P. Balaji: See, BT out rate is around 2.5%.
Nidhesh: And what will be the dividend payout policy going forward?
M. Anandan : As a policy and as a Company , the dividend declared is not a onetime occurrence . There will be a dividend payout ratio. The Board has taken this into consideration, and we've deliberated and

established a comprehensive policy. This company will persist in paying dividends continuously, maintaining a reasonable and sustainable payout ratio. As a result, we are currently declaring a dividend of Rs. 2.50, compared to the previous declaration of Rs. 2, totaling Rs. 4.50 per share with a face value of Rs. 2. So, in other words, our dividend policy will take into consideration our part payout ratio and it will be our endeavor to continuously maintain, improve , if not the payout ratio, the quantum of the dividend going forward.
Nidhesh: And lastly in terms of disbursement mix, we have seen very strong growth in the customer referral channel. So, what exactly have we done to drive that growth?
P. Balaji: Nidhesh, I'll take it offline.
Moderator : Thank you, sir. We have our next question from the line of Sanket Chheda from DAM Capital. Please go ahead.
Sanket Chheda: Congrats on the set of numbers, sir. Just wanted to check in this quarter as far as the provisioning and other income source, there has been some restatements for prior periods, that's Q3 and for nine months FY '24, what has been the change in terms of accounting ?

P. Balaji : Earlier we have netted off the bad debts recovery with the provision . Now we have grossed it up and the provision has been stated as the provision and then the bad debt recovery has been added to the other income.
Sanket Chheda: So, the credit cost has gone high, provisions have gone high, and the other income has also gone high.
M. Anandan: Our total write -off and provision all put together is only 0.39%. And in fact, there is a good reduction even from 0.57% in the previous year . So, in other words, our provision for write -off has not really gone up but has come down . This is despite the fact that we really carry a reasonable amount of management overlay . And as Balaji said, the overall provision we are now carrying at is about 1.06% of the total assets, which when compare d is much better than the other Compan ies.
Sanket Chheda: The provision Y-o-Y would have come down ; I am saying the amount which was reported earlier versus that the numbers have gone up in terms of provisions.
P. Balaji : Yes, but there is an equal amount of recovery that's got added to the other income,
Moderator : Thank you, sir. We have our next question from the line of Arul Selvan from Independent Advisors. Please go ahead.
Arul Selvan: First of all, congratulations on a good set of numbers this quarter. I just had a couple of questions. The first one is more on a qualitative level. How has been your credit underwriting experience so far in the non -southern states, Orissa and Maharashtra ? And I understand that it's probably very new and it's too early to tell. But still I was just wondering if you could shed some light on how the experience has been so far.
P. Balaji : The experience has been good. S ee, we have got around 60 , 70 profiles of the customers whom we normally fund . And the same kind of profiles are being funded in the new states as well , whether it is Maharashtra or Orissa. And the NP As are not there at all . And I think 96% is nil overdues . So, things are good, and we have had positive credit experiences in both of these states.
Arul Selvan: The second question that I had is that with respect to these insurance loans , I was reading a media report which talked about the regulator looking into these bundling of insurance products along with loans. So, I just wanted to ask you, when a customer comes and gets a loan from Aptus , is it mandatory for the customer to get the insurance loans or is it optional?
P. Balaji : It is not mandatory. We give the option to the customer to take an insurance cover as a credit shield cover, because if something happens to them, the loan gets covered . But what we have done is that we have negotiated a good premium for these customers with an insurance Company . So, if they opt for that insurance, they get that benefit , and it's a one-time premium paid for the entire tenure of the loan. So, those are the benefits which we explain to the customers , and if the customers are interested, they take it.

Moderator : Thank you. We have our next question from the line of Bhavya Sang hvi from Fortress Group. Please go ahead.
Bhavya Sanghvi: Just a book keeping question. Could you give us the one plus DPD for the quarter?
P. Balaji : It is around 7.5%.
Moderator : Thank you, sir. We have our next question from the line of Nischint Chawathe from Kotak Institutional Equities. Please go ahead.
Nischint Chawathe : You have added around 100 -odd employees in the last one year in the collection s field. So, I was wondering whether we should read anything in this front?
P. Balaji: No. actually , we wanted to strengthen the collections department , hence, we have introduced

middle management into the collections department as well. And then we added around hundred employees to take care of the collect

ion. W e have been driving these digital collections , which needs to be taken care of by more employees . And if you look at our cash collections, it is just 2% of the total collections. So, those are the requirements and that's why we have recruited.

M. Anandan: Actually, our loans and disbursements have gone over around 30% . But as Balaji said, some of these numbers is not only for this year , actually these numbers are really fo r FY'25 also.

Nischint Chawathe : Just one final data keeping question. If you could share the yield on loans across segments for home loan , LAP, business loans, if you can .

P. Balaji : See, if you look at the housing loans, the yields are around 15.5%. The quasi -home loans is around 17.5% and the small business loan is around 21%.

Moderator : Thank you, sir. We have our next question from the line of Sonal Gandhi from Centrum Broking Limited. Please go ahead.

Sonal Gandhi: So, I just had one question, this is, when you are entering new states, what kind of team s do you build up? Is it like, your existing employees are transferred to the new state ? Or how do you go on building up the team over there?

P. Balaji : When we get into the new state, what we do is, as we said, we are growing on a contiguous basis. That means the first branch that will be opened in a new state will be near to the operating branch in the already existing states. For example, in O disha, we have opened our first branch in a place called Brahmapur, which is 50 -60 kilometers from a place called Srikakulam in Vizag. So, what will happen is the recruitment for these branches will be from the local place , which is Brahmapur . And the cul ture of the Company will be driven from the already existing branch in Srikakulam . And if we are successful in training those people, then more branches will be open ed in the new state based on that . The recruitment will be from the local place , with good experience in the industry .

Sonal Gandhi: And how many employees does the new branch have and across what functions, I mean, how many employees would you have?

P. Balaji : There are around three branches in O disha and Maharashtra , all put together there are around 25 people .

Sonal Gandhi : Sir, I am talking about a single branch, a new branch which you are opening . So, sales and operations , how many employees would you have over there and how would you add it over a period of time?

P. Balaji : We have around eight people .

Moderator : Thank you. We have our next question from the line of Mr. Abhishek , a shareholder. Please go ahead.

Abhishek: So, congratulations on a good set of numbers. So, my question is regarding the housing and small business loan. How do w e see scaling these up, versus the competition what we are facing ? As I understand that one of our closest competitors is also getting into the housing stage and we know that he has already been in the small business space. So, how do we see competing with them in the south as well as north?

P. Balaji : See, first of all if you look at the competition, I would like to break it into two. One is on the housing loan; the other one is on the small business loan. The housing loan basically, I mean , wherever we are operating there are quite a few companies who are also operating . But the yields which we are charging is almost on the same lines as other peers. So, even if the competition comes, we will be able to manage it. But in the case of small business loans, we have a competitive edge where we are charging less than our com petitors. So, even if the competition comes, we will be able to handle them well.

Abhishek: And the second question is regarding the debenture issue, which we have sought for approval from the shareholders to the tune of Rs. 2,250 crores. So, at what rate these would be and how do we plan to u

se them?

M. Anandan: Actually, these debentures will be raised from the institutional investors including banks, insurance companies and others . And as far as the rate is concerned, I don't think we will be able to indicate any specific rate now given the moving market situation .

Abhishek: Is it going to be something which is like, beyond what we are paying right now? Is it something you can disclose?

M. Anandan: Given our performance , given our brand name , given our credit rating and financials , we are able to get some of the best rates. And we hope to continue to leverage that . Definitely , we will not pay one paisa more than what we deserve to pay.

Abhishek: And just last question, sir, if can, is on the fixed rate loan book . We understand that as something which works as an advantage for us is that most of our asset book is towards fixed rate . And in the environment which we are today, and interest rates will drop , what is the risk we hold of people or trying to refinance it or going to another competitor? Because we wi ll have to pay fixed rate on our book.
P. Balaji : Correct. See , till now our BT out rate is only 2.59% . And we have seen both the cycles , interest rate reducing cycle and interest rate increase cycle. We have not seen this 2.59% changing drastically over the last 15 years. So, we also feel that this will not change, and this will continue.
Abhishek: But any measures we are taking towards that ? Because if someone has to consider it, for example , is taking a loan of Rs. 10 lakhs and if interest rates dropped by 0.5% or 1%, so being on Aptus' book, he will be paying 0.5%, 1% extra ?
P. Balaji : We will look at it on a c ase-to-case basis and then see what needs to be done at that point in time.
Moderator : Thank you. We have our next question from the line of Mona Khetan from Dol at Capital. Please go ahead.
Mona Khetan: Sir, just a few clarifications. So, firstly, if you could share the breakup of AUM based on ticket size, that is sub Rs. 5 lakhs, between Rs. 5 lakhs to Rs. 25 lakhs, and above Rs. 25 lakhs?
P. Balaji : If you look at the AUM, w e don't have any loan more than Rs. 25 lakhs, and 20 % to 25% will be 2% to 3% of our book . And most of the loan s, almost 70 % to 80% will be between Rs. 5 lakhs and Rs. 15 lakhs. And the balance will be between Rs. 15 lakhs and Rs. 20 lakhs .
Mona Khetan: Secondly , if you could share the incremental cost of funds during the quarter, both for the NB FC and the H FC?
P. Balaji : See, for the housing finance, we have been raising funds between 8.5 % to 8.6% and in the NBFC between 9 % and 9.25 %.
Mona Khetan: And are you seeing the cost of funds peaking or could it continue to rise for a couple of quarters ?
P. Balaji : Looks like it is peaking , because the recent sanctions which we have received in April are also on the same line.
Mona Khetan: So, while NIMs may continue to moderate because leverage will continue to rise, is it fair to say that the risk of spread pressures are very low in your case? .
P. Balaji : Yes, It is low.
Moderator : Thank you. We have our next question from the line of Arul Selvan from Independent Advisors . Please go ahead.

Arul Selvan: Sir, just a follow -up from my earlier question. I was talking about the life insurance aspect of our lending . I wanted to know if we could give a rough proportion of what proportion of our customers have life insurance versus the ones which don't.
M. Anandan : We can't get into the specific details. But what we do is totally compliant either from I RDAI point of view or from our regulatory point of view .
Arul Selvan: Right. Because I was just trying to understand if at all there is some sort of an impact if some sort of a regulatory ban in the f

uture .
P. Balaji: We have been going through the process for the last five to six years. And also , take it from us , we are always on the right side of the law, and we don't want to be on the left side.
Arul Selvan: One more question I wanted to ask, sir, is that I think you have given a guidance of about 30% of growth every year. Is there any sort of a breakup in terms of how much of this will come from the housing loan versus the small business loans?
P. Balaji : We have the breakup . Since the small business loans base is low, the growth can be 40% there because the base is low , that's not the thing . But the housing loans can be growing at 25 % to 30% there , again, so resulting in an overall growth of around 30 %.
Arul Selvan: I mean, do you have a specific target, sir, for this loan book for FY '25?
P. Balaji : See, obviously we will be having it internally because that's how we will be driving the branches, right.
Moderator : Thank you, sir. We have our next question from the line of Raj Patel, an individual investor. Please go ahead.
Raj Patel: I just wanted to understand why the dividend payout ratio is so high for our Company . We have seen phenomenal growth of about 40% C AGR for the last five years. Do we see that we do not have enough growth opportunities , that's why we are giving almost Rs. 200 crores of dividend this year?
M. Anandan: No, not really. On the opposite, we have indicated a guidance of around 30% growth in business. The second thing is that , we will not really come for any capital raise at all given our margins and profitability . Also, given the capital adequacy norms of this business, the risk weightage and capital is the norms of business , they are unlikely to come for any capital raise .

Now coming to your point in terms of the dividend payout ratio, we have considered that in our Board meeting . Actually, if you look at it very closely , last year our payout ratio was closer to about 30% and this year it will be around 35%. Actually, it has reduced. And as the business grows and the profitability grows, we will keep the payout ratio in mind. B ut at the same time, while the ratio will be prudent, it will not be at the cost of the business growth . And particularly when we see very strong busi ness growth coming forward, we are geared up for th is. In fact, we are very

strong with our capital adequacy ratio of 66%. So, in other words , with that kind of strong capital ratio, there is nothing like not supporting the growth of the business.

Moderator : Thank you, sir. We have our next question from the line of Ni dhesh from Invest ec. Please go ahead.

Nidhesh: Sir, just one data keeping question is on , what is the incremental ticket size in housing and small business loan for us for the Q4 ?

P. Balaji : Incremental ticket size during the quarter has increased by 5% on the housing loan and 7% on the non-housing loan.

Nidhesh: Sir, I couldn't hear the number , can you please repeat?

P. Balaji : It has increased f rom Rs. 8.6 lakhs last quarter to Rs. 9.2 lakhs this quarter for the housing loan , and from Rs. 8 lakhs to Rs. 8.6 lakhs for the non-housing loan .

Nidhesh: And sir lastly, do you see any impact because of the fair practices code for lenders o f charging of interest on our Company ? There was a notification issued from the RBI on charging of interest by banks and NBFC s, fair practice code on charging of interest on 29th April.

P. Balaji: Actually, what is happening, Nidhesh, from 1st April onwards all the disbursements for us is happening through RTGS, which is an account -to-account transfer to our customers. We will create the security interest before the disbursement happens . The proof of security interest gets reflected and then the money gets transferred to the customer’s account . So, we will not have problems

based on this RBI circular.

Moderator : Thank you, sir. We have a last question for today from the line of Harshit Toshniwal from Premji. Please go ahead.

Harshit Toshniwal: Sir, just one thing that carrying forward from that dividend point itself , wanted to get a sense that for us to grow at 30% , and given that the overall balance sheet leverage will keep inching up. At what level are you comfortable with ? Is 70% borrowing advances more a range where we would need to think for equity raise?

And also, if you can help us correlate with that payout number that we paid roughly around Rs. 4.5 dividend this year. So, we are not following a typical payout percentage policy. So, is it that we should just look at that Rs. 3, Rs. 4 dividend as an amount which becomes constant over a period of time ? Because we will need that money in the next three to four years , beyond which if we don't want to increase the leverage of the balance sheet.

M. Anandan : As you know, our current leverage is low , and our intent is to really take it up to 4x to 5x. So, that gives the long leeway . Considering the fact that even after the dividend we are retaining large internal cash generation. So, in other words, our surplus out of net of dividend , plus the increase d leverage from current low level to a level of about 5 leverage , we anticipate to really maintain a

reasonable amount of dividend payout. But obviously I will not be able to mention any number . But then it's our intent really to maintain a reasonable payout going forward. And for that clearly as per our projected numbers, we will continue to pay a reasonable amount. But sure, we will carry a reasonable dividend payout ratio . At the same time, keep supporting the growth very well through additional gearing and through operating success.

Harshit Toshniwal: So, basically, sir, what you are trying to indicate is that roughly 80% borrowing to advances is where , till that point we are comfortable in giving or maintaining the dividend payout , and objective is more to get that leverage of 5x on the book ?

M. Anandan: Yes, correct.

Moderator : Thank you, sir. That was the last question for today, ladies and gentlemen . I now hand the conference over to management for closing comments.

M. Anandan: Thank you , Mona, for organiz ing this conference call. I would like to pay my sincere gratitude to all the analyst s and investor friends who have taken time to listen to us today. Please feel free to contact us in case you have any further queries. Thank you.

Moderator : Thank you. On behalf of Dol at Capital, that concludes this conference. Thank you for joining us . And you may now disconnect your line s.

Call: Aug 2024

"Aptus Value Housing Finance India Limited Q1
Earnings Conference Call"

August 02, 2024

Management: Mr. M. Anandan –Executive Chairman
Mr. P. Balaji – Managing Director
Mr. C.T. Manoharan – ED & Chief Business Officer
Mr. John Vijayan – CFO
Moderator : Ms. Mona Khetan –Dolat Capital Market Private Limited

Moderator : Ladies and gentlemen, good day, and welcome to the Aptus Value Housing Finance Limited Conference Call hosted by Dolat Capital.
As a reminder, all participants' line will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*"and then "0" on your touch - tone phone Please note that this conference is being recorded.
I now hand the conference over to Ms. Mona Khetan from Dolat Capital. Thank you, and over to you, Ms. Khetan.
Mona Khetan : Thank you, Riya. Good evening, everyone, and welcome to Q1 FY '25 Earnings Call of Aptus Value Housing Finance. We have with us the Senior Management for Aptus to share industry and business updates.
I would now like to hand over the call to Mr. Anandan – Founder and Executive Chairman of Aptus for his Opening Remarks , post which, we can open the floor for questions.
Thank you, and over to you, sir.
M. Anandan : Thank you , Mona. Ladies and gentlemen, good afternoon to all of you. I am Anandan, Executive Chairman of the Company .
I welcome you all to this Conference Call to discuss the Company Performance for the quarter ended June '24. I have with me Mr. P. Balaji, MD; Mr. C. T. Manoharan – ED and CBO; and Mr. John Vijayan, CFO.The financial results and the investor presentations are available on the website of Stock Exchanges as well as our company. I hope everyone had a chance to look at it.
With low mortgage penetration and significant housing shortage across the regions, growth particularly in Tier-2, Tier-3, Tier-4 cities, where we operate and with the government initiatives supporting the sector, we believe that we are having a significant headroom for growth to serve the underserved, unserved customers in the areas we operate.
At Aptus, we believe in strong growth without losing focus on the quality of loan book and good financial metrics. We are happy to record that Aptus had a solid first quarter of FY '25, supported by business growth, stable asset quality and continuous focu s on productivity. Sharp business focus, good distribution network, deep penetration in the served markets, customer centricity along with appropriate tech support and diversified income stream have enabled the company to achieve good business results .

Our net worth, as you know, stands over about Rs. 3,800 crores, indicating robust capital adequacy. This, coupled with good support from NHB, banks, the FDIs on the borrowing side and with strong on -ground demand for both home loans and small business loan s give us confidence to pursue strong growth, scalability in the coming years with sustained profitability.
I now hand over the line to Mr. P. Balaji, MD, to discuss business focus, operating and financial parameters. Thank you.
P. Balaji : Thank you, sir. Good afternoon, friends. As we have been explaining in the earlier call, we will continue to focus on key strategies, namely :
• Growing disbursements and loan book both in Housing Loan and Small Business Loans considering the large head room available in the low and middle income segment in tier 3 & 4 cities
• Increasing penetration in existing geographies by opening new branches and expanding operations contiguously in the States of Odisha and Maharashtra.
• Strengthen analytics and digital adoption, about 18% of our business in Q1 FY 25 has come from customer referral app, construction eco system app and social media channel. Our focus shall be to increase the leads through these channels, in addition to the physical branch network.
• Continue to focus on productivity, collection efficiencies, opex and cost of funds.
• During the quarter, we moved to Mobile

First lead management software system,
which impacted our disbursements in the month of April 2024. In the months of May and June 2024, disbursements were back to normalcy clocking 35% growth over the corresponding co mparable two month period. This technology initiative will bring major advancement in our operations, streamlining our processes, service delivery, lesser bounce, improved collection productivity, better regulatory compliance and improving overall efficien cy.
Major performance highlights are as follows:
• AUM grew by 27% YoY to Rs.9072 crores.
• Disbursements increased by 4% YoY to Rs.675 crores.
• As on date, we have opened 16 branches in Karnataka, Telangana and Maharashtra. 7 more branches will be opened in Q2. Of this 4 will be in Maharashtra and Odisha. Plan for the year will be to add 40 new branches.
• Total live customers were at 137,000 customers (27% growth YoY)
• NPA was at 1.30% - maintained at the same levels as June 2023

• Asset quality
o Collection efficiencies dropped to 99.18% resulting in 30 + DPD inching up to 6.31%. This was mainly due to seasonality and also due to elections. This will be focused and collections will be improved further in the ensuing quarters.
o NNPA - 0.98%
o PCR maintained consistently at 1.05% as on 30 June We are carrying a total provision of Rs.95 crores (including a management over lay of Rs.45 crores) and this when computed as a % of NPA works out to a coverage of 80%
• NIM was at 12.80%
• Opex to assets were at 2.67%
• PAT at Rs.172 crores (21% growth y -o-y)
• ROA and ROE was at 7.73%. During the quarter our ROE crossed 18% and was at 18.13%, which is one of the best in the industry.
• Funding : We have well -diversified borrowing. Of the total borrowings, 64% is from banks, 22% from NHB, 14% from NCDs issued to IFC and also to Bajaj and also securitization. Sufficient on -balance sheet liquidity of Rs. 907 crores, including undrawn sanction of Rs. 520 crores from banks. As you know, we have not done any direct assignment of loan and front -ending of income on account of this.
Now with these remarks, I open the floor to the question -and-answer session. Thank you all.
Moderator : Thank you very much. We will now begin the question and answer session. The first question is from the line of Renish Bhuv from ICICI Securities. Please go ahead.
Renish Bhuva : And congrats on a good set of numbers. Sir, just 2 things from my side. One on this disbursement growth, which we alluded to the tech upgradation. But is there any impact of the RBI circular dated 29th April?
P. Balaji : Actually, no. If you look at our disbursements, 95% to 98% of our disbursements is through

RTGS. Actually, this RTGS planning we have started sometime in January 2024 itself. So, with the result, we didn't get impacted because of this RBI circular. And with the new system coming in, where more discipline has come up, because of that, the MODT gets registered before the disbursement happens. And because of that, only we are disbursi ng through RTGS, except for the balance takeover and also where we are funding the housing purchase cases where we need to give che ques.
Renish Bhuva : And sir, my second question is on the provision side. So, this quarter, there has been a sharp fall in the total provisioning. But when we look at the lead indicators for us at quality like collection efficiency or 30 -plus DPD or even for that matter net NPA as well, all these 3 parameters have increased sequenti ally. And despite that, our provisioning fell sequentially. So, what explains that, sir?

P. Balaji : No. Actually, if you look at the provision, as I told a little earlier, we are carrying a provision of Rs. 95 crores, which works out to 1.05% of our total assets under mana

gement. This works out to 1.05%. See, till 31st March, we were creating this mana gement overlay. So, of this Rs. 95 crores, Rs. 50 crores is the provision that is required as per the ECL model. So, the balance Rs. 45 crores is the management overlay, which we are carrying. So, in the quarter of June, we stopped creating this m anagement overlay. And this drop in collection efficiencies and increase in stage 2 assets is because of the seasonal nature of the business. In the second quarter, the collection efficiencies will improve. And in July, we are seeing signs of that. And also, the asset quality has remained stable. Because of that, we have stopped creating the management overlays, and this Rs. 45 crores will be continued. So, that's the reason.
Renish Bhuva : So, sir, it is fair to assume that going forward, the total ECL provision at 1.05% will remain static and there will be no further requirement for creating the management overlay. Is that a fair assumption?
P. Balaji : Yes. It will be at these levels. And if the asset quality improves further, we might take some benefit. But as of now, we are not planning that way.
Renish Bhuva : So, sir, what could be the credit cost guidance for the full year in FY '25?
P. Balaji : It should be around 0.3% to 0.35%.
Renish Bhuva : 0.3 to 0.35. Okay. So, this quarter, at 16 basis point, is optically low.
M. Anandan : Just to add to what Mr. Balaji said, basically, we follow somewhat conservative policy as far as the provision for NPAs are concerned and also dealing with NPAs. In fact, apart from the provision, any outstanding beyond 24 months, we 100% write -off. And so any account, which is outstanding only less than 24 months also will be there. When you say NPA, it is really between 91 days to maximum of 2 years only. Beyond 2 years, completely is written off. And within that also, we have created 25% prov ision for the NPA. In addition to that, there is this total provision of Rs. 95 crores, which includes Rs. 45 crores of management outlay. In fact, this we have been consistently looking at it and giving advice whether we want to reverse this, if not fully, partly. But we said we would rather not reverse this management outlay of Rs. 45 crores, but we will use this going forward to support the business growth. So, to that extent, the incremental provision for the quarter for the year is what really is requi red without disturbing. Our overall provision is still at 1.05%, that's not been disturbed.
Only thing is if you put additional provision, it goes up further and increase our management outlay further. So, that is the reason we have taken the call. Overall provision we will maintain around 1.05%, 1.06%. That actually covers up to 80% of our NPA. Our NPA, this Rs. 95 crores of the provisions available, accounts for 80% of our NPA. So, given that the debit to the P&L

account in the first quarter is slightly less without really reducing any provision and without really reversing any management outlays.
Moderator : The next question is from the line of Kunal Garg from IIFL Securities. Please go ahead.
Kunal Garg : Sir, congratulations for a good set of numbers. So, my first question is, sir, may I know the gross write -off during this quarter?
P. Balaji : So, as you know, as Mr. Anandan told, the write -off is a technical write -off. That means any asset which is going beyond 24 months, that is getting debited in the P&L account. So, if you look at it, I think it is around Rs. 1.65 crores is the write -off that has happened in this quarter. But as against that the old bad debt recovered is around Rs. 1 crore . That is getting accounted for in the other income.
Kunal Garg : And sir, my second question on your ECL model. Sir, for how many years of data you are using for the ECL model?

P. Balaji: It's basically right from the inception th

at is being used for the process of calculating the
probability of default and the loss given default. Actually, live customers' payment patterns are getting analyzed.
Kunal Garg : And my, sir, last question is, your 30 -plus has increased significantly in this quarter, so any particular product or any particular state where you see stress in this particular?
P. Balaji : No, it's not that way. I mean we are not seeing any stress in any of the states, in particular. It is dispersed across all states.
Kunal Garg : So, any reason for the increas e in this 30 -plus?
P. Balaji : As I told earlier, it is basically because normally in any NBFC, the first quarter is slightly subdued, whether it is disbursement or whether it is collections because of the hard work done for the last quarter of the financial year, so that is the reaso n. And of course, elections also played a part because in some states' elections were in June and in some states, elections were in April. So, that also played a part in getting the money collected. So, that is one thing, plus this. So, otherwise, we are back to normalcy in July.
M. Anandan: Actually, if you really see our last year record also, if you can see the investor presentation, last year first quarter, the NPA was at about 1.29%. And then progressively, it came down to 1.07% by March '24. Because then after this 1.29% in the Q1, it ca me down in Q2, came down in Q3 and then came down in Q4 to 1.07%. So, again, 1.29% of Q1 of last year, there it so happened we are at 1.3% in Q1, 2025 despite whatever is the problems caused by the election and things like that.

Moderator : The next question is from the line of Balkrushna Vaghasia from Axanoun Investment Management. Please go ahead.
Balkrushna Vaghasia : Sir, my first question is related to the industry as a whole. So, if I look at the microfinance industry, which serves to the bottom of the pyramid, and then comes, I think the small and business loans and housing loans in the Tier-3, 4, 5 city and rural. So, when I look at the microfinance, it is kind of highly cyclical if I take the data of last 15 years. So, now comparing that to our industry, what is your perspective on the cyclicity of like affordable housing as well as the small b usiness loans that you are granting in the areas you are operating? Like how much cyclical is the business that we are in?
P. Balaji: See actually, I don't think it is right to compare the microfinance industry with the loans that we are giving because first of all, microfinance is an unsecured loan whereas in the loans which we give, it is fully secured and fully secured by self -occupie d residential properties. That's the first thing. And also, if you look at the average ticket size of any microfinance, it is between Rs. 50,000 to maybe Rs. 2 lakhs at the most, whereas in our case, the average ticket size is almost Rs. 9 lakhs , which means the quality of the customers are very well above their microfinance kind of customers. And also, we fund for the construction of the property alone. See in our case, a typical customer of Aptus or any affordable housing finance is that he wil l typically have a land of his own and he will want money for construction of the house. And we also fund part of the construction cost, resulting in the LTVs between 35% to 40%. And most of the cases, that customer lives in that house.
So, with the result, I don't think the cyclical nature of the industry is not applicable for the affordable housing industry because it is his asset, and he is living in that house and the moral responsibility to pay back the due is much more than in the case of a microfinance industry.
M. Anandan : Also, as you are aware, the interest charged by the microfinance company is far higher. It's anything about 24% plus kind of thing and upwards of 22% and goes up to 25%, 26%. Whe

reas
in the affordable housing company, the interest charge is not that high . Because of that, their EMI, where interest is lower, the EMI also serviceability becomes easier. And it's really for them as Mr. Balaji said, it's for really their own living purpose. In fact, in our case, 80% of what we have funded customers a re living in that houses. And they are also saving in the rental because they are living in their own property.
Balkrushna Vaghasia : Right. So, second question is related to employee turnover. Like if I look at the industry data, specifically the players who are listed and who are not like the government bank sponsored or something like that, I mean, if I exclude the government -sponsored, like HFC s, so employee turnover is very high in the industry. Of course, your data is kind of like one of the best, but overall, the employee turnover is very high at an industry level. So, what are the couple of things that you can attribute to this particular scenario?

P. Balaji: See, I would like to answer this in 2 parts. One is the people at different levels. One is the band one, which is the top management, where there is no attrition. And also the band 2, which comprises of the middle management, associate vice president and vice president and the state and area managers and EVPs and cluster managers, there is no attrition there. And the attrition is around 4%, 5% there. I mean the third one is the branch managers. Again, there, the attrition is around 10%. And at the field level, the attrition is high. I mean it is not low for us as well. It is between 30% to 35%.

So, that is the challenge which we need to handle, and we are incentivizing all the branch managers and also the field staff to the extent possible, but we also draw productivity out of them. But beyond that, if they are not performing, then either we need to take a call to ask them to go out or they themselves go out of the organization. So, that 30% to 35% is a challenge which we are tackling. But at the top level, there is not much attrition.

M. Anandan : Actually, in fact, as Mr. Balaji said, the attrition is not only for us, most of the financial players, as you know, it's only at the field staff level, either the field level sales officers or field -level collection staff, where their average age is bet ween 25 to 30, in that age group. And now what we're trying to do is that do a lot of homework at the time of recruitment and induct them through proper, appropriate handholding and training.

And we have also introduced a retention bonus for them. If this guy stays with us up to 8 months, now maybe we might say in terms of 6 to 8 months, they get a bonus because we found that based on our past experience, the attrition happens largely in the fi rst 6 months, really. So, then we said we've started taking utmost care, and in fact, some of the actions we try to initiate to really reduce attrition. And we do see some positive impact when compared with the maybe some of the other industry players, inc luding some of the large private sector banks, as you know, where the attrition is around 45% and upwards, where our attrition, even at the field level, is slightly lower than that because of these actions.

Balkrushna Vaghasia : Third question is related to NHB finance. So, what is the fund that NHB has targeted for refinance for the current financial year? And on what basis NHB allocates the fund? And how much we are targeting to borrow from NHB in this year?

P. Balaji : See, if you look at this NHB, in fact, for Aptus, right from the first year of operations, NHB support has been there. That's the first thing. Next thing is, every year, we have been applying to NHB, and NHB has been supportive enough for us to give the refinance facility. Last time they gave Rs. 300 crores. The year before they gave Rs. 500 crores. This year

also, we will be applying but the decision -making at the NHB normally comes after our AGM, after the annual return is filed, and then, we n eed to give all the relevant information to them. They process it, and the refinance sanction come sometime between September and October, after which we'll be drawing the funds.

This year, we are planning to approach NHB for a refinance facility of around Rs. 750 crores. We need to see how they give. But of course, they have their own internal parameters of how they rate. They have a rating associated with all the housing finance companies. And based on that, they arrive at the amount and give the money. And that's the process which NHB follows. And every year, we have been applying for that.

M. Anandan: Our experience has been very good and very positive because they've been supporting us a lot. That's why today, 22% of funding come from NHB only. And not only these, even after giving the funds when they come for the audit, the NHB auditor has got 2 components . One is the regulatory audit. Second is really refinance audit. In case of our refinance audit, if they are happy, if everything is good, they tend to give more.

Balkrushna Vaghasia : And what is the amount that you would have written off so far in the existence of the company?

Moderator : So, sorry to interrupt you, Mr. Balkrushna may we request you to return to the question queue for follow -up questions as there are several participants waiting for their turn?

Balkrushna Vaghasia : Sure.

Moderator : Thank you so much. The next question will be from the line of Kunal Shah from Citigroup. Please go ahead.

Kunal Shah : Yes. Sir, anything to link, say, the collection team rationalization to collection efficiency or that's a separate part? And would we look at more rationalizing the collection team from here?

P. Balaji: No, Kunal, that's part of our everyday operations. See, we look at productivity of each of the collection officers. And suppose if in a branch, if the bounces are, say, 120 bounces and if there are 3 collection officers, and I don't think we need 3 collect ion officers because an average collection officer can do 60 receipts per month. So, if that happens then we normally rationalize it by either transferring him into some other branch or making him do more. So, that is one thing which we follow d iligently and then monitor the MIS and then take actions on these kinds of

things.
And that's how the collection officer's numbers have also come down as compared to the earlier quarter. So, it's part of the rationalization impact. And also, what is happening is with the new system that is going in, the early signs are that the bounce rates are coming down. So, anticipating that also, we are slightly rationalizing the collection's manpower.
Kunal Shah : And secondly, with respect to this ECL provisions, which we are maintaining at 1.05%, 1.06%, would there be any read -through in terms of how the trends in 30 -plus DPD would be and then we would want to create some buffer out there? Because see, when we l ook at it in terms of the aspiration that we had on 30 -plus, that number, maybe this quarter again, went up quite high to

6.3. No doubt, over the quarters, we see it improving getting into Q4. But somehow when we look at it maybe in terms of the aspiration level and the ECL, that seems to be moving in the opposite direction. So, should we link that, that if there is an increase in the rise, then we will see higher coverage?
P. Balaji : See, if it is increasing. See, as of now, the ground level, collection efficiencies doesn't indicate that kind of a thing though the ratios are that way. It is basically this quarter it has increased as I explained, because of the seasonality of the thin g. Otherwise, it imp

roved, and it has been consistently maintained between maybe 4% to 5% at the stage 2. So, we are not seeing that kind of patterns on the field because people are able to collect the money. If we see some strain at the field lev el, we will be surely increasing the provision coverage at that level.
Kunal Shah : Okay. And now we are back on collection efficiency to 100% plus in July?
M. Balaji : I can't reveal those numbers, but definitely it is really good compared to first quarter.
Kunal Shah : And last on states, any specific trends with respect to states or it was more broad -based the election impact or maybe we saw the deterioration in collection efficiency slightly higher in few of the states?
M. Balaji : It is basically, if you look at it, I think, 2 of the states had the elections in June. So, that was the problem. And the other, of course, the seasonality, that's all.
Moderator : The next question will be from the line of Harshit Toshniwal from PremjiInvest. Please go ahead.
Harshit Toshniwal : Sir, I think the question is more with respect to the shift in the regional mix, which we have seen. So, I think this quarter, Tamil Nadu portfolio has recovered pretty well, but there has been a slowdown in the Andhra Pradesh book and a pretty sharp slowdown. If you can help us explain where the individual dynamics within both these states are? If election w as a reason to slow down slightly in Andhra Pradesh?
M. Anandan : I don't know where you got this number from. Andhra, there is no slowdown at all.
Mr Balaji : See, if you look at the year -on-year growth, Andhra Pradesh has grown by 43%. Tamil Nadu has grown by 10%. I'm talking about the AUM, okay? And in Telangana, it has grown by 43%, and Karnataka, it has grown by 24%, resulting in the overall AUM growth of 27 %. So, this is the number that is there. I don't know on what basis are you telling the Andhra Pradesh growth has come down.
Harshit Toshniwal : Sir, let me clarify. I thought that sequentially, it was lower, but maybe would have punched the number wrong.

P. Balaji : Don't worry, Harshit. I think if it is relating to specific numbers, we can have a separate call and get this clarified.
Moderator : The next question will be from the line of Rajiv Mehta from Yes Securities. Please go ahead.
Rajiv Mehta : Congrats on good numbers. Now, my question is on disbursements. So, what we saw in May and June was a very good comeback. But as a run rate, are we running on that momentum in July to start off with this quarter? And whether can you look forward to, say, maybe Rs. 1,000 crore disbursement coming in second quarter?
P. Balaji: Definitely, Rajiv. We are very confident of achieving Rs. 1,000 crores disbursement in this quarter. The signs are very positive in the month of July as well. In fact, there has been a 27% to 28% growth over July '23. And things are looking better, and tha t's how it is, I think I have answered this question specifically also.
M. Anandan : Our overall guidance, what has been given, we are confident of pursuing that overall guidance that we have given. We have given the guidance of about 30% growth in our disbursements. Despite this little thing that's just happening because of system in April, we are ve ry, very confident we'll catch up with it, our overall guidance of 30% and which will be visible in the second quarter itself. As we have seen in July, it's very good growth, and we are seeing that happening in September and going forward for the year as w ell.

Rajiv Mehta : And just one question is on cost of funds and spreads. I mean, if you can elaborate on the trends in incremental cost of funds and how do you see it going in the coming months, and hence, how should we look at spreads?
Mr. Balaji : See, if you look at the cost of funds, it has been stable for the housing finance company. We are able

to raise additional funds, incremental funds between 8.5% to 8.6%. And of course, that is also getting linked to the repo rate. So, that is one thing which we are observing on the field. But if you look at the NBFC borrowings, banks are increasing the rates. One is, of course, the HFC, it gets classified as priority sector as well. So, with the result I'm getting, the funds are around 8.5%.
But in the NBFC, because of their risk rates getting increased by RBI and also the credit to deposit ratio being higher, we are seeing banks raising the interest rate. With the result, earlier, we were raising funds around 8.9% to 9% in the NBFC, this has gone up to, say, 9.15% to 9.2% now. So, with the additional something that is required in the NBFC, there will be an increase in the cost of funds. To that extent, there can be a NIM compression. Maybe I'm expecting 0.1% to 0.15% NIM compression because of that on the total book.

Moderator : The next question is from the line of Chinmay Nema from Prescient Capital. Please go ahead.
Chinmay Nema : Firstly, could you provide some sense around the asset quality on a vintage basis, as in what does the asset quality look like on our 1 -year-old book, 2 -year-old book? And what's the right vintage to assess the loans in your categories?
P. Balaji : I didn't understand the question.
Chinmay Nema : So, what does the asset quality look like on the loans that were disbursed 1 year back and on the loans that were disbursed 2 years back? Just trying to understand how the asset quality progresses as the loan seasons.
P. Balaji : See, if you look at the June number, it is working out to say, the lagged delinquency for 1 year is around 1.5%. And maybe if you look at the 2 -year lag, it will be around 1.8%. This is the June number. If you compare it with the March, it will be lower because it should be around 1.3% for 1-year lag and around 1.5% for 2 -year lag, if you are looking at the financial numbers as on the year-end. So, that's the trend we are looking at. And we are absolutely fine with that numbers, yes, because of t he collection efficiencies that are around 100%.
M. Anandan: See, we also have a system of tracking what we call the tracking the early default. For example, with the last 15 months, all the transactions done in the last 15 months, how did they really perform. And if there is any visibility in terms of customers’ se lf-account and is there any budget bounce higher or either repayment is coming. So, in our indication of our early default percentage will tell us in terms of all the new accounts are coming on board. They are being monitored continuously on an ongoing basis for the first 15 months account by account.
And also, not by account by account, by branch by branch, the branch manager who has originated it, the sales officer who has originated it and the root cause of any early de linquen cy, is it because of the end -use related or our own employee related, our own location related. So, that way we do a root cause analysis for all the early defaults and then in -built into our private appraisal and accrual system. So, that really gives us the comfort in terms of keeping track of the lagged delinquency and lagged ou tside entries like that.
Chinmay Nema : And secondly, could you talk about the post -disbursement tracking mechanisms in the sense that do we do periodic bureau scrubs once we have disbursed the loans or keep a check on the other loans a person might be taking after taking on a housing loan? Or is that not part of the process?
P. Balaji: See, as regards the post -disbursements, first, the end use is checked properly. See, whether it is for the purpose of construction of the house, so, obviously, the money gets disbursed based on the stage of completion of the construction. So, the end use is clearly monitored. Even in the case

of small business loans, the purpose of our loans is for enhancement of business of the customers. So, if the customer borrows for enhancing the businesses of their own, so after

disbursement maybe 3 months down the line, that there is a post -disbursement audit conducted at the field to ensure the end use of the funds.
As regards to the CIBIL records or the credit bureau records are concerned, 3 or 4 years after the disbursements are done, maybe we also do a credit bureau check on whether he has got any other loan. And we also do an analysis of whether he's paying us cor rectly and whether for the

other loans he is not paying or is he paying correctly. So, that kind of analysis are also being done. And if something happens, if some data is coming out, which is not okay, then we monitor those customers more closely.

Chinmay Nema : And my last question is on underwriting. So, we have a centralized underwriting system. But just trying to understand that because we have a higher share of self -employed customers in our mix, how do you deal with the subjectivity of cash flows associated with such customers? Could you talk about wha t happens at the branch level or to what extent underwriting happens with the feet-on-street team, some sense around this?

M. Anandan : See, if you look at the typical structure of a branch, there is a branch manager, 4 or 5 sales officers. Let's say, the duty of the sales officer is to procure the lead from the field and then pass it on to the credit officers of the branch. So, these credit officer goes and meets the customers and then understands his business, goes through his cash flows and then he does a business verification. He does a residence verification and then gives the credit appraisal memorandum. That is being done .

One more thing what he does is we have something called asset creation. Suppose if a customer comes and tells me he is earning Rs. 50,000 a month, at least 50% of that has to be in a tangible asset creation. He should show us the proof. By tangible asset c reation, mainly it can be an investment in a piece of land or a fixed deposit or a chit fund or something which is tangible. It's where he is able to prove.

So, once this is done, the proposal gets into the head office, where a team of 40, 50 people analyze the credit appraisal memorandum. If there is a need, they talk to the customer, understands the business of the customer again and then take the call on whether to give the money or not. And for this purpose, we have got around 60 to 70 profiles of custom ers where we have developed over the period of last 15 years. And then, for each profile of the customers, we have a cash flow analysis and also what kind o f profit those kind of profiles will be making. And then currently, what we are doing is we are also using the services of the account aggregator wherein the bank statements of the customers are analyzed for their cash flows. So, that is also being done for evaluating the customer.

Moderator : The next question is from the line of Deepak Mandhana from Avighna Investments. Please go ahead.

Deepak Mandhana : I have 2 questions. One what would be your average loan tenure? And what would be your average loan to value in each of the segments, housing loan, quasi housing loan and your small business and personal loans?

P. Balaji : Okay. Just a second. See, average tenure of loans for the housing loan is around 9.59 years. We do up to 15 years, but the average tenure is around 9.59. For the non -housing loans, it is between 8.5 to 9. And for small business loans, it is 7 years. And LTV, for the housing loan is around 37%. For the non-housing loan, it is around 42%. For the small business loans, it is around 40%.

Deepak Mandhana : And the second question is a f

ollow -up on this. Now, considering your most of the loan book is on the fixed rate, so going forward, obviously, because of the direction from Fed as well, they would start reducing rates. So, probably the Indian banks, the RBI would also start reducing rates. So, how do you see that business? Because people, if you have a fixed rate, so there would be a difficulty in getting the old customers in terms of the tenure that you have given to stay with you because they would want to do a BT with some other financiers.

P. Balaji: No. Actually, I will see this as a benefit because what will happen is if you look at the interest rates which we charge, it is on par with any other company. That is the first thing. Next thing is if interest rate comes down, I think we will be the benefi ciary. Now your question is whether these customers will go to somebody else. Our past trend is not indicating that. For the last 15 years, our preclosure rates are at 7% or 8%. Out of 8%, 5% is from the own source. So, we are not seeing that kind of a tre nd. So, if it comes, we need to see, but as of now, we are not seeing those kind of trends.

Deepak Mandhana : And any growth of business in Karnataka that has been seen because I don't see much of a growth in the state of Karnataka?

P. Balaji: Karnataka growth has been at 28%, 29% AUM.

M. Anandan : No, actually, you will see lot more growth coming from Karnataka in this year and this quarter itself. In fact, in Karnataka, we are also adding more branches. And more branches are really getting added in Karnataka and in Telangana in our existing state s and apart from the branches that we are adding in Maharashtra and Odisha, the new states. In the existing states, we are focusing on Telangana and Karnataka, and we are quite happy with Karnataka with the growth started coming already.

Moderator : The next question will be from the line of Raghav Garg from AMBIT Capital. Please go ahead.

Raghav Garg : Sir, just 2 questions. One, why is there a decline in the Tamil Nadu loan book? On a quarter -on-quarter basis, it seems to have declined by almost 2% on an outstanding basis. Why is that?
P. Balaji : See, Tamil Nadu loan book has grown by 10%, okay, quarter -on-quarter. That is the first thing.
Raghav Garg : 10% Y -o-Y, right?
P. Balaji: Yes, in terms of Y -o-Y. And if you look at it, we have been indicating in the last year, there were some problems relating to staff attrition. Because of that, the loan book and the disbursements were not that great in Tamil Nadu in the last year. Now, if you look at it, we have taken steps to correct it. And in the last quarter of last year, the disbursement growth was 9%.
And in this quarter, the disbursement growth as compared to the corresponding period of last quarter barring April was 15%, which means we are able to see good improvements in Tamil Nadu. We are targeting at least 20% disbursement growth this year in Tamil Nadu. And we have to correct 1 or 2 clusters, but that will be done in this quarter. And once that is done, we can safely assume a 20% growth in Tamil Nadu as regard disbursement is concerned.
Raghav Garg : Sir, would it be fair to say that whatever attrition issue, the staff poaching issue that you had highlighted last year, considering those, there may have been cases where employees took some of the business from you to wherever they went? Is that the ri ght way to think about this?
P. Balaji : No, I didn't understand your question. Yes.
Raghav Garg : So, what I meant is that you had highlighted staff attrition issues in your company last year.
P. Balaji : Yes. Just in Tamil Nadu mostly. Correct.
Raghav Garg : Is it fair to assume that the employees would have taken away the business, would have done a balance transfer after they went to that new company?
P. Balaji : See, what happens when a group of peopl

e leave from one company to another, the first thing they target is to get the loans that they have sourced in the older company because that's the easier way to show performance in the new company, right? So, that normally happens. But over the next maybe 1 or 2 months, it will happen. After that, it will dwindle down. So, we don't see that kind of an issue as a big issue. It might be there for 1 or 2 months.
Raghav Garg : So, no, sir, my only reason to ask that was that there has been a consistent decline in the Tamil Nadu growth rates, which prompted me to ask as to why the book has declined on a quarter -on-quarter basis. And even if you look at on a Y -o-Y, basically, growth rates have been coming down. So, that was the only reason why I asked.

P. Balaji : Basically, the disbursements didn’t happen last year, so that's why, but this time it will become okay.
Raghav Garg : And sir, how are collections trending in July so far? I understand that new disbursements are up 27%, 28%, as you highlighted, but how are collections doing? Or How are collections in July?
M. Anandan : In July.
P. Balaji: July. I can't reveal the number, but it has been very good. It has improved a lot as compared to the first quarter of FY '25. And we are seeing good improvement, and we are pushing people to collect more. So, no problems there.
Moderator : The next question is from the line of Shubhranshu Mishra from PhillipCapital. Please go ahead.
Shubhranshu Mishra : The first one is if we can specify the number of loans and home loans and LAPs that we have done this quarter versus, say, on a Q -o-Q basis and on a Y -o-Y basis. The second is, are we deploying any account aggregators and any other technology providers t o do ID verification or bank statement analysis guys, like Perfios? So, what all parts of technology is being deployed? That's the second.
P. Balaji : Yes. First, I will take the second question. I didn't understand the first question. But second, see, we are using the services of account aggregators. And account aggregators, we are using for the purpose of bank statement generations and also the bank statement analysis. We have tied up with CAMSfinserv, and they are giving both. One is the account aggregator, and then, the bank statement analyzer also. Data is being ploughed back into the credit evaluation mechanism itself. So, the adoption of account aggregator has been increasing month -on-month. And also, in terms of the loan agreement execution, we have tied up with a firm called Legality, where all the loans that we disburse, the loan agreement execution is done on a tech platform. The firs t question, what was that? I didn't understand the first question.
Shubhranshu Mishra : Sir, my first question is fairly simple. It's just a data point. The number of loans that we have done in new home loan category and the LAP category this quarter versus on a Q -o-Q basis and on a Y -o-Y basis.
P. Balaji : Number of loans.

Shubhranshu Mishra : Volume?
P. Balaji : I will give it to you a little later. I don't have that rightly on hand. I will give it to you later.
Shubhranshu Mishra : It would be very helpful if you can do it later in the call.
P. Balaji : Yes.

Moderator : The next question is from the line of Varun from Kotak Securities. Please go ahead.
Varun : I have 2 questions. The first one is with regard to Tamil Nadu disbursement guidance. As far as I remember, last quarter, we had guided for 30% growth in this year. And before in the call, you had guided for 20%. So, is there a cut in guidance?
P. Balaji : No. 30% guidance we have given for the company, Varun. The 20% guidance was given for Tamil Nadu. We are still maintaining that 20%. If you look at the disbursement growth year -on-year for this quarter,

it has been 15%. We are confident of touching this 20% in this year.
M. Anandan: No, actually, the growth that we are getting, outside Tamil Nadu, particularly in Andhra, Telangana, it's much, much higher than even 30%. So, 20% that we are talking about is only for Tamil Nadu. But outside Tamil Nadu, other than Tamil Nadu, our growth rates are higher than that. That's why, we are indicating a growth rate of 30% at the company level.
So, basically, this growth is coming, a, out of expansion in terms of new branches in the existing states, namely in Telangana and in Karnataka. Also, the growth is coming out of enhanced productivity from the sales officers. Now, we have moved into 3.5 files per staff per day. That's moving up to 4. So, the growth also is coming on account of a small increase in the ATS, average ticket size. We are looking at anything between 8% to 10% increase because our average loan size of about Rs. 9 lakhs is moving t owards about Rs. 10 lakhs.
So, in other words, the overall growth of 30% disbursement growth that we are guiding clearly take into consideration factors in terms of new branches in existing space, new branches in the new states, an increase in productivity per sales officer productivity and increase in ATS. So, because of that, we are getting the overall 30%. While in Tamil Nadu, yes, we are moving from the last year. We are improving, basically, to about 20%. And going forward, we will improve further there also.
Varun : The second question I had was with regard to the rate hikes that we had implemented in the previous quarters. So, we have not really seen a benefit on the yields. When are we going to expect some flow -through to the yields?
P. Balaji : No, it is there. If you look at it, I think from 17.15% or so, it has become 17.36%.
M. Anandan : Possibly, he is referring to the other income because of the April disbursement.
P. Balaji : Okay. If you look at the ROA tree, it has not increased much because there are some volume -related income which gets booked. And in April, because the volumes got impacted, from 17.6% last quarter, it has become 17.67%. It is because of the disbursements which didn't happen in April. If that had happened, it would have become 17.9% actually. We have just worked it out, but it would have worked out to 17.9%.

Varun : So, then that 10 to 15 bps NIM compression that we're guiding for includes whatever benefit we might get from the rate hikes.
P. Balaji : Yes.
Moderator : The last question for today will be from the line of Chintan Shah from ICICI Securities. Please go ahead.
Chintan Shah : So, just to drive on the Tamil Nadu. So, sir, I think the growth rate has been slow relative to the overall growth for us. So, if it is due to attrition, then probably it would be a normal case, and it won't be extended. But it looks like this slowdown has been now extended. So, is there anything structural reason to it given that it is also our oldest state and the biggest state for us?
P. Balaji : Chintan, I think we have explained a lot on Tamil Nadu. See, what has happened is we had problems in the second quarter and the third quarter of last financial year, which we corrected. It was basically the attrition. This has been corrected. Now, with m ore people and also new people joining, the disbursement growth was 9% in the last quarter of the last financial year. Now, this growth has become 15%. While we have around 18 clusters in Tamil Nadu, there are 2 or 3 clusters which are still to be corrected. If this is corrected, we are very confident of pursuing this growth at 20% this year. And that's what we are guiding for Tamil Nadu, and this will happen. Now, the attrition problems have got sorted out. But the new people to get acclimatized with the way we operate, that is taking some time. And obviously, we need to give them that tim

e, right? So, that's what is happe ning.
Chintan Shah : So, you told that there are 2, 3 clusters, which are pending. So, there are some measures to be taken with regard to attrition or is there anything else?
P. Balaji : No, that has been sorted out. Only thing is we need to have more productivity from the people. That's it. Other than that, nothing else.
Moderator : Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments.
M. Anandan : Thank you, Mona, for organizing this conference call. I would like to say my gratitude to all analysts and investor friends who have taken time out to listen to us today. Please feel free to connect with us in case you have any further queries or questions. Thank you very much.
Moderator : On behalf of Dolat Capital, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2024

"Aptus Value Housing Finance India Limited
Q2 FY '2 5 Earnings Conference Call "
November 06, 202 4

Management : Mr. M. Anandan – Executive Chairman
Mr. P. Balaji – Managing Director
Mr. C T Manoharan – ED & CBO
Mr. John Vijayan - CFO
Moderator : MS. Mona Khetan – Dolat Capital

Moderator: Ladies and gentlemen, good day, and welcome to Aptus Value Housing Finance India Limited Q2 FY '25 Earnings Conference Call hosted by Dolat Capital. As a reminder, all participant line will be in listen only mode and there will be an opportunity for you to ask question after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star the n zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mrs. Mona Khetan from Dolat Capital. Thank you, and over to you, ma'am. Please go ahead.
Mona Khetan: Good Evening everyone and welcome to Q2 FY ’25 Earnings Conference Call of Aptus Value Housing Finance to discuss its Q2 and H1 FY '25 performance. We have with us the senior management from Aptus to share their industry and business insights.
I would now like to hand over the call to Mr. Anandan, Executive Chairman, Aptus, for his opening comments. Over to you, sir.
M. Anandan: Thank you, Mona. Ladies and gentlemen, good afternoon to all of you. I'm Anandan, Executive Chairman of the company. I welcome you all to the conference call to discuss the company's performance for the quarter /half year ended September 2024.
I have with me Mr. P. Balaji, MD , Mr. C. T. Manoharan, ED and CBO and Mr. John Vijayan, CFO. The financial results and the investor presentations are already available on the website of the stock exchange as well as our company. I hope everyone had a chance to look at it.
With low mortgage penetration and significant housing shortage across regions, more particularly in Tier 2, Tier 3 and 4 cities, where we operate and with government initiatives, including PMAY supporting the sector, we believe that we are having significant headroom for growth to serve the unserved / underserved customers largely in self -employed segments.
At Aptus, we believe in strong growth without losing focus on the quality of loan book and good financial metrics. Very happy to record that Aptus had a very good first half year FY '25, supported by business growth, stable asset quality and continu ous focus on higher productivity.
Sharp business focus, good distribution network, deep penetration in served markets, customer centricity along with appropriate tech support and diversified income stream have enabled the company to achieve good business results.
Our net worth stands over at Rs. 4,014 crores, resulting in robust capital adequacy. This coupled with good support from institutions like NHB, banks, mutual funds and DFI on the borrowing side, and with strong on -ground demand for both home loan and smart business loans gives us confidence to pursue strong growth , scalability in the coming years with sustained profitability.
I would now hand over the line to Mr. P. Balaji, MD, to discuss the business focus, operating and financial parameters. Thank you.
P. Balaji: Thank you, sir. Good afternoon, friends. As we have been explaining in the earlier call, we will continue to focus on key strategies namely :
• Growing disbursement and loan book, both in housing loans and small business loans, considering the large headroom available in the low and middle -income segments in Tier 3 and 4 cities .
• Expanding operations contiguously in the states of Odisha and Maharashtra and

increasing penetration in existing geographies by opening new branches.

• Strengthening the analytics and digital adoption, about 20% of our business in Q2 FY '25 has come from customer referral app, construction ecosystem app and through social media channels. Our focus shall be to increase the leads through these channels in addition to the physical branch network.
• Continue to focus on productivity, collection efficiencies, opex and cost of funds.
• During the quarter, the new Mobile First lead management software, which was launched in April '24, settled well and is bringing in good improvement in terms of streamlining our processes, service delivery, lesser bounce, improved collection productivity, better regulatory compliance and improving ove rall efficiencies. We are continuously monitoring the functioning of this new system to bring in more improvements.
Major performance hi

ghlights for this quarter, half year was as follows.
• AUM grew by 27% year -on-year to Rs. 9,679 crores.
• Disbursements during the quarter increased by 26% year -on-year to Rs. 935 crores. Sequential quarter -on-quarter growth was at 39%.
• We have 291 branches as on date. During the quarter, we opened 24 branches, and for the half year, we have opened a total of 29 branches. Plan for the year will be to add a total of 40 branches.
• Total live customers were at 145,000 customers, a growth of 27% year -on-year.
• NPA was at 1.25%.
In terms of asset quality,
• Collection efficiencies were at 99.28% and our 30 + DPD marginally improved to 6.24% as on 30th September as compared to 6.31% as on 30th June 2024.
• Net NPA was at 0.94%.
• Provision coverage has been maintained consistently at 1.03% as on 30 Sep 2024 . We are carrying a total provision of around Rs. 100 crores including a management overlay of Rs. 45 crores , and this, when computed as a percentage of NPA, works out to a coverage of 82%.
• NIM was at 13.02%. opex to assets were at 2.65%.
• Profit after tax was at Rs. 354 crores, representing a growth of 22% year -on-year.
• ROA was at 7.77%, and ROE was at 18.3%, which is one of the best in the industry.
In terms of funding,
• During the quarter, we diversified our borrowings further by issuing NCDs worth Rs. 400 crores to mutual funds.
• Of the total borrowing, 59% are from banks, 19% from NHB, 11% from NCDs issued to mutual funds and IFC and the balance in the form of securitization.
• Sufficient on -balance sheet liquidity of Rs.1,239 crores as on date, including an undrawn sanction of Rs. 550 crores from banks.

As you know , we have not done any direct assignment of loans, leading to front -ending of income on account of this.
Now with these remarks, I open the floor for the question -and-answer session.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Renish from ICICI. Please go ahead.
Renish: Congrats on a good set of numbers. Sir, just two questions from my side. One, on the LAP book . Is it possible to share, let's say, what percentage of our LAP book customers might have MFI loans?
P. Balaji: Actually, there is no overlap. We just did a scrub report for all the live customers There is no overlap of MFI customers with the kind of our customers.
Renish: Okay. And secondly, given there is a lot of talk around the growth for NBFC. Do you foresee any risk to our near -term growth targets because of the regulatory pressure?
P. Balaji: I think this will be a question, which will be in the minds of quite a few analysts and the persons who are in the call. I would like to explain the RBI stance, which we have understood. From what we understood, RBI seems to be more uncomfortable on the following things. One is

unsecured loans given , MFIs unsecured loans given by fintech which is in the nature of consumer loans/ personal loans and loans given by companies having an ATS of around Rs.2 to 3 lakhs. Further they are not comfortable with high growth promised by these companies and also the high interest rates, say more than 24% charged by them . Also, they are not comfortable wit h the way the transparency is practiced by some of these companies in terms of communicating to the customers the terms and condition s of the loans that are given.

They are also not comfortable with netting up of loans leading to evergreening of loans, which is being practiced by some of the players in the industry.

As regards Aptus is concerned, We have given a guidance of 30% AUM growth at a lower base. We are also charging interest rates, which are reasonable across products. Our A TS is around Rs. 8 lakhs to Rs. 9 lakhs with an LTV of around 35% to 40%, which means the security val

ue

is around Rs. 30 lakhs or more, and we do not follow any netting of loans and we are transparent in communicating the terms a nd conditions of the loans given both in English and Vernacular.

We have also done an interfirm comparison of various practices and also charges that are being levied and we stand better as compared to our peers in this regard.

Renish: Got it. This is very helpful , sir. And just last question. On the provisioning front, so if I remember correctly last quarter, our provisioning was lower because we have stopped creating management overlay. But then this quarter, there has been a significant jump in the provisioning. So, is this due to the higher write -offs in this quarter?

P. Balaji: See if you look at the provisioning, it has reduced marginally from 1. 05% to 1. 03%. And regarding the write -off, what has happened is, if you look at the provision movement as per the provision coverage, there is a movement of almost Rs. 4.78 crores and the debit in the P&L is almost Rs. 9.51 crores. This is basically because of our conservative accounting policy of technically writing off more than 24 months overdue account s.

But you also need to look at the other income where there is an increase of almost 46%, where the bad debt recovery also has been factored in. If you look at that for this quarter, we have got a recovery of almost Rs. 2.77 crores.

So that's how you need to look at it. And the provision coverage as I told you earlier, we are having almost Rs. 100 crores of provision , out of which Rs. 45 crores is the management overlay. The actual provision required as per the ECL model is Rs. 55 crores.

Moderator: The next question is from the line of Abhishek Agarwal, an individual investor.

Abhishek Agarwal: Yes. Congratulations on great set of numbers. So, what I've noticed that in the few quarters that have gone by , on the borrowing side, the floating percentage of our borrowings is going up. So, could you share your strategy on what number ultimately, we are looking at on the floating versus fixed side?

And the other question that I would like to understand on is that the asset book, the 80% of it is fixed. So, going forward, when we presumably would see a rate cut, are we confident of not losing customers who might want to refinance these loans with banks who would pay on floating interest? So those are my 2 questions.

P. Balaji: First, if you look at our leverage, it is around 1.5x now. And if you look at our capital adequacy ratio, it is around 70%, which means the future growth, which we are projecting for next 5, 6 years is going to come out of borrowings. So, with the result, the leverage, which is at around 1.5 is likely to go up between 4 to 5x, and we are comfortable with that. And that will be the growth path and that will be the way in which the growth in business will be funded. So, it will be totally out of bo rrowing. That is the first thing.

If you look at our interest rate s being charged to customers , we are charging around 15% to 15.5% on the housing loan. On the quasi home loan, we are charging around 17% to 18%. And the non -housing loan, we are charging around 21%, which is comparable with the interest rates charged by the peers . And, in the case of small business loans, it is still less than the market range. So, we don't see any pressure on us to reduce the interest rate or we'll be losing customers because of this.

M. Anandan : Just to add to what Mr. Balaji said, on the funding side of about Rs. 6,000 crores , only about 55% is from bank s. Outside the banking system, about 45% is largely coming from the NHB, securitization and the NCDs that are raised with the fixed tenor and the cost. So, there is no variability in that.

With

in the bank borrowing also, we've always gone for the long -term tenure of 4 to 5 years minimum. But in some cases, there is a variability coming on the interest reset, either through changes in the REPO rate or the MCLR. In fact , in the last 3 to 6 months , we have decided to take new loans linked to the external benchmark like REPO rather than MCLR, which is the internal benchmark of Banks.
So, to that extent, the variable component is somewhat manageable and required purely to support the growth in funding. On the asset side, you are right, 80% is a fixed rate, where in case of interest situation, reduction in interest rates as and when it happ ens, you may tend to get benefit, because of the fixed nature of the loans.
At the same time, going by our past experience, the pre -closure rate, in our case, is much, much lower. It is not more than 2% to 3%. The overall pre -closure rate is around 7%. Of that, about 4% to 5% is either money coming from the customer through their own source. It is not really coming out of a loan transfer.
Moderator: The next question is from the line of Shivam from Abu Dhabi Investment.
Shivam: Sir, can you start giving the private versus PSU bank breakup in our borrowing?
P. Balaji : See, if you look at our total borrowing, bank borrowings are 59%. Of that around 25% will be from PSU bank s or maybe 30% will be from PSU bank and the balance will be from private sector banks. And as I said, NHB is almost 19%, and NCDs around 11%. The balance is in the form of securitization.
Shivam: Sir, can we start giving this number directly in our investor presentation? It will be helpful from the next quarter.
P. Balaji : Sure.
Shivam: And the second question is, sir, bifurcation of the variable rate borrowing between the REPO rate and the MCLR?
P. Balaji : See, of the total borrowings, the borrowing linked to the external benchmarks rate is around 20%, the borrowing linked to MCLR is around 32% and fixed is around 48%.
Shivam: And sir, right now, as the regulators are very hard on high interest rates, so what is the interest we are charging on the small business loans?
P. Balaji : We are charging 21% , which is reasonable according to us.
M. Anandan: Actually, a large part of our portfolio being a home loan company is really the home loan, where we carry an interest rate of around 15% to 15.5%. The second large component is the quasi home loans where we charge about 17.5% and the SME loans, where the interest rate is around 21% .
The RBI regulatory concern is more in terms of the unsecured loans, small loans flowing out of

microfinance, fin -tech companies, and the term that they use is usurious interest rates. So, we don't really come under that category.
Shivam: So, we are not thinking of reducing the interest rate from 21% to something like 20%, right?
M. Anandan: Our rates are comparable with other few companies operating in that particular segment , We don't see this as usurious interest rates.
Shivam: It's been 13 quarters since we are giving the quarter -on-quarter growth. So, congratulation on a good set of numbers, and hope to see the good numbers in the future quarter also. And by the way, sir, 30% growth rate for the next 5 years is comfortable, right?
P. Balaji : Yes, at least for the next 3 years, 30% growth will be there .
Moderator: The next question is from the line of Yash from Citigroup.
Yash : Couple of questions. First is on the ECL provisioning, where ECL provision to total AUM in this quarter has slightly gone down to 1.03% whereas we have been guiding of comfortable range of 1.05% to 1.1%. So how do we see it moving? And I mean would this inch up in the 2H of this year?
P. Balaji : The provisioning depends on the quality of book and quality of collection . So, if the collections are happening very much on time a

nd if the collection efficiencies are good, I don't think we should increase the provision. So, we'll be maintaining around 1% to 1.03% as the provision coverage ratio. So, it will be ranging between 1% to 1.03% and this will be continued , because as I said earlier, if you look at the total provision which we are carrying, almost Rs. 45 crores as the management overla y. So, I don't think we will be increasing the overlay from now on.
Yash : And sir, any incremental colour on the 30 plus DPD book, which is still at the elevated level in October and first week of November?
P. Balaji : The collection efficiencies are improving. The collections will definitely start improving during the third and the fourth quarter and the 30 plus DPD will also come down . This will be the focus from our point of view as well. So, it'll eventually come down.

Yash : And sir, last question on the borrowings. Even in this quarter, we saw a good growth in borrowing. So, were they more front -ended for the 1H? Or we'll see the similar traction in 2H as well?

P. Balaji : See, normally we maintain 2 or 3 months disbursements on balance sheet liquidity, and another 1 or 2 months disbursements requirement as the undrawn sanction. Also, we received this proposal from ICICI Mutual Fund for Rs. 300 crores, which was at a very good rate. So, we thought we should take that opportunity and draw that fund. So that is why our on -balance sheet liquidity has gone up slightly.

M. Anandan : Actually, our total liquidity is about Rs. 1,200 crores. Of that, about Rs. 689 crores are the unencumbered cash and cash equivalents . Apart from this we have the unavailed sanction s of Rs. 550 crores.

These funds are not drawn yet. But, in fact, this funds along with the collections should almost cover our business requirements till the months of February/March.

Yash : And sir, lastly, on the attrition rate, how are we moving? Have the trends improved, and any new initiatives have taken on that front?

P. Balaji : See, if you look at the attrition rate, I would like to divide this between across level s. Of course, at the top management level, the attrition is nil. At the middle management level, considering the area manager, AVPs and cluster managers, it is between 5% to 10%. And of course, at the branch manager level, it is between 15% to 20%. And at the sales officer level, it is between 25% to 30%, which is less than the industry, but still, it is a challenge to be handled .

Moderator: The next question is from the line of Nischint from Kotak Institutional Equities.

Nischint: The LAP growth, see, if I look at your overall AUM growth, which is at around 27%, growth in LAP is around 12%, so which is significantly lower than the company level average. Is there any specific reason why growth is lower over here? Is there any asset quality stress, any execution stress etc.

P. Balaji: No, it is nothing related to the asset quality. If you look at now the collection efficiency or if you look at the 30 plus DPD, it is all in line across products. It may be 0.2% more or less here and there , but it is in line. So, there is no worry on the asset quality because our credit norms, whether it is a housing loan or a LAP, it is the same. Also, the LTV norms are same, the instalment to income ratio is same, the way in which we do the credit appraisal is the same. So, there is no differe nce there.

So, it's basically because we have to do more housing loans because of which we need to take care of the compliance factor, it is because of that, th is has happened. However, if you look at the total composition of the book, in terms of the consolidated basis, it is around 61% on the housing loan and 15% on the quasi -home loan and 20% on the small business loans. So that will be continued. So that is the way in which we need to l

ook at the mix rather than quarter -on-
quarter disbursements moving slightly he re and there.

Nischint: So basically, it is just because you wanted to comply with the 60 -40 ratio and that is the simple reason why you lagged. And the other thing is in the state of Tamil Nadu, I know we've sort of ramped up in the last 2 quarters. But when do you think we go back to Tamil Nadu to company level average growth?

P. Balaji: First, let us understand this fact, in Tamil Nadu first of all, there is no market -related issues. Market potential is good. The ability of us to grow in the market is very well there. But as you know, we have been facing this attrition issue from last September and we have been slowly

making changes and then bringing about the improvement in the way the Tamil Nadu is performing.

If you look at the half yearly growth, around 8% to 9% is the growth in disbursement. The AUM growth for half year, I mean September '24 as compared to September '23 is also 8%. We have made some structural changes in the team, and that is paying off well. And in the third quarter, you can see much more improvement in the Tamil Nadu performance.

Nischint: So, is it something to do with internal team? Or is it something related to the market?

P. Balaji: It's basically our internal issue, which is getting sorted out. It is not relating to any market -related thing.

Nischint: And just since there are a lot of questions related to the regulator that are coming up in this call, is there anything that the regulator has sort of in your discussions commented on growth or

margins or asset quality? I mean, if you could clarify that co uld just help us.
P. Balaji: Let me clarify very clearly. NHB inspection has been completed for the year ended March '23. They have given their comments, and we have already submitted our response s. There is nothing alarming there. And they have suggested some process improvement which we have committed that we will do, and we will do that as well.
If you look at the RBI for the NBFC, RBI inspection took place 5 years back, and there were no major observations at that point in time. And of course, they have just completed the inspection now for the year ended March'24 . They are yet to come back with their comments.
As of now, there are no inputs from the RBI on either the growth or the interest rates or the yield which we are charging. So, this is the status as of now.
M. Anandan: Just to add to what Balaji said. So basically, our total portfolio is about Rs. 9,900 crores, out of which Rs. 7,300 crores, which is of the parent company is really secured home loan or quasi home loan which is also secured loan. The interest rate that we charge is like any other housing company. The housing company's interest rates has never been seen as usurious by the regulator at any point in time .
If you read the concern raised by RBI , it is largely on the unsecured loan given to small customers by certain entities like microfinance companies or few fin -tech companies. We don't have any unsecured loan portfolio, and we don't give any small loans ranging from Rs. 2 lakhs to Rs. 3 lakhs.
Our interest rates are well communicated to the customer s in English and in vernacular language. All the terms are fully disclosed. Also, we have made a comparison of our terms and conditions of the loan versus eight other companies and found that the service charges and the penal/pre - closure charges are quite comparable.

That's why we don't really see any concern of, and we don't do any netting off loans. And all other regulatory things are fully and totally compliant, and it is transparent to our customers and to the regulator and to us. So, we don't really see any conce

rn on that for us.
Moderator: The next question is from the line of Nidhesh Jain from Investec.
Nidhesh Jain: Can you share the disbursement number for Tamil Nadu for the quarter Q1 and Q2?
M. Anandan: So as a company, our loan book has grown 27%, our disbursement has grown 16%. And we have given a guidance of 30% which we will do. And given the 16% disbursement growth, we'll move into 20% by third quarter, and to 25% in the fourth quarter, and our loan book will grow 30%. In Tamil Nadu, we had certain internal issues which we have corrected now and going forward you can expect better performance in Tamil Nadu.
Nidhesh Jain: Okay. And secondly, in terms of sourcing there is a significant -- I think the sharp increase in the share of construction ecosystem. And over a period of time, customer referral share has also gone up. So, what we have done there to show strong growth in these two channels?
P. Balaji : So basically, we have formed a team at the head office. See what happens is we have got this customer app where the existing customers can refer their leads. Similarly, we have got the construction ecosystem partners who are basically construction shop owners like paint shop owners or cement shop owners. So, when somebody comes and buy something from them, they ask them whether they need a housing loan and then they refer the same to us.
And once the leads come in, what we do at the head office is we go through the lead, we talk to the customer, we do a bureau check and make this cold lead into a warm lead and then take it forward. So that is what is being done on a focused manner. If you look at it, 18% of our disbursement last quarter came through these channels, now it has become 20%. And we find that this channel is good because the conversion ratios are also high. And the average ticket size is also high at around Rs. 9 lakhs to Rs. 9.5 lakhs. So, we would like to focus on this channel and develop this channel, and that's what we are doing.
Nidhesh Jain: And then lastly, how is the experience in the state of Odisha and Maharashtra, I know they're still the new states. But in terms of disbursement ramp -up, can you share some data out there?
P. Balaji: Sure. It is very encouraging. If our experience was not good, we wouldn't have opened more branches there. So, our experience in Odisha and Maharashtra has been good. And we have formed a team now. It is headed by cluster managers who are experience d enough and who can take this to the next level.
Nidhesh Jain: Okay sir. That's it from my side. Thank you.
Moderator: Thank you. Th e next question is from the line of Jigar from B&K Securities. Please go ahead.

Jigar: Congratulations, sir, on a good set of numbers. Two questions. The yields that you mentioned on HL, quasi -HL and SBL of 15%, 17% and then 21% to 22%. These are disbursement yields , or these are bookings, and do they differ materially, just trying to understand whether we have reduced rates?
P. Balaji : Basically, these are disbursement rates. We charge 15% to 15.5% on the housing loan. It is 17% to 17.5% or 18% on the quasi -home loans and 21% on the small business loans.
Jigar: Right. And we have not reduced rates recently on SBL per se, right?
P. Balaji : We have not reduced the rates .
M. Anandan: As far as the increase in the R epo rate of about 2.5%, our increase in interest rate is much, much less than that, something around 0.5% to 0.75% overall. So, we have consciously gone for a lower increase in the interest rates in that way.
P. Balaji: That too, we did it sometime in September '23 or October '23, after that we have not done anything.

Jigar : If system wide rate cuts happen, spreads are likely to go up and do we intend to pass it on to the customers or we will maintain the same.

M Anandan : We ha

ve largely absorbed the increase in interest rates in the last one year. We may or may not pass it on.
P. Balaji : We will decide at that point in time.
Jigar: Okay.And sir, any clauses you have on this fixed rate book that this will remain fixed throughout the tenure of the loan, or does it get repriced, say 1 year, 2 years, is there a review clause in the agreement?
M. Anandan: It is a fixed rate contract, while the loa n agreement says the company can raise the interest rates to recover part of the increase in interest rates in exceptional situations. So, in case of exceptional situation, the company does have the right to go for an appropriate increase to recover the cost.
Jigar: Sure sir. Thank you so much for answering my questions and best of luck.
Moderator: Thank you. Th e next question is from the line of Rajiv Mehta from YES Securities. Please go ahead.
Rajiv Mehta: Congrats on strong performance. So many of my questions are already answered, only a few left. Sir, firstly, on the employee cost, it was flat on a Q -on-Q basis despite a very sharp jump in disbursements. So, can you share the employee count change on Q -on-Q basis? And how are the incentives structured for employees?
P. Balaji: Basically, incentives are being paid based on the performance. And it will enhance productivity. So, we insist we are a productivity -driven organization. So, anybody who performs well will earn good amount of incentives and fixed salary will be 60% to 65% and 35% will be incentives.

M. Anandan: Actually, just to add on that as far as the numbers are concerned, we have closed September with about 3,000. And in March, it was around 2,700 to 2,800. So, we had increased by about 200. And in this time, we have also added about 32 branches. So, this increase also scale largely and mainly in the branches and at the skilled level functi ons like sales and collections.
As far as incentive is concerned, we do recognize the performance, both in terms of quantity and quality and quality in terms of the proposal generated, the track record of yearly default, track record of instalment payments and the quality of documents that have been completed.
Actually, it’s just not the di sbursement number alone. It does take into consideration other qualitative aspects as well. Even in the collection also it is not that receipt a lone, there is a weightage given for the EMIs. We recognize the quantum of EMI, and we recognize the number of receipts. And more importantly we also recognize the EMI for the current month of this year in a collection of old EMI if any.
So, the incentive structure , it is largely for our sales and collection, to recognize these aspects of productivity and quality.
Rajiv Mehta: Sir, on this opex to asset ratio, I mean, we are at 2.65% and we are talking about being the lowest cost-to-asset and cost -to-income ratios in the sector. So, what is the juice left? And what will be the key drivers here? What can drive it further down and to up to what level do you see it going?
P. Balaji: At Aptus, each and every expense is just monitored very closely. We negotiate better and also monitor the productivity. That's what the secret is. And I don't think we can improve further on

this.
M. Anandan: We follow the frugal culture, which does not mean that we pay the lowest salaries. Our salarie s are possibly one of the best in the industry . Then we have our investment in IT and in our branches. Even this year we are planning to balance it. We will be adding about 15% of our branches. So, despite the se investment s, we have also invested in the new software that has been mentioned earlier.
Rajiv Mehta: Ju

st checking and clarifying these 291 branches that we report. Is there bifurcation, are there separate branches for the NBFC and the HFC and how does the sourcing happen across branches for all products? Can you just throw some light i n that?
P. Balaji: There are no separate branches for NBFC. Since NBFC is the wholly -owned subsidiary, the cost that's shared between the company is based on the assets under management. And as far as the sourcing is concerned, people are free to log in either the housing loan or a n on-housing loan. Of course, there will be some push from the head office side on how much small business loans are being done at each branch and of course on the housing loans.

Rajiv Mehta: Okay I understood sir. Thank you so much and best of luck.
Moderator: Thank you. Th e next question is from the line of Kushan from Morgan Stanley. Please go ahead.
Kushan : I had two questions. One was around the loan growth. So, we have guided for 30% loan growth. In the near term, if I look at that F Y '25, that broadly looks at an ask rate of about Rs. 2,400 crores disbursement in the second half of F Y '25. Is that something that we are targeting?
My second question was around the loan spreads. So, over the last two , three quarters, we've broadly maintained a loan spread of about 8.7%. Is that something that we would like to maintain going forward as well? And in that context, I mean, how do you think cost of funds will play out from here on? And also, the higher liquidity on the balance sheet that you alluded to, over what timeframe would that come back to a more normalized level? Those are the questions ?
P. Balaji : Currently, we have disbursed around Rs. 1,600 crores in this last 6 months and another Rs.2,000 crores to Rs. 2,100 crores is a possibility. So, which means it will be Rs. 3 ,700 crores. But we'll definitely try to touch Rs. 4,000 crores this year. So that is the guidance which we want to give.
P. Balaji : On your second question , spread is a resultant of yields less the cost of borrowing. Our spreads are likely to be maintained at around 17.3% to 17.5% and cost of funds current ly it is at 8.5% or 8.7%. Of course, if the rate cuts happen then this interest costs will come down, at least on the variable rate borrowing. So, to that extent, there can be a NIM expansion, but I'm not factoring on that as of now because the rate cut has to happen. So, with the result, the spread is likely to be maintaine d at 8.7%.
Kushan: So, liquidity has increased Q -on-Q this quarter. Just wanted to understand in what timeframe will that normalize to earlier levels?
P. Balaji : It is basically 3 months disbursement which we would like to maintain as the liquidity, whether on balance sheet or off balance sheet, it will be determined based on the ma rket, based on the availability of funds and also the market dynamics.
So, for example, last quarter we had to draw that money because the rate was good, and the terms were good for the funds which we got from mutual funds. So, we had to draw the money and keep it on the balance sheet. But normal plan is to have 3 months gross disbursement as the liquidity available.
Kushan: Understood sir. That's all from my side.
Moderator: Thank you. A s that was the last question, I would now like to hand the conference over to management for closing comment. Please go ahead, sir.

M. Anandan: Thank you for organizing this conference call. I would like to pay my sincere gratitude to all analyst investor friends who have taken time to listen to us today. Please feel free to contact Mr. Balaji or any of us in case if you have any further queries. Thank you.
P. Balaji: Thank you all.
Moderator: On behalf of Dolat Capital, that conclu

des this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2025

"Aptus Value Housing Finance India Limited
Q3 FY '2 5 Earnings Conference Call "
February 03, 202 5

Management : Mr. M. Anandan – Executive Chairman
Mr. P. Balaji – Managing Director
Mr. C T Manoharan – ED & CBO
Mr. John Vijayan - CFO

Moderator : Ms. Mona Khetan – Dolat Capital

Moderator : Ladies and gentlemen, good day, and welcome to the Q3 FY '25 Earnings Conference Call of Aptus Value Housing Finance India Limited, hosted by Dolat Capital Markets Private Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance

during the conference call, please signal an operator by pressing star then zero on your touch - tone phone . Please note that this conference is being recorded.
I now hand the conference over to Ms. Mona Khetan from Dolat Capital Markets. Thank you, and over to you, ma'am.
Mona Khetan: Thank you, Alri k. Good morning, everyone, and welcome to the earnings call of Aptus Value Housing Finance to discuss its Q3 and 9 months FY '25 performance. We have with us the senior management from Aptus to share industry and business updates. I would now like to hand o ver to Mr. Anandan for his opening comments, after which we can take up the Q&A. Thank you, and over to you, sir.
M Anandan: Thank you, Mona. Ladies and gentlemen, good morning to all of you. I'm Anandan, Executive Chairman of the company. I welcome you all to this call to discuss the company performance for the quarter 9 months ended December '24. I have with me Mr. P Balaji, MD , Mr. C.T. Manoharan, ED and CBO and Mr. John Vijayan, CFO.
At the outset, I am delighted to share that we have crossed the coveted milestone of Rs.10000 crores loan book and 1,50,000 plus customers. As we speak, our distribution network has reached 300 .
At Aptus, we believe in strong growth without losing focus on the quality of loan book and good financial metrics. Very happy to record that Aptus had a very good 9 months of FY 25 supported by business growth, stable asset quality and continuous focus on higher productivity. Strong business model, good distribution network, deep penetration in served markets, customer centricity along with appropriate tech support and diversified product/income stream have enabled the company to achieve good business resu lts.
Our net worth stands at over Rs. 4108 crores indicating robust capital adequacy. This coupled with good support from Banks, NHB, Mutual Funds & DFI on the borrowings side and with strong on ground demand for both Home Loans and Small Business Loans gives us confidence to pursue strong growth, scalability in the coming years with sustained profitability.
Further, to support the vision of reaching loan book of Rs.25000 crore AUM by FY 2028, we have been continuously strengthening the organization by way of investing in new branches, relevant technology and strengthening the company with adequate manpower ac ross all functions more particularly in middle management.
I would now hand over the line to P. Balaji – Managing Director to discuss business focus, operating and financial parameters
P Balaji: Thank you, sir. Good morning, friends. As we have been explaining in the earlier calls, we will continue to focus on key strategies, namely ;

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As we have been explaining in the earlier calls we will continue to focus on key strategies namely:

• Growing disbursements and loan book both in Housing Loan and Small Business Loans considering the large head room available in the low and middle income segment in tier 3 & 4 cities
• Expanding operations contiguously in the States of Odisha and Maharashtra and Increasing penetration in existing geographies by opening new branches.
• Strengthening analytics and digital adoption, about 21% of our business in Q3 FY 25 has come from customer referral app, construction eco system app and social media channel. Our focus shall be to increase the leads through these channels, in addition to the physical branch network.
• Continue to focus on productivity, collection efficiencies, opex and cost of funds.
• The new Mobile First lead management software has settled well and is bringing in good improvements in terms of streamlining our processes, service delivery, lesser bounce, improved collection productivity, better regulatory compliance and improving overal

l efficiency. We are continuously monitoring the functioning of this new system to bring in more improvements .

Major performance highlights are as follows:

• AUM grew by 27% YoY to Rs.10226 crores.
• Disbursements during the quarter increased by 21% YoY to Rs.930 crores;
• We have 298 branches as on date. Of this 10 branches are in the states of Maharashtra and Odisha and the balance 288 branches are in TN, AP, TG and Karnataka. Total branches added for the 9months at 36.
• Total live customers were at 152,000 customers (27% growth YoY)
• NPA was at 1.28%
• Asset quality
o Collection efficiencies were at 99.32% and our 30 + DPD marginally improved to 6.21% as on 31 Dec 2024 as compared to 6.24% as on 30 Sep 2024.
o NNPA - 0.96%
o PCR maintained consistently at 1.03% as on 31 Dec 2024 We are carrying a total provision of around Rs.105 crores (including a management over lay of Rs.45 crores) and this when computed as a % of NPA works out to a coverage of 80%

• NIM was at 12.94%
• Opex to assets were at 2.61% despite investments in new branches, technology and HR.
• PAT was at Rs.544 crores (22% growth y -o-y)
• ROA was at 7.70% and ROE was at 18.54%, which is one of the best in the industry.

Funding:

• During the quarter we diversified our borrowings further by issuing NCDs aggregating Rs.325 crores to Mutual Funds.
• Of the total borrowing - 54% are from banks, 18% from NHB, 15% from NCDs issued to IFC, MFs and the balance in the form of securitization.
• Sufficient balance sheet liquidity of Rs.1008 crores including undrawn sanctions of Rs.570 crores from banks.

As you know, we have not done any Direct Assignment of loans and front ending of income on account of this. Just before I conclude, happy to share that we have received corporate agency license from IRDA during the quarter.

Now with these remarks, I'll open the floor for the question -and-answer session. Thank you.

Moderator: Thank you sir. The first question is from the line of Rajiv Mehta from YES Securities. Please go ahead.

Rajiv Mehta: Congrats on a good stable quarter. My first question is an observation related to employee cost

so -- which has been stable in the last 3, 4 quarters despite sizable AUM increase and addition of 36 branches. So why is this? And can you also share the emplo yee count now versus 1 year back? And some color on attrition trends? And typically, what is the variable component in a monthly salary of a field officer?
P Balaji: First of all, if you look at the salary cost, that has been stable quarter -on-quarter because if you look at our disbursements, it was Rs. 935 crores last quarter and it is Rs. 930 crores.
So, because of that, the volume -related incentives did not increase. So that is one reason. And of course, the number of employees in the field, I think that's increased by 100 and in the collections, it has increased by 38 compared to the last quarter. And all these additions have happened during the tag end of the quarter and maybe to that extend the cost catching up will come in the fourth quarter. So this is broadly the reason why the salary costs were flat. And what is your next question, Rajiv?
Moderator: Rajiv, please go ahead. As there is no response, we will move to the next participant. The next participant is Palak from YES Securities.

Palak: So my question was more towards the borrowing front. So wanted to know that out of the total borrowings, how much of our borrowings is linked to 1-month MCLR, 3 -month MCLR and EBLR?
P Balaji: See, if you look at the total borrowings, fixed is around 47% and 53% is variable. And of the 53% variable, 30% is linked to MCLR and 23% is linked to market related rates. So if you look at how much is moving to 1 year

MCLR of this 30%, almost 15% to 16% is related to 1 -year MCLR, 3 -month is almost 6% an d 6 months is the balance. So that is the breakup on the borrowings.
Palak: Okay. The rest 30% is linked to MCLR and 23% is linked to?
P Balaji: 23% is link ed to the market rates, Repo rate or Treasury Bill i.e. the external benchmark rates.
Moderator: The next question is from the line of Amit Khetan from Laburnum Capital. Amit, please go ahead with your question and unmute yourself in case if you have muted yourself.
Amit Khetan: Yes. A couple of questions related to your branch network. So if I look at our existing states, right, the top 3 states of Tamil Nadu, Andhra and Telangana. We have some 250 -odd branches right now. How do you see this -- for these 3 states, what's the pote ntial over the next 3 to 5 years? And specifically for TN, has the market sort of saturated because we haven't really grown our branch network significantly over the last 3 to 4 years?
P Balaji: First I'll answer the Tamil Nadu branch network. Currently, the Tamil Nadu branch network is around 88 and if you look at it, every 50, 60 kilometres in Tamil Nadu, we have a branch. And we are proposing to add 6 or 7 more branches in this quarter and also in the next year. So to that extent, the growth in branch network might be limited in Tamil Nadu, but actually, there is no problem in the market.
The market has good potential to grow. So, with these branches, we are very confident of delivering the growth which we are promising. So that is the first thing in Tamil Nadu. And if you look at our strategy of growth, we will be opening around 35 to 40 branches every year. And in the next year, the branch network will be growing mostly in the Odisha and Maharashtra and Telangana and Karnataka.
Because if you look at Andhra Pradesh , almost 130 branches are there. And I think every 50 -60 kilometres we are having a branch there. So again, the branch network might not increase much, but the loan book growth will come from the market that is available. So, this is broadly the plan on how the growth will be coming in the next 3, 4 years.
Amit Khetan: Understood. Understood. And second question again would be related to the newer states, right, which is Maharashtra, Odisha and Karnataka. What's been your experience been in terms of competition, opportunity, size and the customer behavior based on the growth that we have seen so far?

P Balaji: If you look at it, I think the branches opened in Maharashtra and Odisha have settled well. And we have clocked loan book as of now of Rs. 27 crores, which is a very good number because considering the time we have taken to open the branch es and then expand, this is a very fast growth there.
And we are able to get good customers, and the repayment track is also behaving very well. So, we are very confident of growing more branches in these states and also the loan book growth

there. And as regards to competition, in Odisha, there are not many players. Of course, in Maharashtra, there are players, but we are opening branches close to Telangana where there are not many players, but still, we need to see when we are opening branches in other places, we need to look at competition at that point in time.
Amit Khetan: Got it. And just a follow -up on that. Karnataka, 3 years back was about at a similar scale as Telangana, why has the scale up there been relatively slow relative to Andhra and Telangana?
P Balaji: No, if you look at Karnataka, the loan book growth is around 27%, which is good. So, it is basically that the growth in other states is slightly higher. That is where the composition of the AUM is still maintained at around 8%. But if you look at Karnataka, we are having good promise. We have opened more branches in this year. Next year also will be opening more bran

ches. And there is goo d growth in the loan book and also the disbursement in that place.
Moderator: The next question is from the line of Yash from Citigroup.
Yash: Sir, first question was on the calculated write -offs may look slightly elevated during the quarter. So, any change in the policy? I believe our policy is more of write -offs in 24 months DPD?
P Balaji: You are talking about the credit cost, right? There is a slight increase there. See, I'll answer it in this way. If you look at the ECL provision slide, in this quarter, there is an increase in provision of almost Rs. 5.75 crores. But the debit in the P&L is around Rs. 12.5 crores, which is around Rs.13 crores. That is what it is mentioned. So, the difference is almost Rs. 6 crores that have got debited in the P&L.
That is basically because of technical write -off, which means we have this accounting policy of more than 24 -month NPA, where we technically write it off in the book of accounts, but the recovery efforts will continue because the customer will be there, th e property is also there. So, this percentage of debit needs to be studied with the bad debts recovery that is happening on the income side, which is around Rs. 5 crores.
So, if you look at the net credit cost as compared to the previous quarter, it was 0.38%, and now it has reduced to 0.32% so it is basically an improvement in the bad debts recovery as well. So that is the thing. And we have not seen any problems in the collections or in the bad debts recovery.
Yash: Okay. Okay. Got it, sir. That's very helpful. Sir, second is any expansion in our workforce. So, we seem to have added more on the collection side and the branch operations side or the overall

operations side. And so -- is it in line with our focus areas or -- because the number slightly looks higher compared to our branch additions?
P Balaji: No, I'll tell you why this is getting added. See, one thing is we are guiding the market with 25% to 30% loan book growth in the next 2, 3 years. So, what happened is we need to prepare the organization for the next level. So, I've already started preparing the organization by employing more sales people and also on the collections so that even if the bounce rate are the same, the number of collection has to happen because of the growth. So, we need those collection officers in place.
So, we have already appointed them so that we can take care of the next year as well. So that is the reason why the numbers have gone up. And if you look at it, the productivity for sales officer is higher if you look at any other company. For a Rs. 10,226 crores loan book, the employee strength is 3,192.
Yash: Got it. So, sir, even our disbursement growth in the range of 25 to 30 should hold in the medium term?
P Balaji: Yes.
Moderator: The next question is from the line of Rajiv Mehta from Yes Securities.
Rajiv Mehta: Okay Sir, just coming back to asset quality. And when you look at the collection efficiencies, they are still running 30, 40 basis points below normal level that we used to have. So, any particular issues for this slightly lower collection efficiency? Is it pertaining to the particular locations if you would want to pinpoint where the collection efficiency is slightly lower than optimal levels?
And a follow -up is whether , generally in Q4, we are able to pull back 30 plus and even the NPAs by a significant extent. So, can one expect that collection efficiencies and recoveries will improve and hence, that usual pullback will also play out in this Q4?
P Balaji: So first of all, let me explain about the collection efficiency. If you look at the September quarter and this quarter collection efficiency, it has inched up a bit. I think it was 99.25% last quarter, and it has become 99.35% now. That actually resulted in Stage 2 ass

ets slightly improving. So
that is one thing which has helped us. If you look at the quarter, it has slightly improved as

compared to the previous quarter. But of course, we should also bear this in mind, this quarter was slightly se asonal in nature. In November, Tamil Nadu was affected by floods in some parts. And of course, there were spate of holidays in October.
Basically, both big festivals came in the same month. Usually, it comes in different months. So because of that, some impact was there, but I'm not seeing on -ground problem in terms of collections. So definitely, like what you told, in the fourth quarter, there will be good improvement both in the collection efficiency and also in the Stage 2 assets and of course, in the NPA.

Rajiv Mehta: Got it. Got it, sir. And on this Tamil Nadu, so now I think after 7, 8 quarters, you've added branches in Tamil Nadu this time, in this quarter. So then can one presume then with the issues related to team stability and we had some attrition issues there, are they all sorted out? And hence, you are confident of adding branches now? And can one also expect acceleration in growth in the state, sir?
P Balaji: See, actually, whatever corrective actions we have taken have started to bear fruits. And that is giving us confidence to open more branches. So that is why we opened 3 or 4 branches in the last quarter. And this quarter, we'll be opening 2 branches. And n ext year, we are opening around 6 branches.
So that is giving us a good confidence. And we will be back to the growth path in Tamil Nadu. As we have been saying, there is no problem in the market. It is basically our internal issue that has got sorted out, and our AUM has grown by 11% as compared to the 9 months of the previous year. So, we can see at least 15% growth in this quarter itself as compared to the previous year.
Rajiv Mehta: And just one last question, sir, on the write -off. So, I know that we have a certain write -off policy. And -- but the write -off quantum has gone up. So there was no deviation from policy, right? We have not taken any accelerated technical write -offs, right.
P Balaji: It is basically some of the assets reaching this 24 months NPA. And that is why it has gone up, but we need to look at it from the recovery part. So that is how it is.
Rajiv Mehta: But the recovery from write -offs are going well -- recoveries from written -off pool are going well?
P Balaji: Yes. If you look at the P&L account, bad debt recovered for the quarter is Rs. 5 crores as compared to Rs. 1 crore last quarter.
Rajiv Mehta: Okay, okay.
P Balaji: That's there in the presentation. It might not be there in the financials because it gets clubbed with other income. We ha ve clearly told in the presentation as bad debt recovered; we have brought in a separate line there.
Rajiv Mehta: And can you quantify the written -off pool? The total written -off pool?
P Balaji: Written -off pool is around Rs. 20 crores as of now. That's also technical write -off.
Moderator: The next question is from the line of Mona Khetan from Dolat Capital.
Mona Khetan: So, a couple of questions from my side. Firstly, on the opex bit. So if you look at for 9 months, the opex ratio cost to assets has come down to almost 10 bps versus last year. So with productivity coming in, do we expect cost -to-income settling at lower levels? Or this could be just a temporary blip?

P Balaji: No. Our cost to assets is already at the lowest as compared to the other companies. So, we will be maintaining at these levels. And I think we have been guiding around 2.7%, and that will be the ratio that will be maintained. So, this quarter, because disbursements were flat, the salary cost didn't catch up. So, there can

be increase in the salary cost in the next quarter. So, to that extent, there will be an increase, but still ours will be the best opex to asset ratio as compared to others.
Mona Khetan: Got it. And I understand some of the recovery from write -offs are going to other income. And therefore, the reported credit cost of provisions are a tad higher. So where is our credit cost likely to settle at from a guidance perspective going forward...
P Balaji: From the guidance perspective, we have been guiding 0.35% to 0.4% as credit cost, that will continue.
Mona Khetan: Okay. So from a full year perspective, while this quarter, we have a slightly higher credit cost, it would still be around 40 bps kind of number.
P Balaji: Yes.

Mona Khetan: Got it. And where is our 1 plus DPD for this quarter and previous quarter, if you could share?
P Balaji: Just slightly improved. Earlier, it was at around 8%. Now it has become 7.9% .
Mona Khetan: Got it. And just finally, on the distribution of insurance products, how much could it add to our other income on a monthly or quarterly basis as we move forward?
P Balaji: See, we have just received the corporate agency license now. We are still in talks with two or three insurance companies. So , we will communicate this once this gets finalized.
Moderator: The next question is from the line of Niharika a from Anand Rathi.
Niharikaa: I have just two primary questions. What proportion of your book is linked to the PMAY Yojana if you could help us with that? And the second question would be what kind of behavior are you seeing in the sub Rs.10 lakh category of the book?
P Balaji: First of all, on PMAY 2.0, this needs to stabilize a bit because the software from the government is still not ready. We are in talks with NHB and then getting the software from the government stabilized and then only this can work fast. So, we are still assessing this. And then maybe next quarter, we'll be able to give a clear picture on how PMAY works for us.
And what was the second question , on the loan category of Rs.10 lakhs?
Niharikaa: Just what is the kind of behavior that you're seeing in that part of the portfolio in terms of collections? How has the asset quality been there?

P Balaji: If you look at our average ticket size, it is between Rs. R8.5 lakh to Rs. 9 lakhs across products. So, everything is less than Rs.10 lakhs, and we are seeing good behaviour in this category. If you look at our collection efficiencies, it is around 99.35% and our bounce ratios have also reduced. And there are no collection issues as we have been telling. And it has been behaving well. The portfolio has been behaving well.
Niharikaa: Okay. And sir, as a follow -up question, what is the kind of growth rate that we're expecting for FY '26 in terms of the overall book?
P Balaji: See, we have been guiding disbursement growth of around 25% to 27% and loan book growth of 30%, and we are very confident of maintaining that.
Moderator: The next question is from the line of Kushan Parikh from Morgan Stanley.
Kushan Parikh: My question is largely around the insurance license that we have gotten. Essentially, we'll be looking for both credit life as well as health insurance. And also around that, if you could just provide some statistics in terms of how much credit life penetr ation do we have amongst our customers and what is the potential there? And also from an overall insurance penetration amongst our customers. I mean just trying to understand the potential of this to accrue to the company.
P Balaji: See, we have received the corporate agency license now. But before that also, we had a tie -up with an insurance company for the credit life. And the coverage is around 75% to 80% because we are not making it compulsory for the customers. We have given the option to the custome

rs
to take the credit life cover. But we explain the benefits of the credit life cover because if something happens, the loan amount gets covered.
So based on that, the customer opts for this insurance and the conversion is around 80% there.
And with the corporate agency coming in, we'll be giving more options to the customer on the credit life and also on the property insurance.
Kushan Parikh: Understood and will we be doing health insurance as well from a distribution perspective?
P Balaji: We don’t intend to do any other product other than these two.
Moderator: The next question is from the line of Rajnikant Shah, an individual Investor.
Rajnikant Shah: I just wanted to ask a little medium -term question from a 3 -year perspective, say, financial year '28. How much confident we are to achieve 7% plus ROA while we achieve Rs.25,000 crores AUM as guided in financial year '28. And if we are confident, what range of ROE can we expect?
P Balaji: No, if you look at it, see, if I'm going to reach a Rs. 25,000 crores loan book, obviously, the ROA cannot be at 7% because the leverage is going to come in because we have a capital adequacy ratio and a low leverage. With the result, we will not come into the market for any

equity raise. So, the borrowings will be the sourcing thing for the purpose of growth that we are contemplating up to FY 2028.
So, what does that mean? The 7.7% ROE may fall down to 6% or 6.5% at that point in time. But the 18.54% ROE is likely to go beyond 22% at that point in time. So, this is the broad path with which we'll be growing. And I think we'll be going this way.

Moderator: The next question is from the line of Nidhesh Jain from Investec.
Nidhesh Jain: Two questions. First is on this quarter, we have seen a slightly better growth in the SBL segment. SBL has grown faster than our overall AUM growth. So do you expect this trend to continue? Or have you made any changes in the SBL business?
P Balaji: No. I would like to answer it from the product mix point of view. If you look at the December '24 product mix, HL is 61% and quasi home loan is 14% and small business loan is around 21%. This was 15% quasi -home loan in September and 20% in the small business loan.
So, there is not much difference in the mix. So, this mix will be continued. If you look at the housing loan composition, we are moving towards more housing loans. Earlier, it was 70%. That has become 72% now. So, this broadly will be the mix that will be maintained. So maybe in one quarter, small business loan might be high, but in second quarter, quasi will be high. But broadly, this mix of 61%, 14% and 21% will be maintained.
Nidhesh Jain: Second question is on the insurance side, sir. So as of now, what sort of commission that we were getting on these -- on the insurance policy that we are selling?
P Balaji: So, we'll talk about it later.
Nidhesh Jain: Okay. And last is on the AUM per branch. So, you have shared the AUM per branch for 3 -year plus vintage branches. Can you share the same number for 5 -year plus vintage branches? I want to understand as the branch vintage includes.
P Balaji: Yes f ive-year should be around Rs. 65 crores to Rs. 70 crores .
Moderator: Thank you. The next question is from the line of Rajiv Mehta from YES Securities.
Rajiv Mehta: I just need what is the incremental rate for home loans blended for Q3, what was it? And how do you see the incremental trend in funding cost going into 4Q and maybe Q1 of next year? And whether can we maintain spreads at the current level in the next 2 quarters?
P Balaji: If you look at it, the incremental rates on the housing loan, we have not changed any rates. So, the rates are between 14.5% to 15.5% on the home loans. So that is what it is getting maintained.
So now you are talking about the cost of funds. The cost of f

unds for the housing finance
company is ranging between 8.5% to 8.7%, which is the same as the l ast quarter. So, we are not seeing much increase.

But on the NBFC, we have seen a slight increase from 9% to, say, 9.1% or so. And this is likely to continue in the fourth quarter as well. But we don't know if the rate cuts are going to happen, then 23% of our borrowings will get repriced immediately. To that extent, there can be some good news on the spreads. But if the rate cut doesn't come, there can be a 0.1% decrease in the NIM because of the increase in the interest rate s.
Moderator: The next question is from the line of Siraj Khan, an Individual Investor.
Siraj Khan: So, sir, first question is on the spread and the AUM and the yield. So, we are starting to grow in the state s of Odisha and Maharashtra. Maharashtra being very highly penetrated and the competition is also there. So, my question is, can the yield come down because we'll be facing more competition? And as that book will start to grow, so will the yield come down and therefore, spreads?
P Balaji: No, I don't think that will happen because when we ventured into Telangana and Andhra Pradesh, at that time also, the competition was there, and we were able to get the yields of 14.5% to 15.5% on the HL and around 17% to 18% on the quasi home loan and also 21% on the small business loans.
So, we are not seeing that kind of pressure even in the branches which we have opened as of now. So I don't think that will happen. If it comes to that level, we might have to revisit at that point in time. But as of now, we are not seeing that kind of pressure.
Siraj Khan: And also, with respect to the branch expansion, so did not catch how many branches we'll be opening specifically in the state of Maharashtra?
P Balaji: Another 10 branches are being planned, both in the states of Maharashtra and Odisha in the next year.
Siraj Khan: Okay. And a related question is, actually, since we are having a lot of opportunities in the current states of AP, Telengana and AP has gone very fast since FY '21, the book has more than quadrapled . So is there still juice left in these states? Or will the new states perform at at the same levels, I want to understand that.
P Balaji: No. Actually, we have just scratched the tip of the iceberg in terms of the market size. So still the market opportunity is there in the states already we are operating in, plus the new states. So the growth for the next few years will come like this. First the business f rom the new branches in new states , business from the existing branches in the existing states, then increasing productivity of people at the branches, say, if people are logging in four files per month per sales officer, that can be increased to five.

Similarly, having optimum number of people at the branches. Suppose if the budgeted level of staff strength in a particular branch is five and they have only four, we'll be employing one more who will contribute to the growth.

So, all this and of course, one more thing is the increase in the ATS without having any problem on the instalment to income and the LTV. So, suppose if the current ATS is around Rs. 8.5 lakhs, if you increase it to Rs. 9.5 lakhs, then that growth will come from that as well. So, all this will contribute to this growth guidance of around 30% on the AUM for the next 3, 4 years.

Siraj Khan: Understood. And just one last clarification. You had said there was Rs. 20 crores write -off pool.

P Balaji: Yes.

Siraj Khan: And there was INR6 crores write off , I was just confused. So there was a Rs. 6 crores technical write -ups I was just not able to understand that now.

P Balaji: Rs. 20 crores is the total value of the write -off ove

r the years. Rs. 6 crores is the write -off for the quarter. Yes.

Moderator: Next question is from the line of Jayesh Shah from OHM Portfolio Equi Research.

Jayesh Shah: Sir, I just had one question, given our spreads and the yields, how does the regulator look at it? Because there was some concern by the previous RBI governor that the rates are very high that are being charged by various NBFCs. Now of course, we have the new regulator, but how would you comment on this? Or have you seen any questions from the regulator on the overall yields?

P Balaji: Yes, let me explain this. See, if you look at the FY '24 year, the inspection by both NHB and RBI has got completed, and they have not raised any query on the interest rates that is being charged. So, we are getting an impression that what we are charging is not very high.

Then the second thing is we have also done an interfirm comparison of all the NBFCs and HFCs. We are in line or less than what other people are charging. So, to that extent, we are not seeing any inputs or comments from RBI on reducing the interest rates, which is being charged by us.

Moderator: The next question is from the line of Nischint Chawathe from Kotak Institutional Equities.

Nischint Chawathe: Essentially on your medium -term growth target. Just curious that when you're looking at such a larger book, will the product mix be similar? Are you going to have such larger proportion of fixed rate loans? And in that case, how would you sort of manage th e liability side of the balance sheet? I think as what we can see is that as your balance sheet keeps on growing, the overall share of fixed rate borrowings does keep on coming down. So if you're going to have a similar ratio of fixed versus floating, prob ably you might have some kind of a mismatch a few years down the line.

P Balaji: That I would like to answer by way of the leverage. See, if you look at the leverage, which is very low, even if we have to grow to Rs. 25,000 crores, the leverage is going to be 3 or 4 times only. . So to that extent, the interest rate risk can be handled.

It is not that we don't want to give a variable rate of interest to our customers. It is basically the requirement of fixed rate is coming from our customer stating that they don't want any change in the EMI or in the tenure of the loans. So that is the rea son why we are giving this fixed rate loans . But based on the leverage, I think we are better off managing this fixed rate of interest going forward.

Nischint Chawathe: Got it. So basically, it's the leverage that gives you comfort. And if there is any kind of a swing, you'll absorb it. But broadly, what we are trying to say is that the loan book composition and the step-down structure, I think those things will remain as they are.

P Balaji: Yes. Non -home loans, anyway, it is fixed by other players also. ...

Nischint Chawathe: Yes, yes. Got it. Got it. Got it. And is there any commentary on the growth trajectory that you're looking at in each of the companies from the regulator?

P Balaji: On a consolidated basis, this 30% will be there. And the product mix, which we explained earlier, that will also continue because in the NBFC, the loan book itself is only INR2,600 crores. So obviously, the growth, if I -- even if I grow by INR1,000 crores, the percentage will be high. So we cannot benchmark based on that rate, right? So it will be based on the mix and also the overall guidance of 30% AUM for the next 3, 4 years.

Nischint Chawathe: Just curious -- last one, just curious, do you really need a step -down subsidy now? I think you're managing the 60% ratio on a consol basis anyway, right? So would you want to continue with the...

P Balaji: Flexibility, right? It is not -- I mean, we were lucky enough to get the license from RBI on the

NBFC. We would like to have

this as -- we would like to continue with the NBFC, but this is
also giving us product diversification and income stream diversific ation. So we would like to
definitely continue with this with clear demarcation of products which gets booked in HFC and
also which is getting booked in the NBFC.
And there are no common customers between the NBFC and the HFC. So there is actually no
overlap. All the customers are unique. And going forward, we'll have a separate structure for
NBFC with the business head and credit and branches also we'll be having a separate in itself.
Nischint Chawathe: But in an eventuality, if you have to collapse the structure, is there any part of the business that
can be -- cannot be done in the HFC or anything of that sort?
P Balaji: See, basically we find that the market for the small business loans is also huge. And because of
this 60% on the total asset criteria, it restricts our ability to do the small business loans in the
HFC . By way of having an NBFC, we don't have that constraint. So, to that extent, the NBFC
has been useful to us, and we'll be booking small business loans in that.
Nischint Chawathe: Got it. Just a clarification today, even on a consol basis, you are at 61%, right?

P Balaji: 61% is on the loan book
Moderator: The next question is from the line of Kushan Parikh from Morgan Stanley.
Kushan Parikh: Just a couple of data keeping questions. On the asset quality front, just wanted to understand
what would be the end losses or LGD that you would have from the written -off pool essentially?
And secondly, another data keeping question that I wanted to understand was the BT out rate
that we have. And if you could just give some color around the BT out part.
P Balaji: See, first of all, since our LTV is between 40% to 45%, the principal write -off is absolutely nil
or maybe it will be very, very minimal. That is the first thing.
See, what will happen in a housing finance company if a customer is not there or if a property is
not there, then we might be forced to write it off. But in our case, the customer and the property
is there. And because of that, we are able to recover the m oney because the se are the first time
house owners. So, they are living in that house. So, the moral responsibility to pay back the loan
is very high in these customers. So, we are able to get the money back. So ultimate loss to that
extent will be very less, and that is what is the loss given default, okay?
This is similar in terms of SBL also because that is also a secured product secured by self -
occupied residential property. So, the loss given default is almost nil for all the products which
we are in.
Then the next question on the BT out, it is around 2.5%. See, our pre -closure is around 7.7% to
8% on the average loan book. Of that, almost 4% to 5% gets pre -closed out of own source of the
customers. Normally, these kinds of customers , because of their business they get cash flows,
bulk cash flows. And when they receive these bulk cash flows, what they do is to settle the
housing loan first. So that is why the BT out is less, and it is around 2.5% for us.
Kushan Parikh: Got it. Just a couple of follow -up questions. So on the BT out one first, with the scenario of a
rate cut, do you envisage the BT out rates to inch up for given we are a fixed rate borrower sorry,
fixed rate lender.
And the second question is around the LGD. So I mean, I understand that on the principal side,
given the low LTVs, the LGD would be little, but what will be the IRR on such loans?
P Balaji: See, we are not writing off any principal or interest. We will be waiving off some of the charges
when these NPAs are getting settled, which normally we accrue on cash basis. So, the IRR will
be the same as the contracted rate, except for the delay in the payment. So that is the

only thing.
Kushan Parikh: I'm trying to understand that in a rate cut scenario where the floating rate peers would largely be
cutting their lending rates, do we see this BT out rate increasing from the 2.5% going forward?
Or how will we manage this?

P Balaji: We have been operating this company for the last 15 years, the rate cycles, both high and low
has already been experienced by us. And this BT out rate is around 2.5% consistently right from
the beginning. So, we are not seeing that kind of an increase. But because of the rate cut, if it is
going to increase, if the BT out is going to increase, we'll have to do more business. So that's
how we need to look at it.
Moderator: The next question is from the line of Siraj Khan, an individual investor.

Siraj Khan: So sir, my question was with respect to the yield difference, the HL business and the non -HL business, what is the difference between the yields of the two?
P Balaji: See, we have three products. One is the housing loan, where we charge between 14.5% to 15.5%. We have this quasi home loan, where we charge between 17% to 18%. We have the small business loans, where we charge between 20% to 21%.
Siraj Khan: Okay. And sir, the average ticket size of each of these segments?
P Balaji: The average ticket size is around Rs. 8.5 lakhs to Rs. 9 lakhs on both quasi home loan and the housing loan. This one is around Rs. 7.5 lakhs.
Siraj Khan: SBL?
P Balaji: SBL is around Rs.7.5 lakhs. It is 8.5 lakhs to 9 lakhs on the housing loans and the quasi home loans.
Siraj Khan: Understood.. Again , to come back on the geographical expansion. Sir, why are we not -- because we are so overcapitalized, why are we not going because we have now spent a good amount of time in Maharashtra, approximately closing on 3 years now. So why are we not increasing the number of branches at a faster rate in the states? And in Karnataka, Maharashtra, we have seen...
P Balaji: First of all, once again, let me explain. Maharashtra, we have been there only in the last 9 months. The first branch was opened sometime last March. So, we have been there only for the last 9, 10 months, okay? So, we are having great expectations from Maharashtra and the business is also doing well. We will be opening more branches, but it will be a slow and steady progress. It will not be like I'll open 100 branches in Maharashtra.
Siraj Khan: No, no, not 100, but like why are you not increasing.
P Balaji: First of all, it's only 9 months over. We have opened 10 branches, okay? So, it will be like that.
Siraj Khan: Yes and in Karnataka, despite the e -Khata issue, which I have also seen for other companies, do we face that issue in Karnataka also?
P Balaji: It is across companies, we have this e -Khata issue. But we are more in the peripherals, not in the city. So, to that extent, this issue is minimized. And of course, what we tell our customers is

because of e -Khata, is there is a delay in the disbursements. Suppose if the disbursement turnaround time for us is, say, 7 days, in Karnataka, it will become 15 days.
So, what we are telling the customer is to plan well in advance to get the e -Khata, and then come to us for a loan and then we give the RTGS disbursement immediately. So that is how we are handling this. And we are seeing good results in the Karnataka disbursements.
Siraj Khan: Okay. And final statistical question. Sir, what is our log -in to sanction ratio and in percentage and in number of days and sanctioned to disbursement?
P Balaji: If 100 files get logged in, 85 gets sanctioned.
Siraj Khan: 85% gets sanctioned, 85% sanctioned to disbursement?
P Balaji: Sanctioned to disbursement will be around from 85%, 80%.
Siraj Khan: Of the 85%, 80% will get disbur

sed. Okay. And the days in number of days, so from log -in to the disbursement, the approximate number.
P Balaji: Login to sanction is around 1 to 2 days and sanction to disbursement takes around 7 to 8 days because the legal documents need to be vetted. So that takes a little bit of time to disburse.
Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for the closing comments.
M Anandan : Thank you, Mona and our friends for organizing this conference call. I would like to pay my sincere gratitude to all the analysts and investor friends who have taken time to listen to us today. Please feel free to contact with us in case you have any further queries. Thank you.
Moderator: Thank you, ladies and gentlemen. On behalf of Dolat Capital Markets Private Limited, that concludes this conference. You may now disconnect your lines.

Call: May 2025

“Aptus Value Housing Finance India Limited
Q4 FY '2 5 Earnings Conference Call ”
May 07, 202 5

Management : Mr. M. Anandan – Executive Chairman
Mr. P. Balaji – Managing Director
Mr. C T Manoharan – ED & CBO
Mr. Sanjay Mittal - CFO
Mr. John Vijayan – CRO

Moderator : MS. Mona Khetan – Dolat Capital
Moderator: Ladies and gentlemen, good day, and welcome to the Aptus Value Housing Finance India Limited Q4 FY '25 Earnings Conference Call hosted by Dolat Capital. As a reminder, all participant line will be in listen only mode and there will be an opportunity for you to ask question after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star the n zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Mona Khetan from Dolat Capital. Thank you, and over to you, ma'am.
Mona Khetan: Thank you, S ejal. Good morning, everyone, and welcome to the earnings call of Aptus Value Housing Finance India Limited to discuss its Q4 and FY '25 performance. We have with us the senior management from Aptus to share industry and business updates.
I would now like to hand over to Mr. Anandan for his opening comments, post which you can open the floor for Q&A. Thank you, and over to you, sir.
M. Anandan: Thank you, Mona. Ladies and gentlemen, good morning to all of you. I am Anandan, Executive Chairman of the company. I welcome you all to this conference call to discuss the company's performance for the quarter and year ended March '25. I have with me Mr. P. Balaji, MD; Mr. C. T. Manoharan, CBO; and Mr. Sanjay Mittal, CFO; and Mr. John Vijayan our C RO. At Aptus, we believe in strong growth without losing focus on the quality of the loan book and good financial metrics.
We are very happy to record that Aptus had a very good FY '25 supported by business growth, stable asset quality, continuous focus on higher productivity and a robust business model, good distribution network and deep penetration unserved markets, customer centricity along with appropriate tech initiatives and diversified product and income stream have enabled the company to achieve good business results.
Our networth, as you are aware, stands over INR4,300 crores, and with capital adequacy -- 70% capital adequacy. This coupled with good support from banks, NHB, mutual funds and BFI on the borrowing side and with strong ongoing demand for both home loans an d small business loans gives us confidence to pursue strong growth, scalability in the years to come with sustained profitability.
Further, to support our vision of reaching loan book of INR25,000 crores AUM by FY 2028, we've been continuously strengthening the organization by way of investing in new branches, relevant technology and strengthening the company with quality manpower acr oss all functions, more particularly in the middle management.
I would now hand over the line to Mr. P. Balaji, MD, to discuss the business focus, operating and financial parameters. Thank you.
P. Balaji: Thank you, sir. Good morning, friends. As we have been explaining in the earlier calls, we will continue to focus on our key strategies, which are as follows: growing disbursement and loan book, both in housing loans and small business loans considering th e large headroom available in the low and middle income segment in Tier 3 and 4 cities; expanding operations contiguously in the states of Odisha; and Maharashtra and increasing penetration in existing geographies by opening new branches.

Strengthening analytics and digital adoption, about 21% of our business in Q4 FY '25 has come from customer referral app, construction ecosystem app and social media channels. Our focus

has been to increase the leads through these channels in addition to the leads from the physical branch network. Continue to focus on productivity, collection efficiency, opex and cost of funds. The new mobile -first lead management software, which was launched in April 2024, has settled very well and is bringing in good improvements in terms of streamline of our processes service delivery, lesser bounce rates, improved collection productivity, better regulatory compliance and improving overall efficiencies. We are continuously monitoring the functioning of this new system to bring in more improvements.

Now coming to the major performance highlights. Our AUM grew by 25% year -on-year to INR10,865 crores, disbursements for the quarter . increased by 10% year -on-year to INR1,064 crores. Disbursement growt

h for the year was at 15%. We have 300 branches as on 31st March 2025, of which 10 branches are in the states of Maharashtra and Odisha, and the balance 290 branches are in the states of Tamil Nadu, Andhra Pradesh, Telangana and Karnataka. Total branches added for the year were 38. Total live customers crossed 1.6 lakhs. It is a 21% growth year-on-year. NPA was at 1.19%.

Now coming to the asset quality. Collection efficiencies were at around 101.16%, and our 30 - plus DPD improved to 5.91% as on 31st March 2025 as compared to 6.21% as on 31st December 2024. Net NPA was at 0.89%. Provision coverage has been consistently maintained at around 1.03%. We are car rying a total provision of around INR111 crores, including a management overlay of INR55 crores. And this when computed as a percentage of NPA works out to a coverage of 86%.

Credit cost for the quarter was at 0.3%, which was almost similar to the previous quarters. NIM was at 12.96%. Opex to assets were 2.63% despite investments in new branches, technology and HR. PAT was at INR751 crores for the year, which is a growth of 23% year -on-year. ROA was at 7.73% and ROE was at 18. 76%, which is one of the best in the industry. For the quarter, the ROE crossed 19% and was at 19.66%.

Now coming to the funding. During the quarter, we diversified our borrowings further by issuing NCDs aggregating to INR325 crores to mutual funds. Of the total borrowings, 52% are from banks, 15% from NHB, 19% from NCDs issued to IFCs and mutual funds and the balance is in the form of securitization. As on 31st March, we had sufficient on balance sheet liquidity of INR1,155 crores, including undrawn sanction of INR678 crores from banks.

I would like to highlight one of our strategic shifts in the funding approach this quarter. We executed our first direct assignment transaction for a small amount of around INR75 crores of non-housing portfolio in our housing finance company. As you are aware, we have historically maintained a conservative stance and stayed away from DA.

However, given the evolving funding environment and the long -tenured nature of our book, we saw merit in exploring DA, which will complement our strategy for both diversification of borrowing and ALM management. This also helps us to strengthen our PBC criteria. Going forward, we will be looking at doing DA transactions on a selective basis.

With this, I 'll close my remarks and I open the floor for the question and answer. Thank you.

Moderator: The first question is from the line of Rajiv Mehta from Yes Securities.

Rajiv Mehta: Congratulations on good performance. My question is on disbursement growth. So while first half of the year was impacted, but when you look at second half, which was pretty normal, even in second half, the disbursement growth was 15% by and large. So I mea n, can you share disbursement growth figures, say, at the state level?

Because when you look at the state -wise growth momentum, then Tamil Nadu seems to be coming back, but AP seems to be losing some steam. So firstly, if you can comment on how can we improve the disbursement growth on an overall basis from 15% ? And are there any geographies which need to be focused and to improve the disbursement growth, particularly AP?

P. Balaji : Thanks, Rajiv, for the question. I'm sure this question might be there with all the people. I'll just explain it for the benefit of others as well. If you look at our disbursement growth, as you rightly said, it is 15% year -on-year. But if you look at our INR3,604 crores of disbursement, this is actually a n 11-month disbursement as against a 12 -month disbursement of last year, which was at around INR3,127 crores.

So if you factor in that 1 -month disbursement, the disbursement growth would have been around 18% to 19%. And if you look at the year -on-year disbursement for the last

quarter, it has grown
by 10%. Basically, this is because of the base effect. If you look at our disbursements last quarter, Q2 FY '24 was around INR750 crores, and Q3 was also INR750 crores, which spiked up to INR968 crores in Q4 FY '24.
But in FY '25, the disbursements have actually evened out. If you look at our Q2 FY '25 disbursement, it was INR935 crores, and Q3 was INR930 crores. And Q4, it has become INR1,064 crores. So it is actually because of the base effect, the growth is at 10%, and it is not because of any market sentiment or market availability.
And also, as you rightly said, Tamil Nadu is also almost coming back to normalcy with assets under management growing at 14% and Tamil Nadu growth quarter -on-quarter was 14% and year-on-year was around 11% on the disbursements. So actually, we are not seeing anything on the ground. It is basically the base effect, which has had an impact on the growth.
Rajiv Mehta: Okay. Sir, basically, I was actually looking at the second half only because the second half was pretty normal, and that kind of adjusts the way for making it more comparable. So even in the second half, the disbursement growth is 15%. So the point is, if we were to grow at 25%, 30% in the next year, if that is the aspiration, then given the current runoff rate, we need to grow our disbursement next year by 26%, 27% on the current year base of FY '25.
So can we scale up to that kind of disbursement growth in FY '26 a nd what can be the sources of growth improvement? If you can talk about branch addition plans, if you can talk about how the productivity at the sales officer level can be improved, whether do we need to do more sourcing from ordinary channels and how could that be driven? Just wanted to get more clarity on how the growth in disbursement will come about at a much higher level for us.

P. Balaji : If you look at -- even at the 15% disbursement growth, the loan book growth has been at around 25%. So for the year FY '26, our guidance will be around 24% to 25% of disbursement growth and around 28% to 30% of loan book growth. But how this will be achiev ed? I'll give you the following things, which we will be focusing. One is -- the new business from - new branches and new states. Basically, in Odisha, Maharashtra, we already have 10 branches. We'll be opening 10 more branches in this year. So the business from those branches will continue the growth.
Next one is business from new branches in the existing states. So in this, we are planning to open a total of around 40 branches. So the business from that will contribute to the growth. Then next thing is impact of full year business on the new branches, which have been opened last year. We have opened 38 branches. So the full year contribution of those branches will also contribute to the growth.
Over and above that, the productivity improvement in the sense that actually increase in the ATS. Currently, it is around INR 8 lakhs to INR 8.5 lakhs, we wa nt to increase it to around INR9 lakhs to INR 9.5 lakhs without impacting the LTV and the installment -to income ratio. So that should contribute to the growth and also improving the per loan officer productivity, which is currently around 3 to 3.2. That we are planning to make it up to 4 per loan officer per month. And also having optimum number of people at the branches , that will also contribute to the growth.
Over and above that, we have this digital marketing initiative, which is working fine, which is 21%. At least we want to make it up to 25% immediately. And then in the years to come, we'll be making it up 30%. So this is -- actually, all this has been brok en down across branches and also sales officer -wise, which gives us this confidence of giving this guidance of around 24% to 25% disbursement growth. And also loan book growth of 30%.
Rajiv Mehta: Ok

ay. And just on funding side, if you can share the incremental cost of borrowings now from -- for the HFC and for the NBFC from the banks. And also please give us some colour on how the existing bank loans will reprice down. What is the benchmarking of it and how it can reprice down in the coming quarters? And lastly, on NHB funding, is there any sanction in hand or any pipeline for that?
P. Balaji : Yes. As regards the funding is concerned, the rates of interest of housing loan or HFC borrowings is around 8.5%. It continues around -- 8.5% to 8.7%. And on the non NBFC, we are still borrowing between 9% to 9.25%. But having said that, if you look at the total borrowings, 56% of our borrowings is variable, which is linked to a variable rate -- interest rate. Of that, 30% is linked to repo rate, which means for that, I will get the benefit of at least 0.5% in -- maybe in this quarter itself. Already, we have got 0.25% reduction in 2 or 3 borrowings, which we have

taken and this is likely to come in.
And of course, the balance 26% on the MCLR, which is linked to MCLR, the interest rate reduction can start coming from June to July and so on- and of course, incremental borrowings will be negotiated hard for bringing in those kind of interest savings. So that is broadly on the

interest rates and NHB borrowings , we have got a sanction of INR 300 crores, we'll be taking a decision on when to take that money out.
Rajiv Mehta: Great sir. Thank you so much for answering my questions and best of luck.
Moderator: Thank you. The next question is from the line of Renish from ICIC I Securities. Please go ahead.
Renish: Congratulations on a good set of numbers. Sir, just 2 things. One on this provision on the Stage 2. So when we look at Stage 2 assets, it actually fell by 20 basis points sequentially, wherein the PCR actually gone up to 8.5% versus 7.8% sequentially. So I just wanted to get a sense that what is driving this high provisioning in Stage 2? I mean is it due to we see some stress in some pockets? Or how one should look at this number, sir?
P. Balaji : Actually speaking, we are not seeing stress in any of the markets or any of the products. See, what has happened in the housing finance company, the bad debt recoveries were good, a nd we have recovered almost INR 5.5 crores to INR6 crores during the quarter. And we wanted to maintain the provision coverage ratio at around 1.03%. And in the NBFC, the loan book from INR1,900 crores has gone to INR3,000 crores. So we wanted to strengthen the provision coverage there, and we are still maintaining at 1.03%. So that's the whole reason this number is there. And if you look at the credit cost, it has remained the same at 0.3%.
Renish: Correct. Correct, correct. And just a follow up on that. So do we foresee any derailment either on growth or collection due to this Tamil Nadu deal?
P. Balaji : This Tamil Nadu ordinance, yes, it is a fact that it has been announced by Tamil Nadu government. But what we feel -- I mean, it has been clearly stated in the ordinance that it is applicable only to unregistered MFI or money lenders who are charging usuri ous rate of interest. The kind of customers whom we serve basically with an average ticket size of around INR8 lakhs to INR9 lakhs, our initial feeling is that it might not get affected very much.
We feel that the impact can be there in MFI and also low ticket loan providers. So of course, this is initial days. We are having a very close watch on this. As of now, we are not seeing that kind of trends. Our collection efficiencies are better, but we are watching this closely.
Renish : Got it, sir. And sir, my last question, again on this geographical concentration and the growth trajectory. So when we look at last 5 years, sort of we have been able to reduce the dependency on TN market with its share fall

ing to almost 30% in FY '25 from INR52 3, 4 years back. But at the same time, AP share is now more than 40% and AUM touching almost INR4,500 crores. So just wanted to get a sense on this base, whether this 30% plus growth rate is sustainable in AP market? And let's say, if you feel that there is still under penetration in this ticket segment and we'll be able to grow at 30% plus in AP, so then in next 2 years, our dependence on AP will further increase, right? So what is the plan to derisk the growth from overdependence on any one state?
P. Balaji : See, actually, if you look at it, that's the reason why we have ventured into this Odisha and Maharashtra. So the business, which was around INR5 crores, the AUM, 2 years back, it has

become INR55 crores as of now. It is a healthy growth according to me because first year was formative year for these two states. And after that, the growth has come. So we will be getting more growth from Odisha and Maharashtra this year.
So to that extent, the AP growth will come down. But having said that, the penetration -- I mean, still the market availability in AP is quite huge. So that is also going to contribute. And with Tamil Nadu coming back to normalcy, so the distribution of AUM is likely to improve across states. And of course, Karnataka also is likely to chip in more.
M Anandan : Yes. Just to add to what Mr. Balaji said, Anandan here, while we have 113 branches in Andhra Pradesh and having a good growth rate, as I mentioned . But we see a very good opportunity in Telangana as well, where we have currently only about 53 branches. And even the current year, the growth rate in Telangana is one of the best.
So in Telangana, we have grown by 31%, same as Andhra. While Andhra base is higher, as you mentioned, but Telangana growth is much lower, giving us an opportunity , not only in Telangana, but even Karnataka for th at matter in addition to Maharashtra and Odisha

that Mr. Balaji has mentioned.
Renish : Got it. Got it. And maybe just last question on the spread from my side. So let's say, we have already seen 50 basis points of repo rate cut in let's say, over the next 6 to 9 months, if there is another 50 basis point repo rate cut. Where do you see the spreads settling from exit Q4 quarter numbers?
P. Balaji : If you look at this -- as I told in the earlier remark also, if you look at the total borrowings, 30% is linked to repo rate. So if you factor in a 50 basis points cut on that 30% borrowing, it will be 0.15% reduction that can come in. And of course, we do n't know how much more rate cuts are going to come.
But if it comes, that benefit also will come in. But also, this 26%, which is linked to MCLR, the interest rate reduction can start coming in from maybe July or so. That's what I'm getting to hear from banks. So, if that comes in, that will be another added bonus. The thing is that this is where Aptus is likely standing out because we have got this 80% fixed rate loan book. So spreads are likely to improve because of this interest rate reduction.
Renish : Got it. Got it. So, we don't foresee any pressure on the asset yields at least near term.
P. Balaji : Yes. Yes. Absolutely.
Renish : Okay. This is great, sir. Thank you and best of luck.
P. Balaji : Thank you, Renish.
Operator : Thank you. The next question is from the line of Kushan Parikh from Morgan Stanley. Please go ahead.
Kushan Parikh : Thank you for taking my question. I just had questions around the credit costs. So, I mean, there seems to be some reconciliation between the prior quarters, essentially when we look at the 9

months reported number versus the full year number in the other income line, which gets knocked off in the credit cost. If you could just help us explain that?
And a

lso secondly, if you could help us explain the reconciliation between the stand -alone credit cost and the asset finance NBFC credit cost, which came in higher this quarter, whereas the consol credit cost seemed largely in line with what you had in the previous quarter. So if you could just help us explain that as well. Those are my two questions. Thank you.
P. Balaji : I'll explain this, Kushan. , RBI has directed all the NBFCs to go for a change in auditors every 3 years. So, there are some auditors who are telling that the bad debts recovered has to be shown separately in other income. But there are some auditors who say that it has to be netted off against the ECL provision. So it's basically we go by that auditor's opinion.
And this quarter onwards, we have netted it off against the ECL provision and the credit cost, whatever is the bad debts recovery. So that's the answer to the first question. Then the next thing is on the reconciliation. If you look at it -- what is the question on the reconciliation? I was not able to understand.
Kushan Parikh : Sure. I'll just repeat my question. So essentially, we had about INR80 million credit cost in the NBFC subsidiary and a small INR 20 million credit cost in the stand -alone book, whereas the consol credit cost has come at around INR79 -odd million. So if you could just help us with the reconciliation math on that?
P. Balaji : Yes, I'll explain. See, what is happening, if you look at it in the housing finance company, the bad debt recovery was high during the quarter, okay? So -- which was almost INR5.5 crores to INR6 crores, which got netted off in the stand -alone financials. W hereas in the NBFC, what has happened is we all know from INR1,900 crores, the book has grown to INR3,000 crores.
So there is a strengthening required on the provision front in that company. So we have provided more there to take care of the 1.03% provision coverage ratio. If I don't do that, then what will happen is I need to write back the provision, which will only result in additional capex . So we wanted to maintain this 1.03%. That is why this is happening.
Kushan Parikh : Understood. That's actually quite helpful. Those are my questions. Thank you.
Operator: Thank you. The next question is from the line of Yash from Citigroup . Please go ahead.
Yash : Hi sir, thanks for taking my question. So one is on the operating expenses which sees sharp jump quarter -on-quarter by 11% or so. So is it one -off or it is largely volume linked?
P. Balaji : Actually, it is volume linked, if you look at opex . First, what has happened -- if you look at it, we have invested in branches. We have invested in technology new lead management system. So all this is contributing to this increase. But still, ours is one of the best. If you look at the opex to assets, which is around 2.63%.
And if you look at the cost -to-income ratio on the gross income, it is maintained at around 14%, both for the quarter and also for the full financial year. And if you look at the net income, it is

around 20%. I mean after deducting the interest cost, it is being maintained at 20%. So this 2.63% to 2.7% cost to assets will continue, that will be the guidance from us.
Yash : 2.63% to sorry?
P. Balaji : 2.63% to 2.7%, yes.
Yash : 2.7%. Okay. And sir, second is on the balance transfer out if you can share the trend on it given our housing loan yields are north of the peers at 15.5%. So are we seeing any increase there?
P. Balaji : If you look at the balance transfers, we have been consistently it is around 2% to 2.5%, while our pre -close are around 7%, the balance 4.5%, the pre -closes are coming from the own source of the customers . If you look at our kind of customers who are self -employed, unlike salaried customers, they get some business inflows, bulk inflows from their business. T

he first thing they do is to close the housing loan.
So if you look at our total pre -closes, it is around 7% of that 4.49% is out of own source, the balance transfers are around 2.5%. And this 2.5% has been maintained by us for the last 15 years. So we don't see that kind of an impact because of the balance transfers.
Yash: Yes. Got it. So no major impact despite higher yields than peers. And sir, lastly, if you can just share the log -in to sanction ratio and this for the quarter as well ?
P. Balaji : Log into sanction ratio is around 78% to 80%.
Yash: Got it. And that has remained stable through the year, right?
P. Balaji : Yes, it has remained stable across the year.
Yash: Got it. Thank you, sir. That's it from my side.
Moderator: Thank you. Th e next question is from the line of Manika Bansal from Master Capital Services Limited. Please go ahead.
Manika Bansal : Hi, sir. Thank you for taking my question. S o my question is on the branches side . So you have opened 10 branches in Maharasht ra and Odisha . So what is the plan and opportunity do you see over there?
P. Balaji : If you look at our strategy, we have always been growing on a contiguous basis. And that's why we chose Odisha and Maharashtra because it is closer to the state of Telangana and Karnataka and Andhra as well. And the initial experience has been very g ood. The people there are good, the credit quality is good. And of course, we are a credit driven organization, so we choose our customers properly.
And these two states are offering good scope for increase in the disbursement and also the consequent loan book. So with that in mind, we'll be opening 10 more branches in this current year and increasing the loan book debt.

Manika Bansal : Okay. And one last question, what is the 1 plus DPD?
P. Balaji : 1 plus DPD is around 7.5%.
Manika Bansal: Okay. Thank you, sir.
Moderator: Thank you. Th e next question is from the line of Kartikeya Kumar from Ashika Stock Broking. Please go ahead.
Kartikeya Kumar : So congratulations on healthy numbers. So most of my questions are answered. I just wanted to understand this presentation that you have made, like if we come to Page number 8 of your PPT investor presentation. So here, you have taken your total income for calculating NIM. So is there any reason for including fees and commission income in the line item. I just wanted to understand your perspective on this?
P. Balaji : No. NIM is -- see, whatever is as per the Cla use 41 of the listing agreement , that is being computed . In the clause 41, interest, interest on FD, all those kinds of income is getting added. So that is how the NIMs are computed. If it is specific to ratio computation, I can take you offline and then see I can give you a full explanation.
Kartikeya Kumar: Okay. Thank you.
Moderator: The next question is from the line of Nidhesh from Investec India. Please go ahead.
Nidhesh : Hi, sir. Thanks for the opportunity and c ongratulations for a good set of numbers and it's heartening to see that Tamil Nadu growth has come back, which I think is quit e good for the – so, sir, what is the guidance for next year in terms of disbursement, o verall disbursement growth and AUM growth for FY '26?
P. Balaji : The AUM growth, we are guiding around 28% to 30%. Disbursement growth will be the resultant we are around 23%, 24% or maybe 25%. I explained the strategies on how the growth is going to come. I hope you are looking at that .
Nidhesh: And secondly this segment income, I think this is the first time we have done a Assignment

income. So why there is a change in strategy and how should we model it? What percentage of AUM will be on assignment basis on an annual basis going forward?
P. Balaji : See actually, the thought process of direct assignment came in first, we want ed to t

est this
transaction b ecause we have not done this for years and we wanted to do that. And tell how the portfolio of Aptus is being felt by the person who are buying the portfolio. That is the first thing. And also considering the evolving funding environment whe re RBI has also been insisting on diversifying the borrowing and so that is one thing, which has triggered this thing.
Third thing is, of course, it is an ALM management tool. That is also the third one. The fourth thing, the major more important thing is to improve on the principal business criteria. If you look at our principal business criteria as of 31st March, it has improved to 64.3%. So going forward also, we'll be doing selectively. I mean, it is not that we'll be going really aggressively on this

assignment because -- so maybe INR100 crores to INR150 crores every quarter we might be considering doing this.
Anandan : Actually, just to add to what Mr. Balaji said, I mean, this thought process in terms of -- when all of us are aware that the financial metrics of Aptus is one of the best in terms of ROA, ROE. And our RO E in the fourth quarter crossing 19%. Despite this attractive financial met rics. When it comes to investors on comparison with the other housing companies, other NBFCs, who are being pursuing the direct assignment, for almost 3 to 4 years.
Somehow for this interfirm comparison now we sort of ignore the direct assignment income done by Peers . In the sense, our numbers are always compared with all the other companies who have been doing a upfronting of the assignment income. Thereby their NIM and ROE whatever reported in corporate, includes incom e arising out of the assignment whereas our income or returns does not.
So, when the investors and analysts , look at the inter firm comparison, we are really at a disadvantage and that's also the path, which we have been taken into consideration in addition to the various other elements like diversification of resources, principal business criteria and things like that. So, this is something which we have discussed in detail and taken a decision.
Nidhesh : Got it. So sir, in this segment, are we doing housing loan or non -housing loan?
P. Balaji : We did the INR75 crores assignment of non -housing loans in the housing finance company.
Nidhesh: Okay , then lastly, what will be the cost of funds from this source of fundin g assignment? Is it better th an our overall cost of funds?
P. Balaji : It is around 9% for a n yield which is giving us around 18.5%.
Nidhesh: Okay, sir. Great, sir. That’s it from my side. Thank you.
Moderator: The next question is from the line of Rakesh Kumar from Valenti s Advis ors. Please go ahead.
Rakesh Kumar: So just firstly one question on the ALM side. I was looking at the average tenure of borrowing is around 7.5 years and average loan book tenure is around 9 to 11 years. So it's interest rate cycle would not just the ALM positioning would help on the margin expansion?
P. Balaji : So if you look at the ALM, what we need to look at is what you rightly said is to be on the asset side, it is around 10 to 11 years and the borrowing side, it is around 7 years. So there is a small gap. But if you look at the leverage again, our leverage i s very low. So to that extent, we are comfortable on the ALM .
And even as of today and going forward also, all the buckets it is surplus. That's because our spreads are around 9% and the NIM is around 11%, 12%. So we don't see a problem there. And we want to limit the leverage to maybe 4x to 5x. So that's how the whole ALM issue also will be managed.

Rakesh Kumar: And secondly, sir, with reference to borrowing equity breakup and floating rate loan around 19%. So in this interest rate cycle, 38% kind of

funding part of floating rate loans. So how much
would be the drag in terms of the margin because of the rate cycle?
P. Balaji : Actually, we start with benefit, right? So what is happening if you're on the asset side, if fixed rate borrowings is 80%, I am not under pressure to pass on the interest rate benefit, which is going to come in on the borrowings on that 38% borrowing to th at customer. So as compared to other companies, we are at the slightly advantageous portion in terms of spread improvement and NIM expansion.

Rakesh Kumar : No. What I'm trying to say that 19%, approximately 18.6% of the loans are floating rate, right? So anyway, that rate is going to come down, and that is being funded by the equity, which is 38% of your total borrowing and borrowing mix or which you're using in the business. So basically, on the asset yield side, your yield is coming down which is being funded at a fixed rate kind of equity, though it has a cost of equity, but just from the accounting perspective it will compress the margin right?

P. Balaji : But on 19%, even if I have to reduce it by 0.25%, what will be the compression that will come in. And that is not getting for us by the non-reduction in the fixed rate funded loan book. Yes.

Rakesh Kumar : Sorry, I missed there are some overlap. Could you come again, sir?

P. Balaji : On the 19% of the loan book, even if I have to reduce by 0.25% because of the interest rate benefit that I'm taking, what is going to be the impact because 80% I'm not going to reduce at all. So that will be offset. That's what we are trying to explain.

Rakesh Kumar : Correct. Correct. But the margin I understand it will be marginal, but just thinking that how much would be that ?

P. Balaji : It is very marginal, we can discuss it offline for the specifics.

Moderator: The next question is from the line of Mona Khetan from Dolat Capital.

Mona Khetan: So in your PPT, you have given this time the average ticket size in housing book, it's about INR9.2 lakhs. So this is the incremental average ticket size, right? At the portfolio level, it should be a tad lower. Is that a fair understanding?

P. Balaji : It is on the -- it is not at the portfolio level, it is on the sanctions. Current year, yes.

Mona Khetan: Sure. And when it comes your bank borrowings, what is -- what share is fixed rate bank borrowings? If I'm correct, you do borrow at fixed rate from banks. And what is the typical tenure in those borrowings?

P. Balaji : 44% is a fixed rate. And typical tenure is, if this bank borrowing which is around 5 years if it is from NHB obviously it is 10 to 15, 10 years or 15 years.

Mona Khetan: So, of the total borrowings, 44% is fixed rate but on the bank borrowings, how much is fixed rate versus...

P. Balaji : I don't have that number. I'll communicate to you, yes.

Mona Khetan: Okay. And within that, what is the typical tenure when it comes to bank fixed rate borrowings? Is it also 5 years typically or lower?

P. Balaji : We don't borrow lesser 5 years. That is very clear. But at this specific number, I'll get back to you.

Mona Khetan: Got it. And on the -- when I look at your self -employed versus salaries mix if I look at the last couple of quarters , the share of self -employed has increased. So how do we read this? Is it driven by some regional factors or any change in lending approach. A few quarters back, it was almost self-employed share was almost 71, 72 increased to 78. So how do we read this?

P. Balaji : No. We -- it's not a major increase, Mona the thing is 72 to say 71 to 73 or 74 but is like, see, our kind of customers are self -employed customers. That philosophy doesn't change for Aptus. The target customers are basically their cash salaried customers plus 1 member in the family will be running a business or something like that . So that is what is gett

ing classified as salaried customers. So the underlying for any of our customers is mostly self -employed people and mostly providing essential services.

Mona Khetan: Got it. And just 1 thing on the assignment portfolio that you did . So incrementally also, we plan to do only non -housing portfolio to benefit from the loan mix requirement? And how large could this share -- could this be as a share of the AUM ?

P. Balaji : No. Actually, I told you, we are not going to be very aggressive on this front maybe a INR100 crores to INR150 crores a quarter we'll be able to do this.

Moderator: The next question is from the line of Aman from Phillip Capital PCG .

Aman: Hello, Mr. Balaji, and congrats to the management team on a strong quarter and good results. Sir, my question is specific to Odisha. So I think one of your peers also -- I mean, the bigger peers also tried going into the Street, but didn't really have much business there. So is that something that is sort of slowing down our expansion plans in any way because I see so, if I remember exactly, you have mentioned about 10, 15 branches every year and potentially 10, 15 branches in Odisha and Maharashtra over the next couple of years, right? So I mean, is that something that is weighing in on you?

P. Balaji : No, what I mentioned was 10 branches in both Odisha and Maharashtra. So that means 5 branches more in Odisha this year. And if you're asking specifically about Odisha, we are actually having very positive response and the loan book, which we have built is very strong . And the repayment patterns are very good. And we will continue -- see the thing is how we select the customers is the differentiator. So if some other company has ventured into the state and they were not successful. That doesn't mean that we will not be successful. So the thing is like we are a credit -driven company. We will be funding the same profiles like what we fund in the other states. So this will continue and we will continue to choose our customers correctly. So that is how the Odisha portfolio will grow . And we are very confident about that state.

Aman: No. I get your point, sir. But -- so of course, I do not wanted to comment on the competitor, but I would like to know what is working for you really because you have the option of choosing the borrower, right? But the borrower of course, has many other op tions your bigger lenders and some regional players. So what is working for you that is driving the borrower sort of to come to Aptus for a loan?

M. Anandan : You know just to add a point here while we can look at the Odisha as a state, and Maharashtra state that's 1 thing. As Mr. Balaji explained, our strategy is to contiguously expand . And meaning that we are already present in Andhra, T elangana and Maharashtra. And we are starting our entry into Odisha and Maharashtra in the adjacent districts only. The adjacent district if we see for example, Odisha, which is connected with Srikakulam in Andh ra, and Vizianagaram in Andhra. Now the adjacent districts, the culture of the people is almost same as the Andhra adjacent say, districts Srikakulam and Vizianagram. Similarly, in terms of Maharashtra also, we are present in Telangana and Karnataka, and we are really starting with the adjacent district and progressively, we'll build it up over time in the state. That's 1 element. So in other words, they are not really , totally new because at least 5 branches that we started last year , they are really serving the adjacent districts of the Andhra Pradesh , Second, is really, our credit underwriting is lot more, we believe is lot more relevant and deeper . And with the philosophy that whatever business that we do is going to be credit driven rather than disbursement or sales driven .

Aman: Okay. Got it. I think that broadly answers my question. And sir,

my last 2 questions will be on
our disbursements and India. So, a couple of quarters back, I remember Mr. Balaji mentioning a bit about some issues in Karnataka with response with respect to the e -khata, right? And one of the peers, again, mentioned that to an extent these ratios have been solved. So, have we seen any disbursement pick up in the state of Karnataka?

P. Balaji : Definitely, there is a good disbursement pick up. If you look at last year also, I think there has been a good growth .

Aman: Okay. And sir, 1 last question would be in the Maharashtra disbursement. So are we seeing any sort of competition in terms of the rates because I think Maharashtra is a fairly competitive state with a lot of lenders, right? So are we seeing any pressure on our incremental disbursement teams?

P. Balaji : No. But as Mr. Anandan also explained, again, we are in this contiguous expansion mode . Just to give you a broad guideline on the Karnataka, around 26% growth has come. So the e -khata issue has got re solved and the growth is coming back in Karnataka. That is one.
Now coming to Maharashtra, again, this contiguous growth of -- is being followed and most of the branches are close to Telangana State, where the credit culture of this people spills over to these branches. So we are not seeing that kind of pressures on th e yields. And we will still continue -- we will be continuing this kind of growth in this state as well.

Aman: Okay. So just to conclude your explanation, so you are sticking to the border states, where the culture is pretty similar to the current states. And of course, the base is fairly small for us that we do not see much of yield pressure .

P. Balaji : Yes. Absolutely.

Moderator: The next question is from the line of Shweta from Elara Capital.

Shweta: Congratulations on a good quarter. Sir, a couple of questions. Can you provide some color on gross Stage 2 because sequentially, the absolute has remained slightly sticky ? So should we attribute this to a particular geography or say, concentration of quasi home loans or business loans, which are contributing to this ? Even the ECL has sort of gone up there, so yes, that's my first question.

P. Balaji : No, basically, Stage 2, we are not seeing any stickiness across products or across states. If you look 31st December, it was around INR504 crores , it has gone up to INR507 crores . Of course, on percentage terms, it has reduced from 4.93% to 4.72%. So we are not seeing any kind of pressures on the Stage 2, and we have seen it is slightly better in this quarter as compared to the last quarter.

Shweta: Okay. So it's broad based. So basically, no concentration?
P. Balaji : Yes.
Shweta: Okay. Sir, my second question is, sir, who are the take r of our BT out cases?
P. Balaji : There are some NBFCs who take our loans, maybe banks, Small Finance Banks and some of the NBFCs. I don't want to name them, but it is that way. But the amount is very small.
Shweta: Sure. Noted, sir. And sir, lastly, what is our employee attrition run rate? And how are we in terms of incentivization vis -a-vis industry standards?
P. Balaji : If you look at attrition at the top management level, there has been nil attrition. And at the middle management level comprising of cluster managers and everybody area managers, it is around 4% to 5%. And at the branch manager level, it is around 10%. Of course, on the field level, as compared with the other companies, our attritions are also slightly hig h, around 40%, 45%.
So, 1 thing is we are giving -- we have introduced a scheme on retention incentive and of course hand holding them for first 3 months to perform better. And if the person stay s in the company for first 6 months, and we're able to contribute to the company wi th 2 log -ins or 1 log -in per month . We try to incentivize them by w

ay of a fixed amount.
And that is our disbursement and log -in incentive policy per month, if they are able to do more business their income levels are also going down. So those are some of the things which we are taking care to control the attrition and hopefully, that will imp rove in future as well.
Shweta: Okay. So just a follow -up question. So what is helping us driving down our opex on the cost front ? So I'm not talking about cost income ratio or opex to assets in general, we've been doing well on opex driving down. So which are the key components which are aiding that?
P. Balaji : No, it's actually everything. If you look at it, if you look at our salary and incentive structure. It is more driven by productivity rather than the increase in the cost. So we demand productivity

in whatever we do. And similarly, if you look at other expenses, even if it is IT, we don't go for any big names. We just have persons who develop it for us and at the maybe at very reasonable cost, but it has the same features that anybody else is having. So that is one thing.
Then the next thing is that we are frugal, and we don't want to spend very much on our branch infrastructure , because we strongly believe that the people at the branches have to be on the field, be it sales or credit or collections , who has to do more business or more collections.
So we have a basic infrastructure, which provides a basic furniture, Internet and telephone connectivity and maybe computers . So these are all the things. So it is not one thing which is driving this cost down, it is basically all these things.
Moderator: The next follow -up question is from the line of Rajiv Mehta from Yes Securities.
Rajiv Mehta: Just to check on a couple of things. So I think circling back to the cost. So we are confident about achieving the disbursement growth and the AUM growth numbers that we've spoken with the same cost structure in terms of, say, employee salary incentives, even the locations where we are there that commission is given out?
P. Balaji : Yes. Definitely, Rajiv, look at it, I explained the strategies on how we are going to get the growth. Basically, we are -- I mean, all these -- the strategies, which I've told has the productivity element impact in that. So there is no compromise on the pr oductivity. So definitely, we will be able to achieve this at these cost levels.
Rajiv Mehta: And sir, one thing, I mean the rejection rates for the logging in FY '25 versus FY '24 were stable or higher? Because I think in one of the previous answers, you said that log -in to sanction ratio has been stable, implying that rejections have also been stable?
P. Balaji : Yes, yes, absolutely. It has been stable all through the year.
Moderator: The next follow -up question is from the line of Kushan Parikh from Morgan Stanley.
Kushan Parikh: I just had one question if you could help us research your credit cost guidance. I say that we have it at 40, 45 basis points. But just wanted to understand that a little bit more and contextualize it in light of the accounting stage that we have with the auditing on netting o ff the item recoveries from on credit cost and also a point of view of provision cover that we wou ld like to maintain on the book? So if you could just help us?
P. Balaji : Kushan, we are not able to hear you properly that there was some echo. But what I understand is you want some guidance on the credit cost, correct?
Kushan Parikh: Yes, in context of the fact that we have this accounting change with the new auditors with netting off of bad debt recoveries now within the credit cost?
P. Balaji : That is just an accounting treatment. So the accounting treatment will not have any this thing on a credit cost. See, what our guidance on the credit cost is around 40 to 45 basis points. So that is the guidance while w

e want to better that but because by way of more bad debt recovery or
something like that, but the guidance will be around 40 to 45 basis points.

Kushan Parikh: Understood. And that would be the gross of bad debt recoveries, right?
P. Balaji : Yes, yes, absolutely.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments.
M. Anandan : Yes. Thank you, Mona, and others for organizing this conference call. I would like to pay my sincere gratitude to all the analysts and investor friends of taking time out to participate in the call today. Please feel free to connect with us in case, if you have any further some questions.
Thank you.
Moderator: Thank you. On behalf of Dolat Capital, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

“Aptus Value Housing Finance India Limited
Q1 FY'2 6 Earnings Conference Call ”
August 01, 202 5

Management :

Mr. M. Anandan – Executive Chairman ,
Mr. P. Balaji – Managing Director ,
Mr. C.T. Manoharan – Chief Business Officer ,
Mr. Sanjay Mittal – Chief Financial Officer ,
Mr. Amit Singh – Vice President, Investor Relations

Moderator :

MS. Mona Khetan – Dolat Capital Markets Private Limited

The audio recording of this transcript can be accessed at the following link: www.aptusindia.com/investors -presentation/

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Moderator: Ladies and gentlemen, good day, and welcome to the Aptus Value Housing Finance India Limited Q1 FY '26 Earnings Conference Call hosted by Dolat Capital Markets Private Limited.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar and then zero on your touch -tone phone. Please note that this con ference is being recorded.
I now hand the conference over to Ms. Mona Khetan. Thank you, and over to you, ma'am.
Mona Khetan: Thank you, Nidhi. Good morning, everyone. On behalf of Dolat Capital, I welcome you all to the Earnings Conference Call of Aptus Value Housing Finance to discuss its Q1 FY '26 performance. We have with us the senior management from Aptus to share industry and business updates.
I would now like to hand over to Mr. Anandan for his opening comments. Thank you, and over to you, sir.
M. Anandan: Thank you, Mona. Good morning, ladies and gentlemen. I'm Anandan, Executive Chairman of the company. I welcome you all to this earnings call to discuss our performance for the quarter ended June '25. I'm joined today by Mr. P. Balaji – Managing Director ; C. T. Manoharan – Chief Business Officer ; Sanjay Mittal – Chief Financial Officer ; and A mit Singh – Vice President, Investor relations.
We're pleased to share that Q1 FY '26 brought a stable quarter for us, marked by continued focus on maintaining consistent growth.
We are happy to share that our long -term credit rating was upgraded to CARE AA from AA -, a recognition of our financial strength, growth, prudent risk management and consistent overall

performance. We continue to enjoy broad -based support from all financia l institutions, including banks, NHB, Mutual Funds, DFIs and Insurance companies as well.

During the quarter, we delivered more than 20% ROE , a milestone , which reaffirm s the strength and resilience of our operating model. Our robust and sustainable ROAs are supported by a well - diversified product mix and the consumer base with varied income profile, providing stability across market cycles.

Aligned with our vision of scaling our AUM to ■25,000 crores by FY 28-29. We are steadily investing in branch expansion, digital capabilities and strengthening the talent pool, particularly in the middle management level to build capacity for long -term sustainable growth.

With that, I would like to hand over the call to Mr. P. Balaji to take you through the business focus, key operating and financial parameters. Thank you.

P. Balaji: Thank you, sir. Good morning to all.

As explain ed in the earlier calls, we will continue to focus on key strategies, namely :

1) Diversified product and customer mix, ensuring stability : We will continue to grow across housing and small business loans, catering to vary customer base across various income levels, especially in Tier 3 and 4 cities. This diversification supports resilience across market cycles.

2) Expansion in the states of Maharashtra and Odisha : This is gaining traction . With strong base in southern markets and an early success in Maharashtra and Odisha , we are expanding operations contiguously and deepening penetration in existing geographies through new branches. In Maharashtra and Odisha, our loan book has crossed ■67 crores. The initial experience in these states have been good. And going forward, more accelerated growth will be pursued in the ensuing quarters.

3) Digital -led customer acquisition and efficiency gains : About 21% of our Q1 FY'2 6 business originated through referral app, construction e cosystem app and social media, thus complementing our vast branch network. The mobile first lead management platform, which we launched in April'24 is streamlining operations, enhancing compliance and boosting collection productivity.

4) Continued focus on productivity and cost efficiency : Maintaining sharp focus on operational productivity, collections, opex and cost of funds, supported by data -driven decision -making and continuous system improvements.

Now coming to the major performance highlights for the quarter,

■ On the business growth and scale, AUM grew by 24% year -on-year to ■11,267 crores.
■ Disbursements for the quarter stood at ■775 crores, up 15% year -on-year, but down 27%. The recent progress I will explain shortly.
■ Our live customer base has crossed 1. 65 lakhs, reflecting 20% year -on-year growth.
■ Branch network stood at 301 branches as of 30th June '25.

Now coming to the to the asset quality,

■ Asset quality scenario was slightly impacted by seasonality, leading to 19 basis points rise in our GNPAs to 1.49%.
■ Net NPA was at 1.12%. Provision coverage on the NPA was at 25%.

Now coming to the to the profitability and efficiency,

• The net income margin was at 13.4%.
• Opex to assets was at 2.7% despite ongoing investments.
• The credit cost was sequentially up by 8 basis points to 38 basis points but remained under our 45 to 50 basis points guidance.
• PAT for Q1 FY '26 was at ■219 crores, marking 28% year -on-year growth.
• ROA was at 7.9% and ROE was at 20.1%, which is unmatched in the segment.

On the disbursement side,

We experienced a dip in our business activity, largely on account of seasonality . April and May are typically lean months for construction activity due to combination of various factors like summer heat, payment of school fees and vacations. This naturally leads to a slower on -site progress, which in turn affects disbursements, especial ly for construction link ed products.
While these were the challenges in April and May, June and July were normal months, reflecting the resumption of construction activity and stabilization of internal process. is the normalization in the months of June and July, we are confident of growing s teadily in the coming months and to be further supported by steady demand environment.
Notwithstanding the above, we delivered a healthy 24% year -on-year growth in AUM. Now coming to the funding side. In Q1, we raised ■250 crores through NCDs placed with mutual funds, thereby diversifying our funding. Current borrowing mix are 52% from banks, 14% from NHB, 21% from NCDs, basically issued to insurance companies, mutual funds and the remaining through securitization.
In order to continue the diversification of liabilities, we did direct assignment

transaction of ■135
crores in Q1, helping us manage AUM and strengthen our P BC. We maintained a strong balance sheet liquidity of ■1,542 crores, including ■1,015 crores of undrawn bank sanctions.
Reflecting the growing scale and self -reliance of our NBFC since March 2024, all fresh borrowings have been raised without support from HFC guarantees. Guarantees on existing loans starting with a leading private sector bank have also been removed with sim ilar steps underway across other lenders.
Now with these remarks, I open the floor for the question -and-answer session. Thank you.
Moderator: The first question is from the line of Kunal Shah from Citigroup.
Kunal Shah: So firstly, on the growth side, you indicated the specific reasons for a slower growth in Q 1. But if we look at the overall disbursements, monthly disbursement trends , where are we currently and how should we expect to end FY '26? And you indicated that it will be a steady growth here on. Normally, we used to guide for 25% to 30 -odd percent kind of a growth.
We have come down below 25% now. So where should it ideally settle? Would it be at the lower end of the guidance or maybe even like, say, less than the guidance is what we are expecting looking at the overall operating conditions? Or at any point in time, we would again aim for 28% to 30 -odd percent growth as well in the near or over the medium term? Yes.
P. Balaji: Kunal, it is like this. If you look at the first quarter disbursement, which is slightly subdued. But if you look at my June and July disbursement, it has come back to normalcy. And in fact, if you look at the last year's disbursements, the average monthly disbursement was around ■300 crores.

But in June and July, the average monthly disbursement is almost at ■350 crores, that is giving us good confidence of foreseeing a very strong growth on disbursements. That is the first thing.
And going by this, I mean, if you look at it, normally, the second, third and fourth quarter are more st ronger quarters than the first two quarters. But with more branches coming in, more improvement in productivity , in terms of number of files l ogged in and increasing the ATS and also the more contribution from Odisha and Maharashtra, definitely, we will be able to clock a disbursement growth of around 22% for the year.
And if you want the guidance on the loan book, normally, if the disbursement growth is around 20% to 22%, there will be a 6% more on the AUM growth. So that is what we are targeting, which is around 28%, 29%. So that is what is likely to happen for this ye ar.
Kunal Shah: Okay. Great. That helps. And secondly, if you can just highlight in terms of the collection efficiency seasonally being lower and even maybe 30 DPD as well as GS3 inching up more like Q1 phenomena. But any particular trends which you are seeing between the business loans, LAP and home loans or maybe the increase is similar across all three categories. So because there are like a lot many players highlighting stress on the MSME side, on the self -employed side. So are we seeing any abnormal increase in the other segments ex of home loan?
P. Balaji: No, actually, as far as Aptus is concerned, we are not seeing that kind of what our com petitors are indicating. We are not seeing that kind of pressure on the collections. It is basically because the quality of our customers is we have 4 notches above maybe an MFI or a small ticket loan providers. And also, if you look at it, and the LTV for our loans are only 40%, which means the equity of the customer in the property in which they live is much more.
So it is aiding us in the collection efficiency. It is basically April and May, there was a shortfall in collections. That's why our quarterly collection efficiency was at 99.12% as against last quarter of 101%. So -- but in the m

onth of June and July, the collection efficiencies have come back to normalcy.

And going forward, we'll be seeing more improvement in that. Over and above that, we have also got the SARFAESI benefit, where in repossession might be difficult, but at least it makes people come to the negotiation table for getting a settlement in place and getting the NP A settle. So all these things will help in improving the collection efficiencies and also the NPAs.

Moderator: The next question is from the line of Rajiv Mehta from Yes Securities.

Rajiv Mehta: Congrats on resilient performance. Sir, again, just continuing on collections. Can you share some data on collections of June and July or maybe just to understand that whether are we normalizing or have we normalized already in June, July in terms of our c ollection efficiency? Or maybe you can share the bounce rates, have they come back to normal levels?

P. Balaji: Rajiv, you know that we cannot share the numbers as of July. All I can say is July collection efficiency, in fact, June collection efficiencies itself has come back to normalcy. So in June, the collection efficiency was almost at 99.5%, 99.7%. So that is o ne thing which gives us confidence that our collection efficiencies are improving. And that's the guidance we can give as of now.

And definitely, we are on the job of improving the collection efficiencies and reducing the NPAs. And over and above that, we are also strengthening the collections team in the sense, we are also identifying state in -charges for each of the states , who will drive the collection officers that will bring in more productivity in terms of the performance of these collection officers.

Rajiv Mehta: Okay. Okay. And sir, how would this recent rating upgrade and plus the repo and MCLR cuts manifest in our overall cost of funds in the coming quarters? And what would we do with that benefit? Would we, at some point in time and when would we evaluate cutti ng lending rate? Or would we kind of retain the benefit of the spreads and for how many quarters?

P. Balaji: If you look at the total borrowings, 56% of our borrowings are variable rate and 44% is fix rates. And again out of this 56%, 30% is linked to MCLR and 26% is linked to the external benchmark rate. So if you look at the 26% of the borrowing, which is linke d to external benchmark, we have already got a 0.25% reduction, which translates I think that's where is from 8.68%, the borrowing cost has come down to 8.62%.

So the balance 0.75% repo rate cut, which has to be passed down to us, but that will come in the second quarter, which means on a total, it will be 0.2% reduction in the borrowing cost. Over and above that, this MCLR linked to borrowings, if we have a lag of 3 to 6 months. So with the results, by the year -end, we should get at least 0.4% to 0.45% reduction in the borrowing cost on the existing borrowings. Yes, that is one. Next thing is if you look at the incremental borrowings, earlier, in the housing fin ance company, we used to borrow between 8.6% to 8.7%. Now it has come down to 8.05% to 8.1%.

Again, if you look at the NBFC borrowings, which was earlier at around 9 % to 9.25%, that has come to around 8.5% now. So the incremental borrowings, there is a good reduction in the borrowing cost. And of course, the rating upgrade will help us. Of course, we are also pursuing the ICRA for another rating upgrade, I mean, the rating upgrade from them as well.

And also, if that will open up, I would use some raising money from insurance companies and mutual funds. And also, we are also in the process of diversifying the borrowings and also it is all long -term borrowings. Basically, we are borrowing between 5 to 7 years and the diversification is from the borrowings from insurance companies, mutual funds.

And of course, we are also doing a bit of

direct assignment. So all this is going to reduce our borrowing costs. And in terms of passing on the interest rate, if you look -- yes, so if you look at it on the total book, 80% is fixed. So as of now, we are no t contemplating any passing on of benefits, but maybe variable rate we might consider. So that's the stand as of now.

Moderator: The next question is from the line of Renish from ICICI.

Renish: Congrats on a good set of numbers. Again, just hopping on this spread thing. So just correct me, you said that our exit cost of borrowing will be 40, 45 basis points lower than the current level of 8.62%. Is that correct.

P. Balaji: Yes.

Renish: Okay. So then this entire 40, 45 basis point of spread expansion and ultimately, it will go into your ROE. But we will not think of parking on anything to customer on the fixed rate side, I mean?

P. Balaji: As of now, we have not -- Renish, it is -- I mean we have still not got the full benefit of the cost of funds reduction. We just got 0.6%. So we need to think through. I mean, first let the reduction

come in, then we will have to think through on what we n eed to be passed on the asset side. Yes.
As of now, fixed contracts, we might not even consider passing on the benefits.
Renish: Got it. The reason for asking this is I'm just looking from a steady -state ROE perspective. So we are already more than 20% ROE now and with this spread benefit coming in, where do you see ROE settling in medium term? I mean, are we aspire to deliver 22% R OE sort of remain at 20% and then incrementally we'll invest...
P. Balaji: Our objective is to cross 22% as fast as possible. So that's what -- let's see what we need to do about that.
Renish: Got it. Got it. Okay. And sir, just lastly, on this AUM mix side. So if you look at last 3, 4 quarters trend, the insurance and top-up loans has been growing a little fast, obviously, on a small base. But when we look at in absolute terms, it is now ■650 crores versus ■360 crores in Q1 FY '25 last year. So just wanted to understand sort of what is the underlying thing driving this growth on the insurance and top -up loan? And if you can just briefly tell us the underwriting metrics for the top -up loa ns.
P. Balaji: I'll tell you. See if you look at the percentage of insurance loans on the top -up loan, it has ranged between 2% to 3% of the total AUM. So insurance loans, as you all know, it is basically given for the purpose of covering the credit life of the credit in surance, which is around 3% to 4% of the sanctioned amount, which we paid as premium to the insurance company for the entire tenure of the loan.
So it is a situation like since it is 4% of the sanction amount, the customers might not be able to bear it. And because of that, we are giving that as a loan. And obviously, that is getting recorded as a non -housing loan. So that is the characteristic of the insurance loan. If you look at the top -up loan, we have a clear set of guidelines on what constitutes top -up loan. For example, a person will be eligible for a top -up loan only if he has not bounced for th e last 12 months.
And of course, at the time of giving a top -up loan, we do a credit bureau analysis again, the credit at the branch goes and visits the customer to find out the repayment ability. And all those things are taken into consideration and before the top -up loan is sanctioned. So it is not that we are just wanting to increase the top -up loan. It is basically the customer has to satisfy the whole lot of conditions before he becomes eligible for the top -up loan.
Renish: And sir, when we say a 12 -month bounce, so basically, even if a customer is in 1 plus DPD will not give him a top -up loan, is it?
P. Balaji: Yes, it should not have bounced for the last 12 months, yes.

Renish: Okay. And what is the minimum vintage AOC should be on our platform?
P. Balaji: It will become eligible after 1 year.
Moderator: The next question is from the line of Shailesh Kanani from Centrum Broking.
Shailesh Kanani: Congratulations, sir, for a great set of numbers considering the macro environment. Sir, two questions from my side. One is on asset quality. We have been hearing from a lot of lenders about specific geographies like Andhra, Tamil Nadu. If you can throw some color in terms of any pockets or any region specific where we are seeing any pain points. We also highlighted that we have strengthened the collection team.
If you can highlight something on that front. And second, Anandan sir talked about adding talent. If you can throw some color, some more depth into how we are seeing the kind of growth we are posting, so how we are trying to build up the management team.
P. Balaji: If you look at the -- I mean, we are first -- we are not seeing -- experiencing any kind of problems in any kind of area specifically. So that is one thing which I want to communicate here. So we are not fin ding or experiencing that kind of an issue in any of the areas. It's basically April and May being a lag, I mean, lean month, the collections got impacted. Otherwise, there is no other thing.
And the next question, I mean, collections in order to prepare the organization for the next level, we are strengthening the collections team. While the collection offers, we have got around 600 people on ground, there should be somebody who closely monito rs them. So sitting in head office, the state cannot be monitoring all of them.
So that is the reason why we have brought in the middle management in the state in charge category so that they can closely monitor the performance of these collection offers. So that is one thing.
Now if you look at the entire talent pool, we have got this management committee who is having the heads of departments of various departments. But below that, we wanted to strengthen the organization to take the organization to the next level. That's why we have identified states heads across.
I mean every -- this state head -- the responsibility of the state head is to run that state like a

CEO of that place. So you will have to be in charge of both collections, growth, quality and also disbursements. So that is one thing is the responsibility of the state.
And if you look at the credits, there also we have identified state heads who will be responsible for each and every state. And under them, there are 4 5 or 6 people who will be processing these files and sanctioning the files. Similarly, we have identified in legal, technical and collections as well, not only the department he ads, but also state heads and also state in -charges.

So that is on the strengthening of the organization. And in terms of support, whether it is finance, operations, compliance, assurance functions, there also, we are strengthening the middle management so that the company can perform well, IT also, includin g technology as well.
Shailesh Kanani: That is very helpful. So the collection team is business as usual as we are growing, that is the addition what we are doing, right? Is that a fair understanding?
P. Balaji: Yes.
Shailesh Kanani: Okay. Sir, one question to Anandan, sir. Anandan, sir, how satisfied are you with the current performance given the macro? And are any concerns near term, medium term, long term in the business model, if you can highlight anything because our book is quite seasoned. We have seen multiple cycles -- any comments on that, if you can give? And that's all from my side.
M. Anandan : Let's look at that in 2 ways. One is if you look at the opportunity and the market size in terms of underserved, unserved market, particula

rly in Tier 3, Tier 4 cities. So at a broader level, we have got a long way to go and there's a long runway for growt h from the demand side. And we don't see, not only we but others also seeing any major issue in terms of the demand from the customers, particularly for the affordable housing finance segment. To serve is -- to come from the demand, I would say , demand continues to be robust.
And we believe that will continue to be for quite some time as the development takes place in the Tier 3 and Tier 4 more development takes place. But coming to the other part in terms of the challenges for this demand , growth to materialize, there are two aspects, critical aspects which are emerging is really one of the major challenges for us but others also is that our ability to retain the manpower and grow them quality -wise and without compromising on the productivity.
So that is where the attrition levels comes into play, particularly at the field officer level, so in other words, one particular field level, whether it is in sales and collection that will be a challenge that Aptus is highly focused in terms of our attrition level is really low at the senior level and middle man agement level.
But our attrition level continues to be slightly higher at the field level from our own standards, putting the sales function level. That's what we are working to retain that part of the growth has to come from the improvement in productivity, as also mentioned in terms of the number of files or quality of collect ion that we do.
So that, I would say, is one challenge that we have to face. Secondly is the emerging competition because as you know, the affordable housing finance segment started attracting attention of more players, whether from the banks or from the stand -alone HFCs or from the emerging small finance banks, given their own focus to shift more towards security -based product than the unsecured one like microfinance.
So the competition will emerge. This is where Aptus is trying to really play a very important role in terms of our product , geographical growth and continuous growth and then try to have the advantage, try to be a leadership in the local market and try to be very .Our IT also comes into play.

We want to keep provide the best, best after sales service, turnaround time and other time during the loan period also resolve if there is any customer support issues. So competition is something which also going forward will be new segment. But that much depends on companies like us which focuses only in this segment, largely single product focus on loan segment.
We hope we will be able to do much better than others who are multiproduct on the liability side, on the asset side, on the a ssey side, like a typical bank for them type of customers. So that's all we wanted to. But these two, we see as a challenge going forward.
Moderator: The next question is from the line of Kushan Parikh from Morgan Stanley.
Kushan Parikh: I just have one question a nd two data keeping questions. So the first one is essentially on the assignment. So over the past two quarters, we've started doing direct assignment. So just wanted to understand, I mean, how we are looking at this piece going forward? And what should we

expect from a steady -state basis in terms of the pace of direct assignment going forward because quarter-on-quarter that has nearly doubled in 1Q.
So just wanted to understand on that the income from the assignment. And secondly, a couple of data keeping questions. If you could just repeat the incremental borrowing cost that you are seeing at the NBFC and HFC level. Sorry, I missed that number.
And second -- thirdly, the reconciliation on the operating cost between the NBFC subsidiary and the consol level because at the NBFC subsidiary over the last two quarters, we have seen

higher
operating costs. However, at the consolidated level, that remains pretty much in line with the historical trend. So just wanted to understand if there is some reapportionment to the NBFC. That's it from my side.
P. Balaji: Thanks, Kushan. First on the direct assignment, we have decided on the direct assignment as a revised funding strategy in the sense that one thing is diversification of funding. The other one is it is meeting the ALM criteria. And third one is it will improve our principal business criteria.
So if you look at our direct assignment, it is only the non -housing loans that gets done as a direct assignment that gets sold to the investors.
And if you look at our policy, it will be around 10% to 15% of our disbursements will be done as direct assignment, which will come to around 2% to 3% or 4% of our loan book. So that is the strategy with this the DA will be continued over the quarters. What was your next question?
On the incremental cost of funds. real cost of funds, if you look at the HFC earlier before the repo rate cut, we were getting loans at around 8.6% to 8.7%. Currently, we are raising funds at 8.05% to 8.1%. And if you look at the NBFC earlier before the re po rate cut, it was around 9% to 9.25%. Now we are raising funds at 8.5% to 8.6%. So that is our incremental cost of funds.
What is the next question?
Kushan Parikh: Yes. The next was on the opex between the NBFC and the consolidated level. But just before that, one follow -up on the incremental borrowing cost. The reduction in the incremental borrowing cost is purely due to the repo rate cut. So we are yet to see any benefit from the rating upgrade . Is that fair understanding and that will also come in going forward.

P. Balaji: The rating upgrade came very recently. We are also proceeding with ICRA. So that the benefit of the rate cut -- sorry, rating upgrade will have to accrue in this quarter. We are also negotiating hard with the bank s on that.
M. Anandan: Just to add a point on this, we have seen given the macro situation in terms of liquidity and lower retail credit growth by the banking system , realization in certain quarters in some banks offering at a very, very competitive rate. In fact, last week, we did a loan of almost about INR300 crores from 1 bank and the rate for HL company, at of 8.05%. And it is a long -term loan. And so it is now starting 8 and maybe going forward, slightly sort as eight as well as far as concerned.
Kushan Parikh: That's helpful. Just lastly, on the operating cost...
P. Balaji: Yes. The operating cost, basically, we have a clear apportionment policy. Basically, it is based on the AUM that case apportion. And there is a slight more increase in the AUM in the NBFC and than the HFC. That's why the costs are getting more absorbed the re. Regarding the nitty gritties, I can share the computations maybe later with you, then we can talk on that.
Moderator: The next question is from the line of Amit J from Jawade Partners .
Amit J.: I have a fairly basic question. This is regardi ng the asset quality. On Slide number 34, so we have mentioned gross NPA and 30 -plus DPD rates. I was trying to correlate these two and trying to make sense of it. So let me just say broad numbers. So 30 -plus DPD as in Q1 FY '26 is 6.45%, so let's say, 6.5%.
And gross NPA is 1.4 that is 1.5%. So to my understanding, 30 -plus DPD is like people who have not paid the due amounts in the 30 days and gross NPA is like people who are not paid beyond 90 days. So is this understanding correct that out of this 6.5% which have not paid within 30 days, they will pay up, 5% of those will pay up in the next 60 days, and that's how our gross NPA is around, say, 1.5%. So is that understanding correct, sir?
P. Balaji: Yes. In the sense, see, 30 plus is 6.4 5% and NPA is 1.49%, which means th

e balance 5%, they
pay before it becomes an NPA. And also under the RBI rule, once an NPA, unless all the overdues are cleared, then the NPA doesn't get cleared. So what happens is either they pay either 1 EMI to not flow into that greater than 90 days or maybe 2 EMI to stay in the 30 to 60 bucket.
Amit J. : Okay. Okay. And one follow -up on that is that when our 30 -plus DPD is pretty high, 6.45 still our collection efficiency is 99% plus. So how -- I'm not able to relate that, sir?
P. Balaji: Basically, if you look at the collection efficiency computation, it is how it is completed, that month collection against that month due billing, which includes the OD collections also in the

current collections. So that's how this 99.12% is arrived at.
M. Anandan: Also, just to add that actually, the challenge here is really in terms of while the customers are paying the 1 EMI, our ability to make them to pay more than 1 EMI becomes somewhat difficult. So there is a flow of 1 EMI from the customer. But the moment they cross that 1 EMI, become 2 EMIs, then let's say, which comes into a category of 30, 60, then what happens, it will continue to be a category of 30, 60 because they are not able to pay more than 1 EMI.

It does not mean it moves into the NPA, but we continue to be in the 30, 60 or some of them even 30 to 60, 90 also. So our challenge for us is really -- I agree with your observation that for us, the challenge is really to reduce that collection between 30 to actually less than 90. That will happen only if we are able to collect more than 1 EMI. And that's what we...
Amit J.: Understood, sir. One last question. Sir, you have given some visibility in very near term, this financial year and next. I just wanted to have your aspiration in the let's say, next 3, 4, 5 years and beyond. Maybe Chairman sir, MD sir, you can make some co mments. How do you want Aptus to look like in the next 5 years or so? Maybe if you can just throw some aspiration what you may have in your minds.
P. Balaji: Fine. See, if you look at the market opportunity for either the affordable housing or the small business loans in which we are in is very huge, and it is promising a huge runway for growth. But considering the fact that these are more kind of at least the perception wise, more risky customers, the credit underwriting has to be very, very strong. So to that effect, Aptus will be a credit -driven company rather than a very high -level growth -driven company.
So that is why if you look at our original guidance, even in our Chairman's remarks, that we have guided a INR25,000 crore AUM getting reached by FY '28 or '29. So obviously, for us, the quality of book comes first rather than the growth.
So -- but at the same time, it is not that we'll not be pursuing a good growth, but this is what is the growth guidance. So maybe by FY '28 or '29, 3 years down the line or 4 years down the line, we'll be reaching this ■25,000 crores, but impeccably good results, good performance numbers, good operating numbers.
Amit J.: Right, sir. The average ticket size will also have to increase, right, even if we just take inflation into account, that average ticket size should go on increasing. Am I right? Or you also have a vision to include larger ticket sizes or you want to stick with the current inflation adjusted?
P. Balaji: Definitely, we want to increase the average ticket size in line with the inflation, but not to the extent of going up to maybe ■16 lakhs, ■20 lakhs kind of an average ticket size. So this is the sweet spot we are in.
So we will be increasing the average ticket size. In fact, that is one of the growth levers that is coming in for us. So we will be increasing the average ticket size, say, ■50,000 to ■1 lakh every year. So that is going to contribute to our growth of at least 10% to 11%.
Moderator:

The next question is from the line of Manik Bansal from Master Capital Services Limited.
Manik Bansal : Congratulations on good set of numbers. So our ROA has improved from 7.7% to 7.9% and there is this gain on sale of financial instrument as well. So how much of it is this increase of 20 bps attributable to, say, improvement in the cost of borrowings and a ttributable to thi s gain on financial instruments?
P. Balaji: You are not clear on your question, Manish. I was not able to hear you properly.

Manik Bansal: So I just had a basic question. The ROA has improved from 7.7% to 7.9% Q -on-Q, right?
P. Balaji: Correct.
Manik Bansal: And that is attributable to, say, there is a gain on sale of financial instrument as well. So how much of this improvement in ROE is attributable to that gain on sale of financial instruments? And how much is due to that improvement in cost of borrowings?
P. Balaji: This is explained in the ROE of our investor pr esentation -- so basically, it is explained in the ROE , where the revenue from operations, which was earlier at 17.8%, it is at almost the same levels at 17.7%. If you look at the gain on derecognition of financial instruments that is around 1.1%. The other income has remained stable at 0.4%.
And if you look at the interest cost on the AUM, earlier in the last Q1 FY '25, it was at 5.4%, it has increased to 5.8%, resulting in NIM from 12.8%, it has become 13.4%. opex has remained constant at 2.7% in both quarters. Of course, credit cost has gone up from 0.2% to 0.4%. And the after -tax impact of all this has increased from 7.7% to 7.9%.

Moderator: The participant has got disconnected. The next question is from the line of Aman Vishwakarma from PhillipCapital.
Aman Vishwakarma : Congrats on a good set of numbers in the Q1. I just had one question for the management and which is on the competitive intensity in Odisha and Maharashtra. So as of FY '25 closing, we were at ■54 crores of AUM there. And in Q1, we are at ■67 crores, right? So I just wanted to understand, is there a reason why we have kept the disbursement rates at the lower end, considering we have also done ■700 crores of disbursement in the entire quarter. So just sense or some color on what's happening on the ground in Odisha and Maharashtra would be helpful.
P. Balaji: If you look at our expansion strategy, it is always a contiguous expansion strategy. And when we venture into new states, we don't want to grow very aggressively. We would like to understand the market, understand the people, understand the culture of the people. Even if I have to spend 1, 2 years on that, I will want to invest in that. And then once I get good confidence, then I will grow fast in these states.
So that is what has happened. If you look at it, of course, the loan book is at ■67 crores. But the thing is we have got now good confidence in these two states with the cluster managers more promising with the people in our company also more promising to perform.
We will be opening more branches and also recruiting more people. And considering the low book size, the competition is not a big problem there. So we just have to grow our book. That will be concentrated from the second quarter onwards.
Aman Vishwakarma: Okay. And sir, just one follow -up question here. Could you just give us a sense on what the collectio n efficiency has been in these two states? And is it any different than what we are experiencing in Andhra or the other states?

P. Balaji: No, it is not typically different across states. It is almost -- it can be 0.1%, 0.2% here or there, but it is almost the same.
Moderator: The next question is from the line of Mona Khetan from Dolat Capital.
Mona Khetan: So two questions, two, three questions from my side. Firstly, you've always maintained the BT-Out rate of about 2.5x of own money coming in, right? So I'm guessing the number is similar, correct?
P. Balaji: What was the question?
Mona Khetan: The BT balance transfers, yes. So the question is, is there any geography specific in terms bias in terms of it coming from Tier 1 cities or -- and also where does it go? So both whom does it go to in terms of which financier and also where in terms of Tie r 1, Tier 2, where does these transfers typically go to? Yes.
P. Balaji: As you rightly said, it is still at between 2% to 2.5% only. And I mean, we have not seen any specific locations where the balance transfers are happening slightly on a higher note as compared to other places. So it is almost even across states. So that is not the thing. But if you look at the loans that are getting taken over, it will be either a small finance bank or NBFC. Those are the companies who are taking over. Maybe they are giving a higher loan at a lesser interest rate. That is what is the thing which we are observing. But considering the fact that it is just 2.5%, and this has remained stable over the last 10, 15 y ears. So we are not too much concerned about that.
Mona Khetan: Sure. Got it. But even in terms of the -- so I'm not referring to state -wide bias, but in terms of Tier 1 versus Tier 3, Tier 4 cities, is there any bias that it happens more in Tier 1 locations on that?
P. Balaji: If you look at -- I mean, we are not primarily in Tier 1. Even in Tier 1, it is basically outskirts. So we are not seeing that kind of an impact in either of these places.
M. Anandan: Just to add to what Mr. Balaji said, basically, we are not really seeing any profile like geography -wise or the customer end use wise or service they're in customer income source wise or geography -wise or in terms of loan size, lower loans versus higher lo ans wise, we are not really seeing any pattern of this preclosures of 2% to 2.5%. So as of now, we don't really see any specific workable concentration that way.
P. Balaji: That's one aspect. Currently other aspect in terms of the takeover loans also goes to largely not to the bigger banks it is the small finance banks or the larger -- some of the largest HFCs. So that -- the big banks are not in that picture, yes.
Mona Khetan: Got it. Got it. That's helpful. Secondly, I just want to touch a bit on the recovery. So if I have to look at your history of the last 12 years, if you could just throw some light on how many loans have gone through? And what is the history on recoveries w e've had around that? That will be helpful, yes.

P. Balaji: Actually, if you look at SA RFAESI , anything beyond 90 days, we initiate SARFAESI action for our housing finance company customers. So that is a normal process which our legal recovery team takes care. And we initiate the process. And as you know, it is a time -bound process. I think the minimum to get -- minimum time to get an order is 6 months. But of course, on ground, it doesn't take 6 months. It takes more than that. But only thing is, I think within 1 or 2 months, we can issue a symbolic version notice. And using that sym bolic version notice, we talk to the customers for coming to the negotiation table.
And based on that, we might give some waivers on the charges or the overdue charges or preclosure charges, while we might not give waivers on the principal or the interest. And based on that, the settlements happen. So basically speaking, recoveries will n ot be that great. But using SARFAESI , the recoveries -- using negotiation with the customers are much more. So that's the scenario.
Mona Khetan: Got it. And also, if I have to look at your portfolio between -- so I'm just trying to understand when it comes to the small ticket segment, what has been your experience between

salaried and
self-employed? In this segment, which is in the ■7 lakh kind of ticket size or ■8 lakhs to ■9 lakh kind of ticket size, has your experience been better on the self -employed side versus salaried or any differentiation you see or there's none in your particular portfolio? Any color will be very helpful.
P. Balaji: If you look at our self -employed customers proportion, it is almost 78% of our total customers and 22% is salaried. Again, this 22% salary is what -- I mean, if you look at that family income, 1 person will be earning a salary by getting maybe a cash salar y or maybe working in a small establishment.
The other person will be doing the business. It's basically the income of these two combined and then that gets classified as salaried. So basically speaking, we are not seeing that kind of a variation in terms of repayment, whether it is on a self -employed or a salaried kind of a thing.
Mona Khetan: Okay. Okay. So no differentiation i n your portfolio Okay. So just two data keeping questions. What was the quantum of assignment during the quarter? And what is the 1 plus DPD as on June?
P. Balaji: Quantum of assignment was INR135 crores during the quarter. 1 plus DPD is 8.5%.
Moderator: The next question is from the line of Di xit Shah from Ascendancy Capital .
Dixit Shah : Congratulations on a good set of numbers. So first question was on data keeping point. What was our individual housing loan proportion as on June?
P. Balaji: Not clear. Your voice is not clear.
Dixit Shah: What was our percentage of the AUM and individual housing loans?
P. Balaji: Housing loan is 61% on a consolidated basis.

Dixit Shah: Individual housing loan on a consolidated basis?
P. Balaji: It is 61%.
Dixit Shah: Okay. And on the side the HFC site?
P. Balaji: 72%.
Dixit Shah: Okay. Okay. Sir, one data keeping question also I wanted to know just a clarification. The BT rate, what was said was 2% to 2.5%. Was that right?
P. Balaji: Yes.
Dixit Shah: Okay. Now with respect to the growth on Maharashtra and Odisha, what will be our branch additions that we are planning in the say, current year and in the next 2, 3 years? And what would be the proportion of the AUM that we want to look at it, say, maybe 2 years down the line, 3 years down the line?
P. Balaji: So if you look at the current network of branches in these 2 states, it is around 10. In this year, we'll be opening 10 more. That is 5 each in Odisha and Maharashtra. And going forward, another 10 or 15 will get opened maybe next year. So that is the grow th path we have got for these 2 states because the experience has been good as of now. So we'll be more aggressive in these states.
As regards to the AUM percentage is concerned, it might not be very material because it is still in the growing phase. So it depends on how much that is coming in over the thing. However, the productivity and the ATS parameters, everything will be monitore d very closely in these things so that the disbursements and the AUM are maximized to the maximum possible extent.
Dixit Shah: Understood. Sir, also, can you please share...
Moderator: Sorry to interrupt. I request you to come back for the follow -up question. The next question is

from the line of Jainis Chheda from Kemfin Family Office .
Jainis Chheda : Sir, in terms of continuing with the previous question in terms of BT transfer, what is the reason that you see that our BT transfer will not go up going forward?
P. Balaji: No, if you look at it, see, if you look at our pre -closures, it is around 7% to 7.2% on the opening loan book. Of that, 2.5% is the BT out. So the balance, what -- if you look at -- this is where our kind of customers, we need to look at the kind of custom ers whom we are serving. See, these are the customers who run businesses. They are not in the salaried

segment.
So whenever they get the cash surplus out of their business, they use that. So when they get that cash surplus from the business, first thing they do is to settle the loan. And so that's why if you look at our total -- out of the total preclosures, almost 60%, 70% is coming out of the own source of these customers.

So the balance only gets transferred to the other customers. So these are the customers who doesn't go -- I mean, every year -- and also another thing is that is where our sourcing strategy, which is coming in. So if you look at -- if the customer is sourc ed by a DSA or a connector, what he does is every year, he shifts the customer from one company to the other company.
Whereas in our case, it is being sourced by our own internal people. So these are the 2 things which is helping us control the BT out. While we encourage own source customers because actually, they are good customers. We might also consider another loan fo r them. So that is what is giving us confidence that this 2.5% will not go up.
M. Anandan: Also 10 years...
Jainis Chheda: Sorry, I missed the last part.
P. Balaji: No. Also for the last 10 years, it has been -- has remained the same at 2.5% despite various business cycles.
Jainis Chheda: Understood. And secondly, in terms of...
Moderator: Sorry to interrupt. But I request you to come back for the follow -up question.
Jainis Chheda: Just one question, please.
P. Balaji: Yes. In terms of, as we mentioned that...
Moderator: We request you to come back for the follow -up question. The next question is from the line of Kushan Parikh from Morgan Stanley.
Kushan Parikh: So just one question. So we have seen across the quarters that growth in Tamil Nadu has been improving steadily. If you could just share some updates on how that geography is performing?
And where do you see the steady -state loan growth for this state?
P. Balaji: If you look at it, I think this has been a topic of discussion for the last 3, 4 quarters. But actually, we have been very concentrated, we are working on this to improve on there. If you look at our loan book growth earlier, it was around 8%, 9% that has been brought up to 15% as of now.
And going forward also, I mean, still one or two clusters needs to be corrected there. But definitely, we can pursue a stronger growth in Tamil Nadu. We can look at least from 15% at least 18% to 20% in the coming quarters.
Moderator: Ladies and gentlemen, we'll take this as the last question for today. I would now like to hand the conference over to the management for closing comments.
M. Anandan: Thank you, Mona, for organizing conference call. I would like to say my sincere gratitude to all analysts and investor funds for taking time out to listen to us today. Please feel free to touch with us in case you have any further queries. Thank you.
P. Balaji: Thank you.

Moderator: Thank you very much. On behalf of Dolat Capital Markets Private Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

“Aptus Value Housing Finance India Limited
Q2 and H1 FY '2 6 Earnings Conference Call ”
November 01, 202 5

Management :

Mr. M. Anandan – Executive Chairman
Mr. C.T. Manoharan – Executive Director and Chief Business Officer
Mr. Sanjay Mittal – Chief Financial Officer
Mr. Amit Singh – Investor Relations

Moderator :

Ms. Mona Khetan

The audio recording of this transcript can be accessed at the following link: www.aptusindia.com/investors -presentation/

Moderator: Ladies and gentlemen, good day, and welcome to Aptus Value Housing Finance India Limited Q2 and H1 FY '26 Earnings Conference Call hosted by Dolat Capital. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone.
I now hand the conference over to Mona Khetan from Dolat Capital. Thank you, and over to you, ma'am.
Mona Khetan: Thank you, Danesh. Good morning, everyone, and welcome to the earnings conference call of Aptus Value Housing Finance India Limited to discuss its Q2 and H1 FY '26 performance. We have with us the senior management from Aptus to share industry and business updates.
I would now like to hand over to Mr. Anandan for his opening comments, post which we can open the floor for Q&A. Over to you, sir.
M. Anandan: Thank you, Mona. Good morning, ladies and gentlemen. I am Anandan, Executive Chairman of the company. I warmly welcome you all to the earnings call to discuss our performance for the quarter and half year ended September '25, Q2 FY '26.
Before we begin, I hope all of you had a wonderful Diwali, wishing you continued happiness, health and prosperity in the year ahead.
And before I start the detailed presentation, just one small update. Mr. Balaji could not join the call today due to certain medical emergency in his family. He has conveyed his apologies and look forward to interacting with you in the next few days.
I am today joined by Mr. C.T. Manohar, ED, our Chief Business Officer, Sanjay Mittal, our CFO and Amit Singh from Investor Relations . And during the year, as you know, we broadened our shareholder base and further diversified institutional shareholding, enhancing the market liquidity and particip ation from long -term investors.
With a vision to reach INR25,000 crores AUM in the medium term, we aim to build on the current momentum and sustain a 25% plus growth driven by our expanding footprint and consistent execution.
As we have consistently shared in our earlier interactions, our strategy continues to revolve around 4 key pillars, and I'm pleased to note that we have seen good progress across each

initiative.
The following are the key pillars that we've been sort of discussing in the recent times. One in terms of expansion of the -- expansion beyond southern markets. As you know, we are steadily expanding our presence in Maharashtra and O disha , where our early experience has been encouraging.

Both states have witnessed healthy traction in disbursements and customer acquisition, supported by contiguous branch expansion model. As of 31st October '25, the total branch count in these two states stood at 15, including 4 new branches added during the month.
Second initiative is our digital enablement and process efficiency. Our new loan origination system, what we call ZIVA has gradually stabilized across the branches. It is already enabling stronger process control, improved data accuracy and better monitori ng. In parallel, we are witnessing noticeable process improvements across legal, credit, sales, collection, contributing to smoother execution and enhanced efficiency.
The other key initiative that we are working on is diverse products and customer base. Our balanced growth across housing and small business loans continue to support portfolio stability and earning consistency. As you know, we cater to a diverse base of self -employed customers across Tier 3 and 4 towns, which helps sustain steady demand and credit quality across market cycles.

And the other major initiative of the focus on productivity and operational excellence, we remain focused on enhancing the productivity and operational efficiency. Data -driven insights and systems -led improvements are enabling teams to deliver high output, improved service quality and cost efficiencies, strengthening the foundation for scalable growth.
With that, I would now like to move on to the key operating and financial parameters.
Business and growth :
• Our disbursements in Q2 '26 grew 24% Q -on-Q to INR963 crores.
• Our disbursements in H1 on a Y -on-Y basis grew by about 8%.
• The disbursement growth of 3% Q-o-Q in Q2 FY '26 , was largely influenced by our calibrated conscious increase in the minimum login ticket size of over INR7 lakhs per proposal along with some temporary weather -related disruptions.
• The AUM growth, however, is at 22% Y -o- Y and 4% Q -o-Q.
Profitability and efficiency :
• During the quarter, the total income grew by about 27% Y -o-Y to INR5 54 crores .
• The NIM rose to INR389 crores, a growth of 27%.
• Our Opex as a percentage of average AUM remained stable at 2.7% for the quarter. The opex as a percentage of average AUM and cost -to-income ratio on both the parameters, we are one of the best in the industry.
• Our operating profit growth came in at about 27% Y -o-Y to about INR312 crores.
• The credit cost has increased to 50 basis points in H1, mainly due to certain accounting policy change, but we have now decided to go for 100% technical write -off of outstanding beyond 500 days. Earlier, we were partly following a practice of 100% write -off beyond 2 years. That 2 years has now been reduced to 500 days.
• Profit has grown about 24% to about INR227 crores translating to an ROA and ROE of 7.9% and 20%, which I'm sure all of you must have noticed is one of the best in the industry.

• We are able to consistently improve our financial metrics, the ROE quarter -on-quarter.
• The profit, hence, for H1 FY '26 rose 26% to about INR446 crores.
Asset Quality
• On the asset quality side, our GNPA has gone up slightly by about 6 basis points to about 1.55% and our net NPA is at 1.17%.
• We have strengthened our collection s at the state level as well as at the HO level, whereby a lot more closer follow -up of collections is being pursued with an intent to reduce the GNPA further down.
Funding
• On the funding side, the cost of borrowing improved to about 8.42% from 8.62%, about 20 basis points less on Q -on-Q basis. In fact, our latest borrowing, which was done was around about 7.9%.
• The borrowing mix comprises of about 56% from bank, 13% on a consolidated basis and

about 20% for the HFC alone is from NHB, about 18.7% NCD and the bal ance is through securitization.

• As part of our ongoing focus on liability diversification, we have executed a direct assignment transaction of about INR170 crores during the quarter and about INR300 crores for the half year.

• We maintained a strong liquidity of about INR1,700 crores, including about INR1,100 crores of undrawn bank sanctions.

Now with these remarks, I open the floor for Q&A session.

Moderator: First question comes from the line of Rajiv Mehta from Yes Securities.

Rajiv Mehta: Congrats on good collections performance. Sir, first is on disbursement and collections. Can you tell us how the disbursement and collections performed in September and October? Just wanted to check what is the latest monthly business run rate since we hav e been adding distribution?

And also, what is the latest collection tren d?

Because in Q2, it seems that your early -stage collections were better. So just wanted to understand what was the exact trend in September and how October is playing both in terms of disbursement and collection?

M. Anandan

: Actually, as you must have noticed that our disbursements in Q2 grew about 24% over Q1 by . This increased trend was there, despite the fact in this period, we have taken a call to not to log in any loan of a size lower than INR7 lakhs with a specific purpose to keeping in mind that we would want to maintain clear distance from a micro finance kind of business.

And also going forward, we would want to really keep moving our profile and quality of the customers better. So we have taken a call not to really log in any thing below INR7 lakhs .

Actually from 1st of July, we stopped taking in any proposals of less than INR7 lakhs.

But despite this issue, we have seen a good growth in disbursements in the second quarter that we are able to see that in the month of October as well, which gives us the confidence to be able to maintain reasonably good Q -on-Q growth in the third quarter onwards.

As far as the collections are concerned, as I briefly mentioned we have really strengthened our organization . We have taken a few steps, where up to 12 EMIs, it will be the responsibility of the branch team, branch manager and the sales officer who generated the proposal to be totally in charge of the first 12 months collection.

And after 12 months, it moves on to the collections team. And within the collection teams up to 180 days, anything outstanding between 90 to 180 days , moves into the collection team.

And after 180 days, in addition to the collection, there is an independent legal recovery team.

And for this, we have clearly identified the job responsibility at the branch level, at the cluster level, state level. And we have strengthened our middle mana gement staff at the state level very strongly.

And this we have really started seeing very positive impact on our collections improvement.

And that should really help us going forward, that should help us really improving collection, not only improving collections, but even reducing our NPA.

Rajiv Mehta: Okay. Sir, this below INR7 lakh ticket size portfolio, which you stopped logging from July 1, what is the current proportion of this portfolio in the current overall AUM? And have you seen worsening of asset quality trend in that particular segment and por tfolio and which is w hy you stopped logging that in?

Because overall asset quality is fine, seems to be fine, but you're saying that below INR7 lakh portfolio is something that you will not focus on incrementally. So I just wanted to understand what is the underlying asset quality trend in that particular po rtfolio? And what is the proportion in the overall AUM?

M. Anandan: I just want to highlight this decision has been taken not really based on the portfolio performance or in terms of lower collections or higher NPA, no. Our NPA percentage or the collection efficiency is reasonably good in that. So it is not really taken for so much on the consideration of a higher -- or difficult collections or higher NPA, no.

But it is really taken with a very clear purpose of moving to a better quality, better profile customers where, in fact, we have now started very actively, very closely in our PD, in our credit bureau data analysis, in the account aggregated data analysis with the purpose of clearly improving the profile of our customers itself.

In fact, we have done the data scrubbing. On that basis, we have done the data scrubbing for the entire portfolio, including INR7 lakhs, including around less than INR7 lakhs. And that is satisfactory. So in other words, I just want to differentiate between the two.

Clearly, we would want to be -- move away because what happens is that now when you propose earlier, you used to log in proposals like INR5 lakh, INR6 lakh which, to some extent, started comin

g closer to the micro finance type of customer profile. So our intent is to move on to INR7 lakhs plus more with an objective of improving the profile of our customers going forward rather than exact -- any particular issue in terms of delinquency or NPA.
Moderator: Our next question comes from the line of Renish from ICICI Bank.
Renish: Just two things from my side. One on the credit cost front, right? So in last quarter, we always used to maintain...
M. Anandan: Your voice is not clear.
Renish: Is it better now, sir? Hello?
Amit Singh : Renish, can you speak a bit closer to the mic?
Renish: Give me a minute. Is it better now?
Amit Singh : Yes, slightly better.
Renish: Okay. So just two things. So one on the credit cost front, right? So in last quarter, we used to guide the credit cost between 30 to 40 basis points. Now what has changed...
Amit Singh : Sorry, it's not very clear. Do you want to try again and maybe we'll take the next question.
Moderator: Our next question comes from the line of Kunal Shah from Citigroup.
Kunal Shah: So firstly, on growth side, so now eventually, we have seen AUM growth being at almost 22 -odd percent. And the asking run rate for what you have been guiding in terms of more than 25%, it really calls for maybe the uptick on the disbursement side on an ave rage to, say, when you look at it, like almost like 30%, 40% higher than where we are in Q2.
So firstly, maybe what is leading to that maybe the overall repayment run rate has been quite volatile over the past couple of quarters. It has gone up again in this quarter. And how will we push towards the disbursements to get to more than 25% AUM growth run rate, yes?
M. Anandan: Actually, Kunal, we are very confident of pursuing this 25% + run rate AUM. In fact, despite the fact our disbursements are lower in the first half for a couple of reasons, as I've explained in terms of the cutoff in our loan proposal size of the loan, INR7 lakhs and above and also certain weather -related issues in certain pockets , and certain clusters that we operate.
To some extent, the new ZIVA software that we have introduced has taken a bit of time to settle down, which has now completely come on board. This gives us confidence and on top of it, this year, we are planning to add 40 branches of that 2 0 branches have been added largely in the second quarter.
So with all these actions in terms of our i) new branches that have come to being, ii) our completely settled down our new ZIVA software. And iii) in terms of the impact of this , initial

impact of the sales staff at the branch level to get adjusted proportions of only INR7 lakhs and above, that got settled down already. From July 1 it got now settled down.
And we are seeing the greater fully acceptance level coming in from October, this month onwards. So this makes us believe that we can definitely look for , in fact, our experience in the month of October validates some of these assumptions and gives us confidence that we will be able to move , very comfortably, move towards 20 -plus growth, of course, despite the challenges around.
Kunal Shah: Sure. And volatility in repayment rates over past -- maybe this quarter, it was higher. So have we seen a slightly higher BT outs?
M. Anandan: On the BT outs. Basically, actually, no, not really because our BT continues to be around 7% kind of thing, 7%, 7.5%. Of that, as we've said earlier, around 5% is really the customer pay money out of their own source, either of a redemption out of local ch its or really the money that they've saved from the businesses, or other kind of things.
In fact, we have also checked this data. After 6 months, when they went back to the credit bureau and checked whether these customers have taken loan from anyone else and they have not taken. Almost 99% of them, they h

ave not taken the loan.
So in other words, that seems to be money generally coming from the customer own source themselves. So that means only about around 2.5% is really the actual BT going to either the banks. Banks, particularly smaller banks or some of the slightly higher lev el housing companies, mainly based on the -- in terms of maybe slightly better interest rates and things like that. But there is no major change or behavioral change apart from this, on this 2.5%.

Kunal Shah: Yes. So when you look at it earlier, you used to say 2%, 2.5% through the cycle. This quarter, it was 7%, 7.5%. But when you do the analysis, maybe people have -- maybe most of them have not taken the loans from others. So it's more like a prepayment, whic h has happened.
M. Anandan: No. Again, I'm saying the 7.5% of that 5% came from their own source. It has not gone to any other financial, including the bank. So what is the loan transfer, is only 2.5%. This number is annualized. It's not for the quarter.
Kunal Shah: Yes, yes, yes. Sure. Got it. And...
M. Anandan: Kunal, we do a detailed analysis of the 7.5% in terms of what money came from the own sources and what is the extent of loan transfer to other banks or the housing companies. Entire 6 months, we also checked the credit bureau.
Kunal Shah: Yes, yes. Got it. And lastly, this write -offs of INR13 -odd crores. So you mentioned like it's the change in the policy, which has already provided because when you look at it, it's like really hitting the P&L. So not able to get the context in terms of lik e was that provisioning also done because this INR13 -odd crores number seems to be on the higher side and credit cost is also high. And how should we look at it?

Maybe is the -- are we largely done with the write -offs or this could be an ongoing process and credit cost can continue to be relatively on the higher side? Because you mentioned like you have moved from 2 years to maybe 500 -odd days. So to that extent, m aybe can this continue for next few quarters?
M. Anandan: No, no. Actually, our -- you're right, our credit cost has moved up from 20 basis points to 50 basis points. If you look at our ROE tree, which is there in the investor presentation, for the half year, our credit cost has moved from 0.2 to 0.5. So there is an increase in the credit cost to that extent.
Now this increase of 30 basis points is mainly arising out of a conscious call, a specific decision taken by the company. Earlier we are going for what we call the technical write -off, meaning any outstanding beyond 2 years, we used to -- we are writing of f 100%. Instead of 2 years, now we have reduced it to 500 days. So in other words, any outstanding beyond 500 days, it will be written off 100%. So that has made a contribution...
Kunal Shah: No, the question is, yes, I understand that. The only question was on the provisioning side, it is still having the impact on P&L. So were these not entirely provided loans?
M. Anandan: No, it is not. On the provision side, as in the ECL sheet we have given, there is -- on the provision side, depending upon our Stage 1, Stage 2 NPA accounts, whatever, for example, in Stage 3, whatever 25% provision that we've been providing consistently w e are providing and Stage 2 also the provision data is given.
And on top of the provisions, we continue to carry our management outlay of around INR48 crores to INR50 crores. That's what the number is given. So it is not -- but credit cost comprising of both the provisioning element and the write -off element. What comes in the debit of the P&L account, credit costs comprising of provision as well as the normal provision as well as the write - off, both.
Sanjay Mittal : To add to this , 500 days generally, we have provided 25%. Now we are stepping it up to 100%.
M. Anandan: Also, for

technology , let me also add one more point. In our product mix, particularly the non - home loan slightly as a percentage going up. And also, our pricing per se provides for . We have consciously provided 0.5% as the credit cost in our pricing of the products.
Only thing in the past, we were only actually getting a charge of 25 to 30 basis points. But then to be on the conservative side, we said we will take it up to 50. And that is one of the reasons why we have consciously gone for this decision of writing -off beyond 500 days rather than waiting for 2 years.
Moderator: Our next question comes from the line of Nidhesh Jain from Investec.
Nidhesh Jain: Sir, our company is doing quite well on asset quality and profitability. But on growth, disbursement growth numbers are weaker than, I think, what it should be. So in that context, sir, if you can share some data that what percentage of your disbursements in the past has been

coming from below INR7 lakh loan so that we can adjust and we can see that what is the impact of this change in our disbursements.
And if you can give some data on how is the disbursement run rate in October, which also can give us confidence that we should be able to show improvement in growth in coming quarters?

M. Anandan: Actually, I'll go by , as far as the growth is concerned, disbursement is concerned, let's look at this way. Q1 of FY '25 and Q1 of FY '26 if you see, there is a good growth. There's a growth of about 14% Q1 of '25 and Q1 of '26. When you come to, let's say, Q2 of '25 and Q2 of '26, the growth is only about 3%.
Now when you come to the half year of '25, half year of '26, the growth in disbursement is about 8%. If you see the growth in '26 Q2 over Q1, it is around 2 4%. So in other words, our Q2 '26 has grown by 24% over Q1 of '26.
Not only that, we are seeing that improvement continuing in the month of October. I won't be able to give you the specific numbers of October, but we are very confident for a very good growth rate, reasonably good growth in the third quarter after looking at the October numbers.
And there will be a good Q -on-Q growth in Q3 over Q2 of '26.
But again, , let me tell you, this is despite the fact, effective July ’ 26, we have taken the call not to take the proposals of less than INR7 lakhs. Earlier, prior to that, whether, let's say, in the current year first quarter or the numbers in the previous year FY '25 includes our disbursements where we are taking the proposal even of the size of INR5 lakhs, INR 6 lakhs, INR7 lakhs business. So to answer shortly -- yes.
Nidhesh Jain: So what is the percentage of such disbursals in the previous quarters, if you can quantify that?
M. Anandan: I don't have the number. I can quantify it, and we can share it offline. But the point is that, as I mentioned, this call is being taken primarily by looking at , we want to be clearly away from the micro -finance kind of profile of customers. We all know that micro finance loan size is around INR3 lakhs kind of thing.
But we would want to be very clearly away from it, in fact, when we have done the scr ubbing of our all our existing customer data, given what we have done in the past of less than INR7 lakhs, our repayment profile wise, it is normal as the other profile, other customers, INR7 lakh plus. But that's why that we have taken this conscious call of no t pursuing that because going forward, we will want to work on improving our customer profiles and loan profiles better.
Nidhesh Jain: Sure, sir. And second question, sir, is on credit costs. If you can quantify the impact of one -off write -off policy change in this quarter?
M. Anandan: No, it's not one -off. This is a policy call , the accounting policy call we have taken. So going forward, we will be charging off anything about 1 year after 500 days, we'll be cha

rging off, yes.

Nidhesh Jain: But sir, in this quarter, the impact would be much higher because suddenly, the loans which were in the bracket of 500 to 2 years on that, we have taken an accelerated charge. That flow -through will not be at the same quantum from the next quarter, right? So...
M. Anandan: Yes, fair enough. Yes, it is true. But we'll follow a consistent accounting policy.
Nidhesh Jain: Sure. So from next quarter onwards, then we should again expect the credit cost to come down because there is a slightly higher credit cost because this is the first time we have charged a pool of loans. But from next quarter, do you expect credit cost to come down from Q2? Or this is now the new run rate?
M. Anandan: So I would not want to really give a specific comment on that. But you are saying, logically speaking, it should come down, yes.
Moderator: Our next question comes from the line of Shweta Daptardar from Elara Capital.
Shweta Daptardar: Sir, a couple of questions. So you clearly mentioned that we are one of the best in opex to assets and operational efficiency. Also, we'll be relying more on productivity going forward. So could you just throw some light on branch productivity aspects wherein if you can just put out a number on loan files per officer and how that has been impr oving.
Of course, you have dealt with tech initiatives, but more so on the human capital or physical aspects part which can contribute to productivity, which will help us maintain this kind of strong opex to assets number?
M. Anandan: Actually, our opex as a percentage of AUM, which is a 2.7% is not there just for this year or this quarter. It's been there like that last almost 10 years, okay? So in other words, there is very consistently despite the fact while the ratio remains at around 2.7%, but our investments in branches, our investment in I T has been going up, and to support the growth in business and manage our risk better.
But despite that, we are able to maintain our opex as a percentage of AUM or our cost -to-income ratio broadly in this region, mainly through the consistent improvement in productivity, not only at the field level by the sales officers, but even other levels. It is there even in the customer - facing jobs, as you know, it includes sales, it includes collections, it includes the credit, legal and also the HO staff.
So in other words, we look for quite definitely, the file productivity of the sales officer is tracked on a month -- on a day -by-day basis or a weekly basis, monthly basis. Equally, we are also able

to bring in productivity in all of our support functions and the HO functions also. Similarly, every aspect of our operating costs also, our costs are really monitored and tracked for improve ment -- getting better output or better results for the money that we spend.
So in other words, productivity in that way is all pervasive. And as a culture, we've been normally follow ing maybe slightly proven way of working culture that we follow that helps us.

And coming on the sales productivity, current, our logging productivity is around 3 to 3.1 file per sales staff at the branch level, there are some branches which are doing higher, some sales managers are doing higher. Some branches, they are doing lower and this is average what is given. But we are working in that area of improving that from the current level.
Shweta Daptardar: Okay, sir. Sir, the second question is on ticket size. Sir, because you mentioned you have done data scrubbing and also you evaluated and have decided to move and shift towards slightly higher ticket size.
So going forward, have you put a threshold kind of thing wherein your average ticket size will be retained or will revolve around those levels,

say, INR9 lakhs or INR8.5 lakhs, INR9 lakhs,
which has been the case for now over 2 years. So any thresholds on ticket size beyond which you would not like to exceed and maintain your core focus?
M. Anandan: No. Actually, it is like this. Today, my average log in ticket size is about INR10 lakhs, and our average sanction disbursement size is about INR9 lakhs and as you know, being affordable housing finance, we normally keep it less than INR30 lakhs. But the range that we operate is really now about from, let's say, INR7 lakhs to around largely INR15 lakhs range.
But then if there are a good customer profile, we will go, but not beyond INR30 lakhs. So in other words, we have really taken a conscious call because given the market that we address in terms of Tier 2, Tier 3, Tier 4 cities and given the profile of the customers largely self -employed, we have taken this call that would not look at loans generally beyond that, as you know, there is nothing like legally .
Our RBI NHB guidelines doesn't prohibit us to do even much higher value. But the company has taken a call that we don't want to do any loan beyond, let's say, INR30 lakhs. But then less than INR30 lakhs also, we have chosen. By and large, we'll be confident, very happy between INR10 lakhs to INR20 lakhs.
Looking to INR10 lakhs, now we are at INR7 lakh. Progressively, our plan is really increase it by INR1 lakh average ticket size per year. So if it is INR10 lakh login today, we may look at INR11 lakhs next year and maybe INR12 lakhs year after. That's the way we go. And this also reflects partly the inflation that takes place in the construction cost. So it is not really taking a higher risk in that sense.
Moderator: Our next question comes from the line of Shailesh L. Kanani from Centrum Broking.
Shailesh L. Kanani: Sir, my first question was with respect to our stopping of disbursement below INR7 lakh ticket size. Now I appreciate the fact that we are doing it to stay away from MFI customers. But in the past, our commentary has been that there is not much overlap with MFI customers.
And to be honest, our asset quality has been better vis -a-vis peers, right? So why this move when the disbursements are kind of a little bit lagging than our earlier assumptions. So if you can just elaborate something on that front, sir?

M. Anandan: So as I mentioned, this decision to log in only INR7 lakhs plus transaction is actually, it is, in our view, it is the right decision for the company going forward. Yes, it has met with a short - term impact of our disbursements growth slightly got impacted in the, let's say, second quarter, or maybe second half as well.
But then that is very temporary according to us. In fact, now we started seeing our entire team down the line has accepted that. And in October everybody now got adjusted to, started working, okay, here after going forward, this company is going to do only INR7 lakhs or more.
Now the point in the INR7 lakhs , the objective of this decision is really long term. The objective is progressively, we want to move towards a better category, better quality credit -wise customers. And they will have more credit bureau data and also they will have better account aggregat or data .
And also because for things like, for example, even PD from a manual discussion of PD, now we are planning to go for an audio, video PD, which means that the customer should be able to communicate, talk and things like that. And so the decision of the compa ny is to keep moving

towards better quality customers. But at the same time, these quality customers located in Tier 3, Tier 4 are largely self - employed.
Shailesh L. Kanani: So basically, there is no early signs of stress in the book. Is that a right assumption?
M. Anandan: No, no, it's not. Actually, we have done the customer scrubbing of a

ll our 1,70,000 -odd customers, scheduled customers, 55% of our customers, they don't have any additional loan other than Aptus. 20% of the customers, they have one more loan in addition to the Aptus loan. Then our customers where overlap with the MF I customers is around 1.5%.
When we look at our portfolio in terms of the loan size -wise also, there is no significant difference. We have not seen even on our day -to-day operations, collections, plus NPA and all, we don't see any significant difference in less than INR7 lakhs. But despite that, I think I've repeated several times on this, credit delinquency is not the reason at least for us.
We are wanting to move to a better category, better class of customers. And also looking at the transaction size because we are also realizing that this is a home loan of 15 years, the effective tenure of 10 to 11 years. We don't want to get into INR5 lakh s, INR6 lakhs, where your EMI will be less, your collection cost will be more, and it will keep growing.
Shailesh L. Kanani: That's very helpful. Sir, just a related question. As you mentioned in the earlier question as well, as we move towards a little higher ATS and then we are not doing anything less than INR7 lakhs, does it impact our blended yields in any case going ahead, 1 year, 2 years down the line?
M. Anandan: No, actually, as I mentioned, we are not significantly increasing our ATS. Our intent is really, as I told you, last year, our logging was average INR9 lakhs. This year, our average logging is INR10 lakhs. Next year, we are planning for INR11 lakhs. Hereaf ter, INR12 lakhs.

So this is really a normal increase, some of it normal increase, partly on account of inflation also. So in other words, there is no significant -- our AT S is not going to move up from INR10 lakhs to INR15 lakhs to INR20 lakhs to INR25 lakhs. No. We are not working like that.
Shailesh L. Kanani: So that part I understood. I just was wondering, as we stop below INR7 lakhs, does it impact the blended yield in case we are getting higher yields in that category? So I was just trying to understand that.
M. Anandan: No, no . Absolutely no, thanks for asking the question. But no, we charge the same rate for all the rest. It's not really based on the loan size, yes.
Shailesh L. Kanani: Yes, yes. Okay. And sir, last question from my side. If you can share the disbursement figure, an absolute figure for month of September, if not for October, but the quarter gone by, if you can share that number.
M. Anandan: I don't want to get into this monthly, weekly at least. Yes.
Moderator: Our next question comes from the line of Sameer Bhise from Dymon Asia.
Sameer Bhise: First of all, congratulations, sir, for a stable set of numbers in a difficult environment, especially given what's happening with res pect to the weather changes, et cetera. I had a quick question on the medium -term goal of INR25,000 crores of balance sheet in terms of loan assets.
Just wanted to get your sense on how confident is one, to reach this number given the current macro setup? Or would you require a meaningful pickup in macro to kind of reach there? Or given with current setup, current productivity numbers, current branch a ddition plans, we remain confident of hitting that over the medium term? That's one.
And secondly, as the prior participant, Nidhesh, asked on the credit cost impact due to policy change. One is obviously the flow part. And secondly, it's the stock part on the current set of assets. Is it fair to assume that the impact on this quarter was mainly due to the stock impact on the policy change and flow impact incrementally should be lower? That's it. That's all from my side.
M. Anandan: So I'll answer the second part first. Yes. The credit cost in the current period increase is largely on account of this accounting po

licy change, okay? We are confident of maintaining our collections, improving our collections , and working on our NPA to reduce it further. But I won't be able to specifically say because if it is 50 basis points, suppose it becomes 52 basis points or 55 basis points, other 5 basis points variation.
I don't want that question to be asked. Because saying that you said 50 basis points, now it has gone to 55. It can be 50, it can be 45. It can be lower also. But the point is that, as I mentioned again, we are working , look at our NIM, look at our ROA, look at our ROE.
So my credit cost goes up by 5 basis points, my pricing also provides for it. So let's not get too much on this. But let me tell you that it won't be substantially different. And maybe there could be some on the reduction only, I mean, on the lower side only.

But it may not contribute to a very significant reduction because we have decided to adopt policy in future as well. So let's not look at it as a onetime one, and it is not going to happen next year. And because of that, our credit cost will come down, let's say, from 50 to 30, no. I won't be able to commit to that.
Sameer Bhise: Sure. And secondly, on growth, sir. Yes.
M. Anandan: See, on the growth, again, I think we have discussed again, we are looking at this INR25,000 crores AUM in the medium term as our immediate goal. And we are really strengthening the organization in every aspect, whether at the field level, at the cluster l evel, at the HO level and in every function, be it in sales, marketing and every other function.
Not only that the emerging compliance requirements, also we are investing in our functions, whether internal audit, risk management or compliance functions. So the entire organization is geared up, and we have raised, done substantial investment to be mentally prepared, organization is prepared for this INR25,000 crores in the medium term.
And in fact, again, based on our estimated year -end AUM, if you really talk out, we clearly grow at a rate of about 25% CAGR in the next 3 years, we will cross even INR25,000 crores. It will come to around INR26,000 crores also. Okay. But having said that, we are very confident of achieving this goal, but there could be a variation in terms of one quarter maybe earlier, one quarter may be late. That's about it.
Moderator: Our next question comes from the line of Kushan Parikh from Morgan Stanley.
Kushan Parikh: Just a couple of questions. One is I just wanted to check on the incremental yields. I mean, given that we are getting a benefit on the borrowing cost side, have we taken or are we looking to take any PLR cuts on our incremental yields? Also wanted to unde rstand on the growth side, this quarter, I mean, we laid out that the BT outs have not really changed from the long -term trends. However, I mean, when we just look at on a quarter -on-quarter basis, the runoff in the portfolio has increased from INR373 -odd crores to INR463 crores. I mean is this -- I mean, is the INR463 crore -odd number the normal run rate that we should take going f orward as well in terms of the runoff from the portfolio? These are my 2 questions.
M. Anandan: See, actually our AUM growth largely depends on our disbursements. And we don't see any concern at least as of now, or we have not seen this concern in the last 16 years, we have not seen this kind of concern , BT concern in the last 5 years, 10 years or in the current year or the foreseeable future . Because our BT rundown is really, seems to be in a reasonable range. And we are not seeing any excessive flow or variation in that.
So our challenge in our loan book growth, AUM growth is more in terms of our ability to enhance the disbursements rather than get excessively worried about the BT . Having said that, we very closely monitor BT, and we get into t

he recent logic in terms of why did this BT happen and where the funding came from, and why is it because of additional loans somebody offered?

Is it because lower rates somebody has offered? We do an exhaustive analysis for every BT. But at least at this point in time and in the immediate future, we don't see the BT as a major issue for us. What we see major challenge for us is really how do we r eally attain our growth, how do we really work on increasing the disbursements, including to improvement, normal, smaller improvements in our ATS.
Kushan Parikh: Understood, sir. And on the incremental yields.
M. Anandan: Our incremental yield. Okay. Actually, we do not see any pressure issue, compulsion, regulatory advisory issues on our lending rates. So whether it isby and large, we do about 15.5% for the home loan. We do for LAP around 17.5%. We do around 21% for the SME. And we don't see much of an issue there.
And as you have seen that we are able to maintain a consistently higher than industry level realization, of course, partly helped by our product mix coming through our subsidiary company, the SME business, where our lending rate is 21% as opposed to the home loan of 15.5%. But having said that , actually, in Q2, we did make some slight optimization that earlier we were charging in the home loan.
For the home extension and renovation, we were charging 17.5%. That we have aligned and they are classified in home loan given by NHB. So we have aligned that also into a home loan rate of 15.5%. But the share s of the extension, those is only smaller. It's about 3%, 4%, 5%, 6%. So that way it doesn't impact our yield, but then it's optically, we are able to present ourselves better on the field.

Same way in terms of SME, it was earlier 22%. We have optimized it 21%. But that, again, optically, it goes well with the regulators and things like that. It's again, it's a minor tweaking that we have done. This has not affected our yield. In fact, our yi eld for the quarter, for the half year is good, very good. In fact, much higher. You must have noticed much higher than any of our competitors.
Kushan Parikh: No, fair enough. So I mean, just one last more longer -term question. I mean we've had two big changes in terms of moving from INR7 lakh ticket size and also the new write -off policy that we have. Given that, that is not going to impact yield or credit cost in a very significant way, is it fair to assume that we still are aiming to maintain or improve our 20% ROE target?
M. Anandan: We are very confident of not maintaining, improving the 20% ROE. We are very confident.
Moderator: The next question comes from the line of Gaurav Singhal from WFM Asia.
Gaurav Singhal: I think most of the questions have been answered, but maybe one more. So like in this direct assignment income, we have a pretty big jump in this quarter and also we started it recently. So maybe can you share our philosophy on direct assignment? I'm guess ing it also helps with the principal business criteria, but what's the philosophy on quantum issue?

M. Anandan: See, basically, on the direct assignment, which we have started, while most of the companies, listed companies, in particular, in the housing finance space and the NBFC space, they are doing a direct assignment for several years now, at least 5, 6 years, if you can recall.
But we are really consciously a bit conservative on that. But then looking at in a broader sense in terms of going forward, from our AUM point of view, from the additional and new source of funding and also from the point of view of the principal business criteria as applicable to H ousing finance compan ies, we thought it is our interest to look at the direct assignment as well.
And so going fo

rward, we will have part of our portfolio being offered under the direct assignment. But having said that, in the current quarter, we have done direct assignment of about INR190 crores. And in the first quarter, we have done about INR130 cro res.
Cumulative, we have done about INR320 crores of direct assignment, which on our loan book of INR11,7 67 crores comes to about 3%, okay? So going forward, we may look at -- while we have the Board authorization to go direct assignment up to 10% of the loan book, we may look at around 6% to 7%, not beyond that.
Moderator: Ladies and gentlemen, due to time constraint, that was the last question for today. I now hand the conference over to the management for the closing comments. Thank you, and over to you, sir.
M. Anandan: Thank you. Thank you, Mona, for organizing this conference call. I would like to pay my sincere gratitude to all the analysts and investor friends who have taken time out to listen to us today.
Please feel free to contact us in case you have any further qu eries. And Mr. Balaji and Amit will be there to be in touch with you. Thank you.
Moderator: Thank you, sir. On behalf of Dolat Capital, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2026

Aptus Value Housing Finance India Limited
Q3/9M FY26 Conference Call
February 05, 202 6

Management : Mr. M. Anandan – Executive Chairman
Mr. Balaji P. – Managing Director
Mr. Manoharan C.T. – Executive Director and Chief Business Officer
Mr. Sanjay Mittal – Chief Financial Officer
Mr. Amit Singh – Vice President, Investor Relations

Moderator: Good morning, ladies and gentlemen. I'm Swapnali , moderator of this conference. Welcome to the earnings conference call of Aptus Value Housing Finance India Limited to discuss its results for the quarter and 9 months ended December 31, 2025.

This conference call may contain forward -looking statements based on the company's beliefs, assumptions and expectations as of today. These statements are subject to risks and uncertainties, and actual results may differ materially. At this moment, all participants are in the listen -only mode. Later, we will conduct a question -and-answer session. At that time, if you have a question, please press star followed by one on your telephone keypad. Please note that this conference is being recorded.

We have with us today, Mr. M. Anandan, Executive Chairman; Mr. P. Balaji, Managing Director; Mr. C.T. Man oharan , Executive Director and Chief Business Officer; Mr. Sanjay Mittal, Chief Financial Officer; and Mr. Amit Singh from Investor Relations.

I would now like to hand over the call to Mr. M. Anandan for his opening remarks. Thank you, and over to you, sir.

M. Anandan : Thank you. Good morning, ladies and gentlemen. I am Anandan, Executive Chairman of the company. I warmly welcome you all to this earnings call. Happy to share that the sustained growth momentum is broadly ensured by us in Q3 as well, aided by stable busine ss growth and prudent portfolio management.

Looking ahead, we expect to deliver sustained AUM growth, driven by new branch additions, channel augmentation, higher ATS, calibrated pricing on incremental home loans without compromising on NIMs.

Our financials remained healthy with ROE sustained above 20% level, as you know, one of the highest in the industry. This performance is underpinned by diversified product portfolio and a broad customer base across income segments, which together provide b alance and resilience across market cycles.

With that, I would now like to hand over the call to Mr. P. Balaji, Managing Director, to take you through the business focus and key operating and financial parameters. Thank you. Balaji?

P Balaji: Thank you, sir. Good morning to all. To begin with, our assets under management has grown by 21% to INR12,330 crores from INR10,226 crores as of 31st December '25. Disbursement for 9 months FY '26 has grown to INR2,768 crores, recording a growth of 9% year -on-year. Q3 FY '26 disbursements were at INR1,030 crores as against INR930 crores in Q3 FY '25, leading to a growth of 11%. This is despite a conscious pullback in loans below INR7 lakhs.

As we have been reiterating, growth remains our key focus area. And to accelerate growth momentum, we are executing a set of targeted high -impact initiatives. So firstly, branch expansion. In FY '26, we have planned 40 branch openings, most of which are al ready operational. For the next financial year, we plan to accelerate expansion to 60 to 70 branches.

Expansion will be focused on new states and key high -growth markets, while maximizing productivity from the existing workforce.
Increasing the average ticket size: as we have been guiding earlier, we will be increasing the average ticket size on account of the following: first, to bring in better quality customers and also to support increase in construction costs.
Third thing is optimizing lending rates in the housing loan segment. As part of optimizing the interest rates on home loans, we have reduced the interest rate by 50 to 75 basis points on incremental home loan disbursements, leveraging the benefits from low er borrowing costs. As the rate reduction is only for the housing loan and not for any other products, coupled with t `he fact that it is o

nly for the incremental customers, the impact on the spreads and NIMs is likely to be minimal. On the consolidated lo an book, the impact of this rate reduction on our yields is less than 10 basis points.
Looking ahead, we expect to deliver sustainable AUM growth of 22% to 24%, driven by the above initiatives. Now, our growth is anchored on four strategic pillars.
First thing is diversified products and customer mix, serving self -employed customers through a wide suite of housing and business loan products with a deeper presence in Tier 3 and Tier 4 towns, ensuring portfolio stability and steady demand.
Expanding beyond southern markets: building on our strong southern presence, we are now scaling thoughtfully in Maharashtra and O disha , while continuing to strengthen high -growth pockets in existing states.
Productivity: leveraging data -driven insights and system -led process to drive higher output, better service and cost efficiency, creating a truly scalable growth engine.
Digital and process excellence: technology underpins our growth with targeted improvements in sourcing, onboarding, collections, credit and enhancing control, execution speed and accuracy.
Now, coming to the major performance highlights. Regarding the business growth and scale, AUM has grown by 21% year -on-year to INR12,330 crores. Disbursements in Q3 FY '26 grew 11% to INR1,030 crores. Disbursement in 9 months grew 9% to INR2,768 crores. Branch network stood at 335 branches as on 31st December '25, adding 35 branches in 9 months.
Asset quality: asset quality remained largely stable with the gross NPA at 1.56% and net NPA at 1.18%. 30 -plus DPD saw a slight uptick to 6.48% due to seasonal volatility in collections because of the festive periods. There is also a slight uptick in the NPA of SME loans, which will be focused and controlled in Q4. The credit cost for the 9 months FY '26 remains at 50 basis points, within our guided range.
Profitability: during the quarter, net income margin grew by 26% year -on-year to INR406 crores. Our spreads improved to 8.9%, driven by decline in cost of funds to 8.3%. The provisions related

to the implementation of the New Labour Code has been considered in the financials. The impact of the same is INR3.85 crores, and it is INR3 crores net of tax.
Our opex as a percentage of AUM remained stable at 2.7% for the quarter. Profit grew 26% year-on-year to INR239 crores, translating to an ROE and -- ROA and ROE of 7.9% and 20.2%, respectively, which is one of the highest in the industry. The profit for the 9 months rose 26% to INR685 crores.
Now, coming to the funding. During Q3, we raised approximately INR902 crores on a consolidated basis, primarily through a mix of NCDs, term loans and securitization. Our liability profile continues to remain well diversified with 59% of the borrowings from banks, 11% from NHB, 17% through NCDs, including insurance compan ies and mutual funds, and the balance through securitization.
As part of the ongoing focus on liability diversification and prudent ALM management, we also executed a direct assignment transaction of around INR165 crores during the quarter, which supported our principal business criteria and further strengthened our balance sheet flexibility.
We continue to maintain a strong liquidity position with a total liquidity of INR1,877 crores as of December, including INR1,387 crores of undrawn bank sanctions, providing us ample headroom to support growth.
Now, with these remarks, I open the floor to the question -and-answer session. Thank you.
Moderator: We have the first question from the line of Kunal Shah from Citigroup.
Kunal Shah: Sir, firstly, maybe if you can quantify

in terms of what has been the impact of discontinuing the
smaller -ticket loans maybe for -- in the 9 -month disbursements, as well as 3Q disbursement?
And what is the quantum of that loan as a proportion of AUM curren tly?
P Balaji: So if you look at it -- if your look at the disbursements of this less than INR7 lakhs in the first
nine months of the FY'25 , it was around INR432 crores. And in the first quarter of this year , we
had done INR148 crores. After that, we took a decision to stop this less than INR7 lakhs, so
which means there is a difference of INR283 crores, which needs to be built or added to the
disbursements, which we have done now. So , that is the difference, and that is the number on
the disbursements basically .
Kunal Shah: Okay. So, on a year -on-year basis, that number would be INR148 crores?
P Balaji: Yes. For Q3, it is INR149 crores for Q3 FY'25 , yes.
Kunal Shah: INR149 crores. Okay. And on AUM, what is the proportion which will eventually run down
over a period? So what is the proportion of the AUM at this point in time in exact number on...?
P Balaji: It will be around 10%, 11%, I think. Yes, 10%, 11%.
Kunal Shah: Okay. So currently, that's almost like 10% to 11 -odd percent. And this will keep on running
down?

P Balaji: Yes, yes.
Munuswamy Anandan: Actually, to add to what Mr. Balaji said, it was less than INR7 lakhs, was about 17.5% of our
lending in the beginning, April '24, which progressively moved down in June, to about 16%.
And then, in August and September, it has moved down to about 9.2%.
And the impact of this discontinued of less than 7 lakhs, it comes to very little less than about
5% of disbursement projected in the fourth quarter. So in other words, progressively, in the
overall disbursement, the percentage of discontinued portfolio, s tarting with 17%, now it's come
down to almost 6%, 7% only. And as a percentage of loan book, as Mr. Balaji said, it's around
10%.
Kunal Shah: Got it. Sir, disbursement, the impact will be there in Q4 and Q1, and then the base will be set
from 2Q onwards?
P Balaji: Yes. In Q4 also, there was around INR163 crores of disbursement, which will not be there in Q4
of this year. But that will be offset by the growth initiatives which we have taken.
Kunal Shah: Sure. And lastly, on opex to assets, given that you would accelerate the branch expansion now,
so do we see opex to assets rising from the current level of 2.7 -odd percent? Or maybe the
productivity gains could actually offset that? Because we have seen a huge addition in the
employee base. Collection team has been strengthened. We have added sales officer s as well.
P Balaji: See, this 2.7% of the assets, and there has been a slight increase in the expenses is, we have also
doubled our expenses in IT. And also, the 40 branches which we have opened is also -- there is
a cost associated with that. And because of that also -- even with this, we have been maintaining
2.7%. And also, this Labor Code is also there to the extent of INR3.85 crores. There was a debit
in the P&L.
But going forward, what will happen is, as you rightly said, we will be opening 60, 70 branches.
But still, if you look at our cost of opening branches or running a branch, it is the bare minimum,
so in the sense that the basic facilities are provided and we are concentrating more on the
productivity of the people. So because of that, we were -- we believe that this 2.7% may slightly
go up to 2.8%, but it might not be substantially very high.
Moderator: We will take the next question from the line of Varun Palacharla from Kotak Securities.
Varun Palacharla: With regard to the state -wise AUM growth figures, so if you look at Andhra Pradesh, we see a
sharp decline in growth. Is this largely because of the cut in lower -ticket sizes? Or is anything
else that you're find

ing riskier in the state that's reflected?
P Balaji: If you look at Andhra Pradesh, there is a growth of 23%, and -- so basically, because it is less
than INR7 lakhs loans got impacted there more, and because of that, there is a growth slightly
coming down there. But going forward, people have been informed about our strategy at the
ground level in the state of Andhra Pradesh. And in fact, we have seen good amount of ATS
increase in the month of December because of this. And this will continue to go in the -- continue
in the fourth quarter and in th e coming years in Andhra Pradesh.

Munuswamy Anandan: Just to add. In FY '26 year -to-date versus the previous year, in Andhra Pradesh, the portfolio has
grown by 23%. Apart from the impact of the less than INR7 lakhs. But the base in Andhra
Pradesh also is the highest in terms of the base figure. In fact, FY '25 March itself, it is about

INR4,600 crores loan book. So, that is really one of the -- the high base also is there in Andhra Pradesh.

In fact, in Telangana also, increase is about 25%, where the base is slightly lower compared to Andhra Pradesh. So in other words, but going forward, I think with the impact of the less than INR7 lakhs getting minimized, we should get back to a normal growth in Andhra Pradesh as well.

Varun Palacharla: Okay. So my second question is with regard to product mix change and the impact on yield. So if you look at the mix, I think, the share of LAP and small business loans has increased, and home loans has kind of declined on overall book. That should have ideally aided the yields, offsetting the lending rate cut, whatever we have done on incremental loans. So if you can give a walk as to how much is the impact on yields due to these 2 fa ctors there?

P Balaji: Varun, I think you are talking about the pie chart, which was there in the presentation, correct?

Varun Palacharla: Yes.

P Balaji: See, basically, in the earlier presentations, what we did was, we gave the consolidated numbers also based on the end use of loans, correct? Now, we -- there was some confusion in the numbers, as pointed out by quite a few analysts, which said that since i t was based on the end use of loans, the numbers didn't get added up. So we had to remove that consolidated pie chart and just give the housing finance and NBFC. The mix has not changed because of that, okay? So because of that, there is no impac t on that yield and all.

So what we need to do now is, if you have to compare this pie chart with the previous Board presentation, just take housing finance AUM and NBFC and add it and see, that will be the number. Because at that time, for consolidated pie chart, we classified th e loans based on end use. This mean s, even if I give a LAP loan, if the money has been used up for construction, then I would have classified it as home loan in the consolidated pie chart.

Varun Palacharla: Yes, sir, I got that. I was just comparing on the stand -alone basis. Stand -alone quasi -home loans is about 20%. It's now 24%. And even the share of NBFC in overall AUM was 26% last year. It's now 29%. So in both these aspects, the…

P Balaji: Your voice is breaking, Varun.

Varun Palacharla: I was just saying that quasi -home loan mix in the stand -alone piece itself was 20% in 3Q FY '25. It's now 24%.

P Balaji: No, no. In stand -alone thing, it was 69% and 23% or something in the housing in the earlier slide as well. So there is no change in the mix actually. Varun, we can discuss this separately because -- yes, I will have it clarified with you slightly later, ye s, because actually, there is no change. I'll explain to you, okay?

Moderator: We have the next question from Shailesh Kanani from Centrum Broking.

Shailesh Kanani: Sir, a couple of questions from my side. So we have seen the business momentum picking up in both Odisha and Maharashtra. Could you please help us understand how these states are expected to contribute in terms of quantification in terms of future growth, how critical these states are? And you have alluded to AP and Telangana in your earlier replies. I wanted to know about Tamil Nadu being our core state is still reporting muted performance. Any colour you can give it on that?

P Balaji: So first, let me address this question on Odisha and Maharashtra. See, we have taken some 2 years from FY '24, we started the branches. And in 2 years, we have been studying the market. We are now confident of growing the book there. So with that in mind, we have opened more branches in this quarter, so I think 8 branches in Orissa, 9 branches in Maharashtra. Earlier, it was only 5 each. So we'll be opening more branches as well in the coming years. And we'll end the year with 10 branches in Odish a and Maharashtra.

Now, if you look at the loan book, in FY '25, it is INR54 crores. It has gone up to INR109 crores. And in the 9 months, it is INR37 crores to INR109 crores. And definitely, the book is behaving very well. And also, we have also identified people who are c ontributing to this business growth. And the branches which we have started are also performing very well. So going forward, we will open more branches in these states and -- as we have got confidence now.

And this will -- I mean, over -- but still, these are still new states. There's just INR109 crores on the INR12,000 crores. So definitely, it will not be a huge number that will be contributing to the growth. But definitely, the growth momentum in these 2 states will pick up. That is the first thing on Odisha and Maharashtra. Next thing is on the Tamil Nadu. See, earlier, it was around 10%, 11% of growth. It has got sustained at 15% growth now. Going forward, it might go up to 18%. That's what we are looking at. As we have been telling, there are 1 or 2 clusters which needs to be corrected. And once we have done that, we are confident of getting back to around 17% to 18% growth in Tamil Nadu. But okay, you can say Tamil Nadu is a cor e state, but actually, the

contribution from Andhra Pradesh and Telangana -- Andhra Pradesh and Telangana have also started contributing, and they are doing good. And also, there are many players in Tamil Nadu. So that is also restricting our growth. But definitely, 18% growth is a possibility there.
Shailesh Kanani: Fair enough. One more thing which we have mentioned in our PPT, addition of connectors. So can you just throw some light on that? What is the rationale of that and how we are going to proceed? Is it for new states, the strategy, or the core states?
P Balaji: No. Actually, this is a new concept which we are evolving. See, first I mean, we have thought about it. And then, this will be an additional channel to the existing channel. Our core business generation will be from the branches and from our own sales offi cers. This , we are trying in 1 or 2 states. If this becomes successful, then it will be launched on a full -fledged basis.
Shailesh Kanani: So this pilot is in which region in specific or anything if you can throw some light?

P Balaji: Not clear. What was the question?
Shailesh Kanani: The pilot , the connector business model what we are trying, piloting, right, is it specific to any region, a new geography or across? That is what I wanted to understand?
P Balaji: No. Actually, we are trying this in Tamil Nadu and Andhra Pradesh. I mean, it is in a very nascent stage. We have just launched it in Jan. So over and above , I mean, we need to see how this performs, and then we'll be rolling out to other states.
Shailesh Kanani: Fair enough. Sir, just one clarification. In your opening remarks, you

mentioned that asset quality
has some deterioration due to seasonality and holidays. So there are no other regions as such, or you would like to highlight anything on the asset quality front?
P Balaji: See, actually speaking, asset quality front, our housing loan portfolio has been behaving very well. In the third quarter, there is a slight uptick in the NPA and also a slight drop in the collection efficiency in the MSME portfolio. So anyway, our MIS is so strong that these kind of signals come very fast, and we have already started acting on it. And in Q4, we are confident of controlling that. So that's -- other than that, I'm not seeing any issues in the asset quality.
Moderator: We have the next question of Ansh Mehta from Value Partners.
Ansh Mehta: Now that we've discontinued loans under the INR7 lakh segment, can you give us your comments on credit costs going forward? So right now, we are at about 50 bps. Where do you expect that going forward to FY '27?
P Balaji: Your voice was not clear, but I think your question was on the future guidance on the credit cost, right? See, actually, yes, we have been guiding a credit cost of 0.5%, and we reiterate that, that will be maintained. I mean, this is despite the aggressive write -off policy which we are following, and this will be maintained. So going forward also, you can factor in 0.5% credit cost in all the models which you're developing.
Ansh Mehta: Sure. And in terms of our expansion to newer states, Maharashtra and Odisha, of course, we are sourcing most customers through our in -house metric, but is that true for newer branches as well? How do we go about sourcing new customers?
P Balaji: No, your voice was not very clear. We're not able to hear you properly.
Ansh Mehta: Sorry. I meant, when we are entering newer markets such as Maharashtra and Odisha with newer branches, how do we look at our sourcing profile when we are entering new states?
P Balaji: No, no. See, the sourcing profile has been common. But if you look at our processes, it will not be different if we are entering into a new state. It will be the same, where the sales officers will be sourcing the profiles. And of course, we have also got a digital marketing team at the head office, where if the leads are coming from either the customer app or the construction ecosystem app, they get those leads.
They do an initial check on whether the customers are prima faciely eligible for the loans, which meets our credit norms. And that gets passed on to our branches for taking it forward. So this

sourcing will continue. Whether it is a new state or whether it is an old state, this process is going to be there in all the branches. And that's what we are doing in Odisha and Maharashtra as well.
Moderator: We have the next question from the line of Rajiv Mehta from YES Securities.
Rajiv Mehta: Congrats on steady performance. Sir, this MSME asset quality issue, which you said that we brought under control in Q4, so have you already seen improvement in bounce rates in January and February? Or are we seeing similar bounces, but you're trying to col lect it earlier and resolve it earlier now?

P Balaji: There was a slight increase in the bounce rate as well in the Q3, and that has not come down. But we will have this additional efforts for collecting these monies in the MSME segment because again, if you look at it, the product is the same. Again, it is se cured by the self -occupied residential property. The LTV is 35%, 40%. The instalment -to-income ratio is currently maintained at 50%.

So those kinds of cushions are already available. So it is just that maybe we need to push hard our collection guys to get this done, and that is being done. I mean, we have already started observing this in December itself. We are pushing this. And Januar y, February, March definit

ely
will be a better number for us.

Rajiv Mehta: Okay. And sir, this whole loan classification angle, I mean, now if you add up the AUM of HFC and NBFC and then you look at the loan classification of home loan, I think it's about 48%, 49% pure home loan. And that piece is growing at 2%, 3% on a Q -on-Q ba sis. So when you give us a long -term growth path of 20% to 24%, then at the current proportion of home loan, we would require the home loan piece to grow at a much faster pace, right, from here on?

P Balaji: Yes. Yes. That is why we have also done price optimization. I mean, I was talking about this optimization for the incremental home loans ...

Rajiv Mehta: Incremental, yes.

P Balaji: For the incremental customers. So this is likely to bring in more volumes in terms of housing loans. And also, what we were talking about this connect or channel, where we are trying out, that also is likely to bring in more housing loans at a much higher ticket size and better -quality customers. So all this is going to aid us in getting that growth.

Rajiv Mehta: And just one clarification, sir. When you say that we are moving towards higher -ticket segment to build a better quality customer base, so we are largely into self -construction home loan, right? So when we talk about migrating ticket size, does it mean that we will target customers having a larger plot size or building larger value of homes? Or does it simply mean that...

P Balaji: It is not that we will go beyond INR15 lakhs or INR18 lakhs. See, what I'm meaning by increase in ATS, maybe if I have done INR8 lakhs or INR9 lakhs ATS last year, I will do INR10 lakhs or INR10.5 lakhs. That's the first thing.

And also, the cost of construction is also going up. So we need to fund the customers for that as well, right? So, that is what is bringing in this higher ATS. And in the process, we are also getting better quality customers. Beyond INR15 lakhs and above, I don't think we are in that segment.

Rajiv Mehta: Okay. So we have not opened up the upper end of the range. Okay. Yes.

P Balaji: No, no, no.

Moderator: We have the next question from the line of Amit Khetan from Laburnum Capital.

Amit Khetan: Can you talk a little bit about the competitive landscape? If we look at our different products, that is home loans, LAP, MSME loans, right, where do you see the most competitive intensity and across which geographies? And related to that, what are the ste ps we are taking to stay competitive in this space in the marketplace beyond the -- you talked about the recalibrated pricing in the home loans. And who are the key competitors?

P Balaji: Let me explain this. See, if you look at it, first of all, let us understand, the market opportunity is huge. That is the first thing. Then, okay, there are competitions emanating from various players in certain geographies. Basically, in Tamil Nadu, we ar e seeing a heightened competition. But in other states, we are not seeing that kind of a comp etition. So, that is one thing.

And there are players like Aavas , they have opened some 9 branches in Tamil Nadu, but they are still to establish their presence. So there are quite a few players who are operating in the Tamil Nadu, which we believe is because the portfolio quality is good. So the competition is there in Tamil Nadu. But in other states, we are not seeing that kind of acute competition.

And in the case of SME, there are many players, but they are into different products. So we have got a product which is between INR5 lakhs and INR15 lakhs, and we are charging between 17% to 20%, and we are giving the loans from 7 years to 10 years. So this product, not many are there. So we have ample scope for growth there as well.

So, that is basically the competition landscape, which we are seeing as of now. And of course, in Odisha and Mahar

ashtra, where we are operating, there are not many players that are available.

Munuswamy Anandan: Just to add to that point apart from the competition from the existing NBFCs, including HFCs, the newer players like small finance banks are aggressive lending by the PSU banks and the MSME segment also is becoming an ad ditional source of competition.

But our own experience, more than the competition from the demand perspective , we see particularly the competition is more disturbing in human resources. We are seeing at a closer quarters' competition in terms of our HR resources at the branch level from the existing and the new NBFCs, h ousing companies' .

So in other words, field level, customer -facing jobs and maybe the attrition there, actually, it's more of a competition rather than any demand -oriented competition at this point in time.

Amit Khetan: Understood. And just a follow -up to that. We are not recalibrating our pricing in MSME and LAP. So is it a fair assumption that competition is more in the housing segment?

P Balaji: That's what I told. I mean, the competition is more in the housing segment, and that is why we are calibrating the interest rates on the housing loans for the incremental customers, which will aid growth in the housing loans.

Moderator: We have the next question from the line of Avnish Tiwari from Vaikarya Change LLP.

Avnish Tiwari: Can you articulate this less than INR7 lakh segment? What are the asset quality markers there, either 30 -plus DPD or slippages rate in Q3 versus Q2? If it is overlapping with the MFI and that's where you are seeing some stress? MFI companies are reporting improvement in their asset quality ma rkers. So how is your experience in this pool, less than INR7 lakh pool?

P Balaji: If you remember, right from the first quarter of this financial year, we have been talking about moving away from this less than INR7 lakhs ticket, I mean, increasing the average ticket size and moving away from the segment less than INR7 lakhs. And we have also been telling that it is not because of asset quality we are moving away. It was that , we were seeing some stress in the MFI and also the small LAP segment.

Because of that, we took a decision proactively to get into this segment, and which is actually aiding us to get better quality customers. So it is not the stress levels. If you look at the NPA levels of less than INR7 lakhs or more than INR7 lakhs, it is not different. It is basically the decision -- I mean, at that point in time, there were some stress in the MFI and also in the small LAP segment, wh ich made us take this decision.

And still, we believe though MFIs are reporting better numbers, but their numbers have not come back to normalcy. So, as of now, we are still of the belief that the asset quality there has to improve, if I have to reconsider that. So as of now, we'll still stick to the decision point , which made us to get away from this less than INR7 lakhs. So going forward also, we would like to stick to this.

Avnish Tiwari: Okay. Great. This MSME, where you are seeing some degree of delinquencies going up, do you know on the ground, what's the feedback? What exactly factors you are observing? Is there any segment of customers or geographies which are giving you this?

P Balaji: So basically, if you look at some of the SME loans, while the end use is monitored at the time of giving the loans, most of the things -- I mean, many a time, the amount gets spent on consumption, maybe for health or a m arriage or something like that.

But while we have checks in place to check whether the money given has been used up for the purpose of the loan which we have given, but still there will be some segment where the the money has been used up for consumption, which is creating this stress. B ut actually, if you look a

t it, the business models are intact.

If you look at our customers' business model, the cash flows are there. It is basically a temporary blip that has happened and which has led to this slight increase in the NPAs and also drop in

collection efficiencies. And also, considering the cushion we have on the LTV and also in the installment -income ratio, so we are confident that we'll be able to collect this back.

Avnish Tiwari: Okay. Lastly, is there a divergence between low -ticket -size MSME loan versus high -ticket -size where you are experiencing this? Or this is not necessarily divergent by that?

P Balaji: That's what I told you. If it is not that less than INR7 lakhs, greater than INR7 lakhs, where we are seeing this kind of an issue. It's not that.

Moderator: We have the next question from the line of Chintan Shah from ICICI Securities.

Chintan Shah: So just one question. I think, on -- I'm not sure if this is repetitive. But on the stand -alone P&L, if I look at the impairment number, so that has inched up from around INR4.6 crores to around INR13.8 crores on a sequential basis. Whereas on the consolidated basis, the rise has not been that sharp. So I just wanted to understand how should we read this?

P Balaji: Chintan, how to see this is as follows , if you look at the last quarter, we reported a policy change of write -off greater than 500 days, correct? So if you look at that decision, the impact on NBFC was more there because most of the assets went into that 500 days bracket in the NBFC. In the housing finance company, there were some assets which were at the brink between 400 to 450 days in the last quarter, that has come to this 500 days now.

So because of that, this cost has gone up. So going forward, we are not expecting this -- it's basically a lead lag kind of a thing because of 2 companies being there. And at different points in time, the assets are getting into that 500 days thing. So because of that, this cost difference is there. But going forward, we are not expecting t hat to happen.

Chintan Shah: Overall credit cost?

P Balaji: Overall credit cost will be at 0.5%.

Moderator: Thank you. W e have the next question from the line of Rohit Maheshwari from Tata. Please go ahead.

Rohit Maheshwari: Good morning, sir. S o my question is on longer -term view, you have an aspiration, by FY '29, your AUM size will be close to INR 250 billion. So considering that, because the disbursement growth for the last three , four quarters has been very subdued type as compared to the earlier times. So to reach that, you would re quire a higher growth plus you are also 10% of your book will run down maybe in next 15, 18 months, which is below the INR7 lakh. So when -- by when we can see a pickup in disb ursement?

P Balaji: So basically, if you look at, see that is the reason we have also given a slightly lower growth, if you look at our guidance, which is between 22% to 24%. And it is because of this; we have moved away from the less than INR7 lakhs. That has slightly moderated the disbursement growth in this year.

And going forward also, this is likely to have that impact. But, of course, this year, only that impact will be there. And we are also charting out various initiatives to bring back the growth

that is going to be there like, for example, improving the ATS sales price. Like, for example, I was talking about the branch expansion, increase in ATS, reduction in the home loan rates for the housing loan.

So these are some of the high -impact initiatives which we are targeting to bring back the growth. But having said that, having guided at 22% to 24%, that -- achieving this INR25,000 crores AUM by FY '29 might get delayed by one quarter or two quarters. So other than t

hat, we are not seeing that kind of a thing. But considering the current operating environment, this is the correct growth, I think, which is good for the company . So this is what is the plan we have.

Rohit Maheshwari: Thank you, sir. I am done.

Moderator: Thank you. W e have the next question from the line of Balkrushna Vaghasia from Axanoun Investment Management. Please go ahead.

Balkrushna Vaghasia: Thank you for the opportunity. S o I have two questions. First is regarding the competitive intensity in the market. So whenever we hear from small finance bank and microfinance players, from last 1 year, they are venturing into affordable housing finance. Most, they find it very lucrative. And all o f them are venturing into those things, so I mean, particularly the affordable housing finance segment. So how do you see that competitive intensity in last 1 year plus how do you see in a c oming 1 or 2 years? What is your view?

P Balaji: Actually, this was actually explained by Mr. Anandan also. See, if you look at it , we are not seeing competition more from the business angle, but more from the HR angle, in the sense people get into these new companies. Because of that, we are seeing an issue rather than because of the market size or the market opportunity. That's the answer which I can give on the competition intensity.

Balkrushna Vaghasia : And my second question is since going public, we have consistently grown our revenue and profits and all the stuff. Also we have -- I mean, financially, we are very good and you have started issuing dividend also. But all those efforts still are not result ing into shareholders' return even after 4 or 5 years of IPO. So are you planning to take any actions or -- which can help to generate the shareholder return b ecause the only guy who is not paid after the IPO is shareholder, I think. R est of the stakeholders are paid their dues. So do you have any action plan for that?

P Balaji: Actually speaking, if you look at the management's perspective, I will deliver exceptional results in the operating side. I mean, operationally, we will be very, very efficient and we will be able to deliver these numbers in the future as well. But if you look at the market, I don't think I have any hold on that.

I mean, if you look at my stock Aptus stock, I think 17 analysts have covered and there is 14 analysts who have recommended buy. This is basically reflecting the strong fundamentals we have, strong prospects we have and the efficiency to execute things. Al l this is there. I can only communicate like this to you all. And also most of the time, I'm also meeting the investors. So I'm also communicating the same thing to them.

Balkrushna Vaghasia : Okay. And like can you increase the dividends, or you can issue buyback or anything kind of -- are the Board willing to do that o r is there any discussion?
P Balaji: In India, buyback in NBFC, it's not possible. That is one reason we have also started giving dividends.
Balkrushna Vaghasia : Okay. Thank you.
Moderator: Thank you. W e have the next question from the line of Mayank Mistry from Antique Stock Broking. Please go ahead.
Mayank Mistry: Hi, sir. Thanks for the opportunity. S ir, my question is largely on the spread. So we have decreased our cost of funds have from 8.7% to 8.3% over the last four quarters. I would like to know what is the incremental benefit that we are expecting in terms of CoB, since we got a rating upgrade in Q1 and given that some of the MCLR is also about to get through maybe. So any guidance on that front? That's one.
And secondly, given that we are decreasing our lower -ticket -size loans as well, so from there what is the incremental yield decline that we can expect? I mean, of course, for me higher ticket and maybe for the better customers, you must be taking a hit

on the yields, right? So net -net,
what would be the impact on the spreads ?
P Balaji: First of all, I'll answer your query on the cost of funds. If you look at my total borrowings, 61% is variable and 39% is fixed. And of that 61%, 25% is linked to MCLR and 35%, 32% is linked to EBLR, basically repo rate of the treasury bill. So in that 31% of that borrowing, there is another 0.25% repo rate cut, which will come in as savings.
So from the 0.3%, 0.4% savings in interest cost that has been achieved till date, another 0.1% to 0.15% savings will come. Of course, if you look at our incremental cost of funds, which we are borrowing between 8.5% to 8.6% in housing finance company, that we are borrowing at between 7.85% to 7.95% now.
And in the case of the NBFC, earlier we were borrowing between 9% to 9.2 5% it is around 8% to 8.25% now. So this is likely to bring in a good amount of efficiency in terms of cost of borrowings. And in the case of yields, like what I have communicated earlier, it is only on the housing loans and also on the incremental customers, where we have reduced the rates by 0.5% to 0.75%. If you look at the impact of the total -- on the total loan book, the impact is likely to be less than 10 basis points.
Mayank Mistry: Okay, sir. Got it. Thanks.
Moderator: Thank you. W e have the next question from the line of Manik Bansal from Master Capital Services Limited. Please go ahead.
Manik Bansal: So with the quarterly disbursement running at 8% of AUM and -- but the reported AUM growth is 4.8% quarter -on-quarter. So this implies a sequential 3.8% quarterly runoff. So can management quantify the split of this?

P Balaji: What was the question? I didn't understand ?
Manik Bansal: With the quarterly disbursement running at 7% to 8% of AUM, but the reported AUM growth is 4.8% sequentially this quarter. This implies a differential of 3.2% that is attributable to prepayments, repayments and BT out. So can you quantify that split betwee n those segments?
P Balaji: If you look at the rundown, it is around 15.9%. And of that 6% or 7% will be because of the preclosures. And of that, the balance transfer is only 2.5% to 3%. And the balance 10% is on the rundown from the principal because of the repayments from the customers.
Manik Bansal : Okay. And last question. Strategically, like, what level of disbursement to AUM ratio is required to achieve the target of INR25,000 crores by FY '27?
P Balaji: Anyway, we have completed this and then only we have given this number. So, that is product mix. There is a detailed calculation that has been made. And based on that only, we're guiding.
Manik Bansal : Okay. Thank you.
Moderator: We have the next question from the line of Daksh Choudhary from Ratnatrayi Investment Management LLP.
Daksh Choudhary : Sir, could you please guide us on what percent of housing loan AUM is linked to PMAY?
P Balaji: See, actually, PMAY, it's not very high because PMAY, we are more in the rural areas rather than the urban areas. The government is pushing more on the PMAY urban and semi -urban.
Because of that, most of our customers don't become eligible. Because PMAY ru ral is not a great success, actually, government also has been pushing on the PMAY urban only. So our kind of

customers don't qualify so much for the PMAY.
Daksh Choudhary : Okay. Okay, sir. But no definite number can be given?
P Balaji: No definite numbers. It's very, very minimum.
Moderator: We have the next question from the line of Sat yam Kumar from AAA Holding Trust.
Satyam Kumar : So I have just a couple of questions for Mr. Balaji. First is like, I have been following your guidances since last 3, 4 quarters. So what I observed, there has been multiple times a bit of chop and change. Like earlier, you guided in -- I think that in Q4 , about 28%, 30% AUM growth, then

25%. Right now, around 23%, 24%.
On top of that, you said that the targeted INR25,000 crore s AUM can be delayed by 1 or 2 more quarters. So are you sure about this growth? Because what happens, time and again, this guidance has changed. So it just brings a sentimental hit on sort of the table. So are you -- how confident you are?
P Balaji: See, first of all, when we give a guidance, it is depending on the market conditions present at that point in time. So the market conditions also change as and when we progress. And there are certain decisions to be taken for this purpose, which is good for the organization at some point

in time when this kind of developments happen, for example, stress in the MFI portfolio, stress in the small -ticket LAP, INR7 lakhs. So that is why we took these decisions. And because of that, there is a moderation in the disbursements.
So, I mean, the guidance will be given at that point in time when the markets look really good. And after that, if some events are happening, I need to prune down the whole thing because for me, maintaining the quality of book is much more important than m aintainin g a guided range of 28% or 25%.
So definitely, this confidence, this INR25,000 crores by FY ’29 maybe with a lag of 1 or 2 quarters is possible, subject to the fact that things will improve in the MFI segment, small ticket LAP and the overall environment. S o, I don't think I can be sure at any point in time saying this is what it is, correct? So the decision for the guidance is based on the market sentiment and market conditions at that point in time.
Satyam Kumar : Just to follow up on this, so do you still see volatility in this overall industry? Or like things are more or less settling right now? So would you like to comment on the overall macro environment with regards to affordable housing?
Munuswamy Anandan: Just to add, you are aware that the -- by and large, the financial services business as a whole depends and linked to the volatility in the overall economic activity. That is, the overall economic activity, the volatility, because of internal, within the c ountry or external environment, if the macro -level volatility is there in the overall economic system .
Obviously, it will have an impact on the financial services as well, which we have been seeing in the results published by various financial services companies in the last 1 week, 2 weeks kind of thing. But within that -- the challenge is really for each o ne of us to manage the impact of this volatility as minimum as possible.
That's where Aptus is able to manage this volatility, still maintain a consistent growth in our top line revenue, overall revenue, in our margin and in our ROE. And just growth alone -- a percentage of growth and disbursements alone -- we agree -- absolute ly, we agree with you that whatever we guide, we should strive and get it, and we should continue to do that. But then, there will be -- these temporary situations w ill be there, as you are aware.
But that is why Aptus is taking a lot of steps, as Mr. Balaji has rightly listed out. We are taking various steps that will really increase our resilience even better and increase our disbursements and the loan book growth also better, while at the same ti me, maintaining our quality of loan book and quality and also the level of margins that we are doing. So in other words, for us, while the risk also is as important, managing the risk of the portfolio is as critical as the growth rate percentage by itself.
Satyam Kumar : And just one last question, my second question is like you have recently received a credit rating upgrade. So are you also looking to refinance your existing high -cost loan or a fixed loan, increase more portion of variable loans in your -- sorry, variable portion of your borrowings in the total borrowing

mix? So how it is? Like are you refinancing your borrowings?

P Balaji: No. This is an ongoing exercise which our treasury team always does there. Suppose if it is a fixed rate loan or a variable rate loan contracted at a higher rate of, say, 9% or 9.25% in case of an NBFC, we always negotiate with the bank, call them, because they also have to give us additional funding.

And because of that and considering the relationship, we always negotiate hard with them to reduce the interest rate, for which we are successful in the sense that there are 3 or 4 loans, even SBI rate, which was around 9.25%, that has got reduced to 8.4%. And there is also a new facility that has been given by them at 7.95%. So overall, it's an ongoing process by our treasury team, where these kind of negotiations keep on happening and the rates are getting reduced.

Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference back to the management for the closing comments.

Munuswamy Anandan: Thank you for everyone for attending the conference call. I would like to pay my sincere gratitude to all analysts and investor friends who have taken time out to listen to us today. Please feel free to contact us if you have any further queries. Thank you .

Moderator: Thank you very much. Thank you all for being a part of the conference call. If you need further information or clarification, please e -mail investorrelations@aptusindia.com. Ladies and gentlemen, this concludes your conference for today. Thank you for usin g Chorus Call conferencing services. You may now disconnect your lines. Thank you, and have a pleasant day, everyone.